



Housing Act 1980

1980 CHAPTER 51

An Act to give security of tenure, and the right to buy their homes, to tenants of local authorities and other bodies; to make other provision with respect to those and other tenants; to amend the law about housing finance in the public sector; to make other provision with respect to housing; to restrict the discretion of the court in making orders for possession of land; and for connected purposes. [8th August 1980]

BE IT ENACTED by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

PART I

PUBLIC SECTOR TENANTS

CHAPTER I

THE RIGHT TO BUY

1.—(1) A secure tenant has the right—

(a) if the dwelling-house is a house, to acquire the freehold of the dwelling-house;

Right to acquire freehold or long lease.

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(b) if the dwelling-house is a flat, to be granted a long lease of the dwelling-house ; and

(c) in either case, to leave the whole or part of the aggregate amount mentioned in section 9(1) outstanding on the security of a first mortgage of the dwelling-house or, if the landlord is a housing association, to have the whole or part of that amount advanced to him on that security by the Housing Corporation ;

in the circumstances and subject to the conditions and exceptions stated in the following provisions of this Chapter.

(2) In this Chapter the right mentioned in subsection (1)(a) and (b) above is referred to as the right to buy and that mentioned in subsection (1)(c) above as the right to a mortgage.

(3) The right to buy only arises after the secure tenant has been a secure tenant for a period of not less than three years or for periods amounting together to not less than three years ; but—

(a) neither the landlord nor the dwelling-house need have been the same during the whole of that period ; and

(b) any period during which the secure tenant was a tenant of a body specified in subsection (1) or (2) of section 2 shall be left out of account ; and

(c) this subsection is subject to subsections (4) to (7) below.

(4) In determining whether the condition in subsection (3) above is satisfied a person who, as a joint tenant under a secure tenancy, occupied a dwelling-house as his only or principal home shall be treated as the secure tenant under that tenancy ; and where the secure tenancy is a joint tenancy that condition need be satisfied with respect to one only of the joint tenants.

(5) Where the secure tenant became a secure tenant on the death of his spouse, and at the time of the death they occupied the same dwelling-house as their only or principal home, any period during which the deceased spouse was a secure tenant is to be counted for the purposes of subsection (3) above unless excluded by paragraph (b) of that subsection.

(6) In determining whether the condition in subsection (3) above is satisfied in the case of a person who is, or of persons one of whom is, a previous purchaser, a period counts as a period during which the previous purchaser or his spouse was a secure tenant only if it fell after the completion of the previous purchase or, if more than one, the last of them.

(7) In subsection (6) above “previous purchaser” means a person who has exercised the right to buy or the right to purchase conferred by Part I of the Tenants’ Rights, Etc. (Scotland) Act 1980 on a previous occasion (whether he has exercised it alone or jointly with another person) and “previous purchase” has a corresponding meaning.

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1980 c. 52.

(8) References in this Chapter to the purchase price include references to the consideration for the grant of a long lease.

2.—(1) The right to buy does not arise if the landlord is a housing trust which is a charity within the meaning of the Charities Act 1960.

Exceptions to
right to buy.
1960 c. 58.

(2) The right to buy does not arise if the landlord is a housing association which either—

(a) is a charity (within the meaning of the Charities Act 1960); or

(b) falls within paragraph (d) of section 15(3) of the 1977 Act (certain societies registered under the Industrial and Provident Societies Act 1965); or

1965 c. 12.

(c) has at no time received a grant under section 119(3) of the 1957 Act, section 29, 31, 32 or 33 of the 1974 Act or under any enactment mentioned in paragraph 2 of Schedule 2 to that Act.

(3) The right to buy does not arise unless the landlord owns the freehold.

(4) Subject to subsection (5) below, the right to buy—

(a) does not arise in any of the circumstances mentioned in Part I of Schedule 1 to this Act, and

(b) cannot be exercised in any of the circumstances mentioned in Part II of that Schedule.

(5) The Secretary of State may by order enable the right to buy to be exercised in relation to dwelling-houses held by local authorities otherwise than under Part V of the 1957 Act or such descriptions of such dwelling-houses as may be specified in the order; and any such order may contain such supplementary provisions, including provisions modifying the following provisions of this Chapter, as appear to the Secretary of State necessary or expedient.

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 Meaning of
 "house",
 "flat",
 "dwelling-
 house" and
 "relevant
 time".

3.—(1) The following provisions apply to the interpretation of "house", "flat", "dwelling-house" and "relevant time" when used in this Chapter.

(2) A dwelling-house is a house if, and only if, it (or so much of it as does not consist of land included by virtue of section 50(2) of this Act) is a structure reasonably so called; so that—

- (a)** where a building is divided horizontally, the flats or other units into which it is divided are not houses; and
- (b)** where a building is divided vertically, the units into which it is divided may be houses; and
- (c)** where a building is not structurally detached it is not a house if a material part of it lies above or below the remainder of the structure.

(3) Any dwelling-house which is not a house is a flat.

(4) There shall be treated as included in the dwelling-house any land used for the purposes of the dwelling-house which the landlord and the tenant agree to include.

(5) The relevant time is the date on which the tenant's notice claiming to exercise the right to buy is served; except that, if that notice is served within six months of the commencement of this Chapter, the relevant time is the date on which this Act is passed.

Joint tenants
 and members
 of family
 occupying
 dwelling-house
 otherwise
 than as joint
 tenants.

4.—(1) Where a secure tenancy is a joint tenancy then, whether or not each of the joint tenants occupies the dwelling-house as his only or principal home, the right to buy and the right to a mortgage belong jointly to all of them or to such one or more of them as may be validly agreed between them; and the agreement is not valid unless the person or at least one of the persons to whom the right to buy is to belong occupies the dwelling-house as his only or principal home.

(2) A secure tenant may, in his notice under section 5 claiming to exercise the right to buy, require that not more than three members of his family who are not joint tenants but occupy the dwelling-house as their only or principal home should share the right to buy with him; but he may validly do so in the case of any such member only if—

- (a)** that member is his spouse or has been residing with him throughout the period of twelve months ending with the giving of the notice; or
- (b)** the landlord consents.

(3) Where by such a notice any members of the tenant's family are validly required to share the right to buy with the tenant, both the right to buy and the right to a mortgage belong to the tenant and those members jointly and he and they shall be treated for the purposes of this Chapter as joint tenants.

5.—(1) Where a secure tenant serves on the landlord a written notice claiming to exercise the right to buy, the landlord shall (unless the notice is withdrawn) serve on the tenant, within four weeks, or in a case falling within subsection (2) below, eight weeks, either—

- (a) a written notice admitting the tenant's right ; or
- (b) a written notice denying the tenant's right and stating the reasons why, in the opinion of the landlord, the tenant does not have the right to buy.

(2) A case falls within this subsection if the periods counting towards the three years required by section 1(3) above include a period during which the landlord was not the landlord on which the tenant's notice under subsection (1) above is served.

(3) A tenant's notice under subsection (1) above may be withdrawn at any time by notice in writing served on the landlord.

6.—(1) The price payable for a dwelling-house on a conveyance or grant in pursuance of this Chapter is—

- (a) the amount which, under this section, is to be taken as its value at the relevant time ; less
- (b) the discount to which the purchaser is entitled under this Chapter.

(2) The value of a dwelling-house at the relevant time shall be taken to be the price which, at that time, it would realise if sold on the open market by a willing vendor on the assumptions stated, for a conveyance, in subsection (3) below and, for a grant, in subsection (4) below, and disregarding any improvements made by any of the persons specified in subsection (5) below and any failure by any of those persons to keep the dwelling-house in good internal repair.

(3) For a conveyance the assumptions are that—

- (a) the vendor was selling for an estate in fee simple with vacant possession ;
- (b) neither the tenant nor a member of his family residing with him wanted to buy ; and

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(c) the dwelling-house was to be conveyed with the same rights and subject to the same burdens as it would be in pursuance of this Chapter.

(4) For the grant of a lease the assumptions are that—

(a) the vendor was granting a lease for 125 years with vacant possession (subject to paragraph 11(2) of Schedule 2 to this Act) ;

(b) neither the tenant nor a member of his family residing with him wanted to take the lease ;

(c) the ground rent would not exceed £10 per annum ; and

(d) the grant was to be made with the same rights and subject to the same burdens as it would be in pursuance of this Chapter.

(5) The persons mentioned in subsection (2) above are—

(a) the secure tenant ;

(b) any person who under the same tenancy was a secure tenant before him ; and

(c) any member of his family who, immediately before the secure tenancy was granted, was a secure tenant of the same dwelling-house under another tenancy.

Discount.

7.—(1) A person exercising the right to buy is entitled to a discount equal, subject to the following provisions of this section, to the following percentage of the price before discount, that is to say—

(a) if the period to be taken into account under subsection (5) below is less than four years, 33 per cent. ; and

(b) if that period is four years or more, 33 per cent. plus one per cent. for each complete year by which that period exceeds three years, but not together exceeding 50 per cent.

(2) The discount shall not reduce the price below the amount which, in accordance with any determination made by the Secretary of State, is to be taken as representing so much of the costs incurred in respect of the dwelling-house as, in accordance with the determination, is to be treated as incurred after 31st March 1974 and as relevant for the purposes of this subsection ; and if the price before discount is below that amount, there shall be no discount.

(3) A determination under subsection (2) above may make different provision for different cases or descriptions of case,

including different provision for different areas, and may provide for exceptions from the requirements of that subsection.

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(4) The discount shall not in any case reduce the price by more than such sum as the Secretary of State may by order prescribe.

(5) The period to be taken into account for the purposes of the discount is, subject to the following provisions of this section, the aggregate of the periods during which, before the service of the notice claiming to exercise the right to buy,—

- (a) the secure tenant or his spouse or deceased spouse was either a secure tenant or the spouse of a secure tenant ; or
- (b) the secure tenant occupied accommodation provided for him as a member of the regular armed forces of the Crown or the secure tenant's spouse occupied accommodation so provided for the secure tenant's spouse.

(6) A period shall be taken into account under subsection (5)(a) above whether or not the dwelling-house or the landlord was the same as at the time of the service of the notice claiming to exercise the right to buy, unless the landlord was then a body specified in subsection (1) or (2) of section 2 of this Act ; but—

- (a) no period during which the tenant's spouse was a secure tenant or the spouse of a secure tenant shall be so taken into account unless both the secure tenant and his spouse occupied the dwelling-house as their only or principal home at the time of the service of the notice ; and
- (b) no period during which the tenant's deceased spouse was a secure tenant or the spouse of a secure tenant shall be so taken into account unless the tenant became the secure tenant on the death of his spouse and at the time of the death both occupied the dwelling-house as their only or principal home ; and
- (c) a period during which either the tenant or his spouse or deceased spouse was the spouse of a secure tenant shall be taken into account only if during that period the spouses occupied the same dwelling-house as their only or principal home ; and
- (d) subsection (5)(b) above applies only if the secure tenant or, as the case may be, his spouse was a member of the regular armed forces of the Crown on or after 21st December 1979.

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(7) For the purposes of subsections (5) and (6) above a person who, as a joint tenant under a secure tenancy, occupied a dwelling-house as his only or principal home shall be treated as the secure tenant under that tenancy; and where the right to buy is exercised by joint tenants those subsections shall be construed as if for the secure tenant there were substituted that one of the joint tenants whose substitution will produce the largest discount.

(8) Where the person or one of the persons exercising the right to buy, or the spouse or deceased spouse of that person or of any of those persons, is or was a previous purchaser, a period shall be taken into account as a period during which the previous purchaser was, or was the spouse of, a secure tenant or during which he or his spouse occupied accommodation provided for him or his spouse as a member of the regular armed forces of the Crown, only if it falls after the completion of the previous purchase or, if more than one, the last of them.

(9) Subsections (5) to (8) above shall have effect as if—

1980 c. 52.

(a) the references to a secure tenancy included a tenancy which either was a secure tenancy within the meaning of the 'Tenants' Rights, Etc. (Scotland) Act 1980 or would have been such a tenancy if Part II of that Act had been in force and the bodies mentioned in section 10(2) of that Act had included the predecessor of any such body; and

(b) the references to a secure tenant included the tenant under such a tenancy as is mentioned in paragraph (a) above, except when the landlord was a body specified in paragraph (e) or (g) of section 10(2) of the Act of 1980, and also included a tenant of the Northern Ireland Housing Executive or of a predecessor of that Executive.

(10) In subsection (8) above "previous purchaser" and "previous purchase" have the same meaning as in section 1(6) above.

1975 c. 24.

(11) In this section "regular armed forces of the Crown" has the same meaning as in section 1 of the House of Commons Disqualification Act 1975.

Repayment
of discount
on early
disposal of
freehold
or lease.

8.—(1) A conveyance of the freehold or grant of a lease in pursuance of this Chapter shall (unless there is no discount) contain a covenant binding on the secure tenant and his successors in title to pay to the landlord on demand the amount specified in subsection (2) below if, within a period of five years, there is a disposal falling within subsection (3) below; but if

there is more than one such disposal, then only on the first of them.

(2) The amount payable under the covenant is an amount equal to the discount to which the secure tenant was entitled, but reduced by 20 per cent. of that discount for each complete year which elapses after the conveyance or grant and before the disposal.

(3) A disposal falls within this subsection if it is—

- (a) a further conveyance of the freehold or an assignment of the lease ; or
- (b) the grant of a lease or sub-lease for a term of more than twenty-one years otherwise than at a rack rent ;

whether the disposal is of the whole or part of the dwelling-house ; but a disposal in pursuance of an order under section 24 of the Matrimonial Causes Act 1973 or under section 2 of the Inheritance (Provision for Family and Dependants) Act 1975 or a vesting in a person taking under a will or on an intestacy is not a disposal falling within this subsection. 1973 c. 81.
1975 c. 63.

(4) The liability that may arise under the covenant required by subsection (1) above shall be a charge on the dwelling-house—

- (a) taking effect as if it had been created by deed expressed to be by way of legal mortgage ; and
- (b) having priority immediately after any legal charge securing any amount left outstanding by the tenant in exercising the right to buy or advanced to him by a body specified in subsection (5) below for the purpose of enabling him to exercise it or further advanced to him by that body.

(5) The bodies referred to in subsection (4)(b) above are—

- (a) the Housing Corporation ;
- (b) any building society ; and
- (c) any of the bodies specified in paragraph 6, 7 or 8 of the Schedule to the Home Purchase Assistance and Housing Corporation Guarantee Act 1978. 1978 c. 27.

(6) A charge taking effect by virtue of subsection (4) above shall, notwithstanding subsection (5) of section 59 of the Land Registration Act 1925, be a land charge for the purposes of that section, and subsection (2) of that section shall apply accordingly with respect to its protection and realisation. 1925 c. 21.

(7) The reference in subsection (3) above to a lease or sub-lease does not include a mortgage term.

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1962 c. 37.
1967 c. 31
(N.I.).

(8) In this section “building society” means a building society within the meaning of the Building Societies Act 1962 or the Building Societies Act (Northern Ireland) 1967; and for the purposes of this section the grant of an option enabling a person to call for a disposal falling within subsection (3) above shall be treated as such a disposal.

Right to a
mortgage—
amount to
be secured.

9.—(1) The amount which a secure tenant exercising the right to a mortgage is entitled to leave outstanding, or have advanced to him, on the security of the dwelling-house is, subject to the limit imposed by this section, the aggregate of—

- (a) the purchase price;
- (b) so much of the costs incurred by the landlord or the Housing Corporation as is chargeable to the tenant under section 21; and
- (c) any costs incurred by the tenant and defrayed on his behalf by the landlord or the Housing Corporation.

(2) The amount mentioned in subsection (1) above is subject to the limit that it does not exceed the amount to be taken into account, in accordance with regulations under this section, as the tenant's available annual income multiplied by such factor as, under the regulations, is appropriate to it.

(3) Where the right to a mortgage belongs to more than one person the limit is the aggregate of the amounts to be taken into account in accordance with the regulations as the available annual income of each of them, after multiplying each of those amounts by the factor appropriate to it under the regulations.

(4) The Secretary of State may by regulations make provision for calculating the amount which is to be taken into account under this section as a person's available annual income and for specifying a factor appropriate to it; and the regulations—

- (a) may provide for arriving at a person's available annual income by deducting from the sums taken into account as his annual income sums related to his needs and commitments, and may exclude sums from those to be taken into account as a person's annual income; and
- (b) may (without prejudice to the generality of section 151(3) of this Act) specify different amounts and different factors for different circumstances.

(5) Where the amount which a secure tenant is entitled to leave outstanding on the security of the dwelling-house is reduced by the limit imposed by this section, the landlord may, if it thinks fit and the tenant agrees, treat him as entitled to leave

outstanding on that security such amount exceeding the limit but not exceeding the aggregate mentioned in subsection (1) above as the landlord may determine.

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10.—(1) Where a secure tenant has claimed to exercise the right to buy and that right has been established (whether by the landlord's admission or otherwise) the landlord shall, as soon as practicable, serve on the tenant a notice describing the dwelling-house and stating—

Notice of
purchase
price and
right to a
mortgage.

- (a) the price at which, in the opinion of the landlord, the tenant is entitled to have the freehold conveyed or, as the case may be, the long lease granted to him; and
- (b) the provisions which, in the opinion of the landlord, should be contained in the conveyance or grant.

(2) The notice shall, for the purpose of showing how the price has been arrived at, state—

- (a) the value at the relevant time;
- (b) the discount to which the tenant is entitled, stating—
 - (i) the period to be taken into account under section 7(5); and, where applicable,
 - (ii) the amount mentioned in section 7(2) or (4); and
- (c) the improvements disregarded in pursuance of section 6.

(3) The notice shall also inform the tenant—

- (a) of his right under section 11 to have the value at the relevant time determined or re-determined by the district valuer;
- (b) of the right to a mortgage; and
- (c) of the effect of section 12 and section 16(4) below;

and shall be accompanied by a form for use by the tenant in exercising the right to a mortgage.

11.—(1) Any question arising under this Chapter as to the value of a dwelling-house at the relevant time shall be determined by the district valuer in accordance with this section.

Right of
tenant to have
value
determined
by district
valuer.

(2) A tenant may require that value to be determined or, as the case may be, re-determined by a notice in writing served on the landlord not later than three months after the service on him of the notice under section 10; except that—

- (a) if proceedings are then pending between the landlord and the tenant for the determination of any other question arising under this Chapter, the notice may be served at any time within three months of the final determination of the proceedings, and

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(b) if such proceedings are begun after a previous determination under this section the notice may be served within four weeks of the final determination of the proceedings and, whether or not such a notice is served, the landlord may at any time within those four weeks require the district valuer to re-determine the value of the dwelling-house at the relevant time.

(3) Where the landlord requires a re-determination to be made in pursuance of subsection (2)(b) above it shall serve on the tenant a notice stating that the requirement is being or has been made.

(4) Before making a determination or re-determination in pursuance of this section the district valuer shall consider any representation made to him by the landlord or the tenant within 4 weeks from the service of the tenant's notice under this section or, as the case may be, from the service of the landlord's notice under subsection (3) above.

(5) As soon as practicable after a determination or re-determination has been made in pursuance of this section the landlord shall serve on the tenant a notice stating the effect of the determination or re-determination and the matters mentioned in subsections (1) and (2) of section 10.

(6) A notice under subsection (5) above shall inform the tenant of the right to a mortgage and of the effect of section 12 below and shall be accompanied by a form to be used by the tenant in exercising the right to a mortgage.

Claim to a
mortgage.

12.—(1) A secure tenant cannot exercise his right to a mortgage unless he claims to exercise it by notice in writing served on the landlord or, if the landlord is a housing association, on the Housing Corporation, within the period of three months beginning with the service on the tenant of the relevant notice, or within that period as extended under subsection (2) below.

(2) Where there are reasonable grounds for doing so, the landlord or, as the case may be, the Housing Corporation, shall by notice in writing served on the tenant extend (or further extend) the period within which the tenant's notice claiming to exercise his right to a mortgage must be served; and if it fails to do so the county court may by order extend or further extend that period until such date as may be specified in the order.

(3) The relevant notice is—

(a) if the tenant exercises his right under section 11, the notice served under subsection (5) of that section; and

(b) if he does not exercise that right, the notice served under section 10 above.

(4) As soon as practicable after the service on it of a notice under subsection (1) above the landlord or Housing Corporation shall serve on the tenant a notice in writing stating—

(a) the amount which, in the opinion of the landlord or Housing Corporation, the tenant is entitled to leave outstanding or have advanced on the security of the dwelling-house; and

(b) how that amount has been arrived at; and

(c) the provisions which, in the opinion of the landlord or Housing Corporation, should be contained in the deed by which the mortgage is to be effected.

(5) The notice shall also inform the tenant of the effect of section 16(8) below and shall be accompanied by a form for use by the tenant in claiming, in accordance with section 16(4)(c) below, to be entitled to defer completion.

(6) The Housing Corporation shall send to the landlord a copy of any notice served by it on the tenant under subsection (4) above.

13.—(1) Where, after a secure tenant (in this section referred to as “the former tenant”) has given a notice claiming the right to buy, another person (in this section referred to as “the new tenant”) becomes the secure tenant—

Change of
secure tenant
after notice
claiming
right to buy.

(a) under the same secure tenancy; or

(b) under a periodic tenancy arising by virtue of section 29 of this Act on the coming to an end of the secure tenancy;

the new tenant shall be in the same position as if the notice had been given by him and he had been the secure tenant at the time it was given.

(2) If a notice under section 10 of this Act has been served on the former tenant, the landlord shall serve on the new tenant a further form for his use in exercising the right to a mortgage and the new tenant may then serve a notice under section 12(1) within the period of three months beginning with the service on him of that form or within that period as extended under subsection (3) below.

(3) Where there are reasonable grounds for doing so the landlord or, as the case may be, the Housing Corporation shall by notice in writing served on the new tenant extend (or further extend) the period within which his notice claiming to exercise

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the right to a mortgage may be served ; and if it fails to do so the county court may by order extend or further extend that period until such date as may be specified in the order.

(4) The preceding provisions of this section do not confer any right on a person required in pursuance of section 4(2) to share the right to buy unless he could have been validly so required had the notice claiming to exercise the right to buy been given by the new tenant.

(5) The preceding provisions of this section apply with the necessary modifications if there is a further change in the person who is the secure tenant.

Change of
landlord
after notice
claiming
right to buy
or right to a
mortgage.

14. Where, after a secure tenant has given a notice claiming to exercise the right to buy or the right to a mortgage, the freehold of the dwelling-house passes from the landlord to another body, all parties shall be in the same position as if the other body had become the landlord before the notice was given and had been given that notice and any further notice given by the tenant to the landlord and had taken all steps which the landlord had taken.

Children
succeeding
parents.

15.—(1) Where the secure tenant of a dwelling-house (in this section referred to as “ the former tenant ”) dies or otherwise ceases to be a secure tenant of the dwelling-house, and thereupon a child of his who occupies the dwelling-house as his only or principal home (in this section referred to as “ the new tenant ”) becomes the secure tenant of the dwelling-house (whether under the same or under another secure tenancy), the landlord may, if it thinks fit, count the whole or part of any period qualifying under this section—

(a) for the purposes of section 1(3) above ; or

(b) towards the period to be taken into account under section 7(5) above for the purposes of discount ;

or both (and may count different periods under paragraphs (a) and (b) above).

(2) A period qualifies under this section if it is a period during which the new tenant, since reaching the age of sixteen, occupied as his only or principal home a dwelling-house of which a parent of his was the secure tenant or one of joint tenants under a secure tenancy, and either—

(a) it was the period at the end of which he became the secure tenant ; or

(b) it was a period ending not earlier than two years before another period qualifying under this section.

(3) For the purposes of this section two persons shall be treated as parent and child if they would be so treated under paragraphs (a) and (b) of section 50(3) of this Act.

(4) This section has effect, whether or not the former tenant and the new tenant are also the former tenant and the new tenant within the meaning of section 13 above.

16.—(1) Where a secure tenant has claimed to exercise the right to buy and that right has been established, the landlord shall be bound, subject to the following provisions of this section, to make to the tenant— Completion.

(a) if the dwelling-house is a house, a grant of the dwelling-house for an estate in fee simple absolute ; and

(b) if the dwelling-house is a flat, a grant of a lease of the dwelling-house for a term of not less than 125 years (subject to paragraph 11(2) of Schedule 2 to this Act) ;

as soon as all matters relating to the grant and to the amount to be left outstanding or advanced on the security of the dwelling-house have been agreed or determined.

(2) If, after all those matters have been agreed or determined, the tenant does not take all steps necessary to complete the transaction, the landlord may serve on him a notice requiring him to complete the transaction within a period stated in the notice, but the period stated in the notice shall not be less than 28 days.

(3) A notice under subsection (2) above shall not be served earlier than whichever of the following is applicable, that is to say—

(a) if the tenant has not claimed to exercise the right to a mortgage, three months after the end of the period within which a notice claiming it could have been served by him ;

(b) if he has claimed the right to a mortgage, but is not entitled to defer completion, three months after the service of the notice under section 12(4) ; and

(c) if he is entitled to defer completion, two years after the service of his notice under section 5 claiming the exercise of the right to buy or, if later, three months after the service of the notice under section 12(4) above.

(4) A tenant is entitled to defer completion if—

(a) he has claimed the right to a mortgage ; and

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(b) the amount which he is entitled, or is treated as being entitled, to leave outstanding or have advanced on the security of the dwelling-house is less than the aggregate mentioned in section 9(1) above; and

(c) he has, within the period of three months beginning with the service on him of the notice under section 12(4) above or within that period as extended under subsection (5) below, served a notice on the landlord claiming to be entitled to defer completion and has, within the same period, deposited the sum of £100 with the landlord.

(5) Where there are reasonable grounds for doing so the landlord shall extend (or further extend) the period within which a notice under subsection (4)(c) above must be served and the sum of £100 deposited; and if it fails to do so the county court may by order extend or further extend that period until such date as may be specified in the order.

(6) If the tenant does not comply with the notice under subsection (2) above, the notice claiming to exercise the right to buy shall be deemed to have been withdrawn at the end of the period stated in the notice under that subsection and no further notice claiming to exercise the right to buy shall have effect if served by the tenant on the landlord within twelve months of the end of that period.

(7) If, in pursuance of a notice under subsection (4)(c) above, the tenant deposits the sum of £100 with the landlord, then—

(a) if he completes the transaction, that sum shall be treated as having been paid towards the purchase price; and

(b) if he does not complete the transaction but withdraws his notice claiming to exercise the right to buy or is, by virtue of subsection (6) above, deemed to have withdrawn it, the sum deposited shall be returned to him.

(8) A tenant who is entitled to defer completion may, at any time before the service on him of a notice under subsection (2) above, serve a further notice under subsection (1) of section 12 and, if he does so, subsection (4) and (where applicable) subsection (6) of that section shall then apply accordingly.

(9) If the tenant has failed to pay the rent or any other payment due from him as a tenant for a period of four weeks after it has been lawfully demanded from him, then, while the whole or part of it remains outstanding—

(a) the landlord shall not be bound to complete; and

- (b) if a notice under subsection (2) above has been served on the tenant, the tenant shall be deemed not to comply with the notice.

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(10) The duty imposed on the landlord by subsection (1) above shall be enforceable by injunction.

(11) On the grant to a secure tenant of an estate in fee simple or of a lease in pursuance of this Chapter the secure tenancy of the dwelling-house shall come to an end and, if there is then a subtenancy, section 139 of the Law of Property Act 1925 shall apply as on a merger or surrender. 1925 c. 20.

17. A conveyance of the freehold executed in pursuance of this Chapter shall conform with Parts I and II of Schedule 2 to this Act and a grant of a lease so executed with Parts I and III of that Schedule; and Part IV of that Schedule applies in relation to certain charges. Conveyance of freehold and grant of lease.

18. The deed by which a mortgage is effected in pursuance of this Chapter shall, unless otherwise agreed between the parties, conform with the following provisions— Right to a mortgage— terms of mortgage deed.

- (a) it shall provide for repayment of the amount secured in equal instalments of principal and interest combined;
- (b) the period over which repayment is to be made shall be 25 years or, at the option of the mortgagor, a shorter period, but shall be capable of being extended by the mortgagee; and
- (c) it may contain such other terms as may be agreed between the mortgagor and the mortgagee or as may be determined by the county court to be reasonably required by the mortgagor or the mortgagee;

but the Secretary of State may by order prescribe additional terms to be contained in any such deed or vary the provisions of paragraphs (a) and (b) above, but only in relation to deeds executed after the order comes into force.

19.—(1) Where a conveyance or grant executed in pursuance of this Chapter is of a dwelling-house situated in a National Park, or an area designated under section 87 of the National Parks and Access to the Countryside Act 1949 as an area of outstanding natural beauty, or an area designated by order of the Secretary of State as a rural area, and it is executed by a local authority (as defined in section 50 of this Act), a county council, the Development Board for Rural Wales or a housing association ("the landlord") the conveyance or grant may contain a Dwelling-houses in National Parks and areas of outstanding natural beauty, etc. 1949 c. 97.

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covenant limiting the freedom of the tenant and his successors in title to dispose of the dwelling-house in the manner specified below.

(2) The limitation is, subject to subsection (4), that, until such time (if any) as may be notified in writing by the landlord to the tenant or his successors in title there will be no disposal falling within subsection (8) below without the written consent of the landlord; but that consent shall not be withheld if the disposal is to a person satisfying the condition stated in subsection (3) below.

(3) The condition is that the person to whom the disposal is made (or, if it is made to more than one person, at least one of them) has, throughout the period of three years immediately preceding the application for consent, either—

(a) had his place of work in a designated region which or part of which is comprised in the National Park or area; or

(b) had his only or principal home in such a region; or has had the one in part or parts of that period and the other in the remainder; but the region need not have been the same throughout the whole of the period.

(4) If the Secretary of State or, where the landlord is a housing association, the Housing Corporation, consents, the limitation specified in subsection (2) above may be replaced by the following limitation, that is to say, that until the end of the period of ten years beginning with the conveyance or grant there will be no disposal falling within subsection (8) below unless—

(a) the tenant (or his successor in title) has offered to re-convey the dwelling-house or, as the case may be, surrender the lease, to the landlord for a consideration equal (subject to subsection (7) below) to the amount agreed between the parties or determined by the district valuer as being the amount which under subsection (6) below is to be taken as the value of the dwelling-house at the time the offer is made; and

(b) the landlord has refused the offer or has failed to accept it within one month after it was made.

(5) The consent of the Secretary of State or of the Housing Corporation under subsection (4) may be given subject to such conditions as he or, as the case may be, the Housing Corporation thinks fit.

(6) The value of the dwelling-house at the time the offer is made shall be taken to be the price which, at that time, it would

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realise if sold on the open market by a willing vendor on assumptions corresponding to those in subsection (3) or, as the case may require, subsection (4) of section 6 of this Act (but without the disregards required by subsection (2) of that section).

(7) If the landlord accepts the offer mentioned in subsection (4) above, and the offer was made within five years of the conveyance or grant to the tenant, the consideration shall be reduced by such amount as would fall to be paid on demand on a disposal made at the time the offer was made and falling within subsection (3) of section 8 of this Act; and no payment shall be required in pursuance of that section.

(8) A disposal falls within this subsection if it is—

- (a) a further conveyance of the freehold or an assignment of the lease; or
- (b) the grant of a lease or sub-lease for a term of more than twenty-one years otherwise than at a rack rent;

whether the disposal is of the whole or part of the dwelling-house; but a disposal in pursuance of an order under section 24 of the Matrimonial Causes Act 1973 or under section 2 of the Inheritance (Provision for Family and Dependents) Act 1975 or a vesting in a person taking under a will or on an intestacy is not a disposal falling within this subsection. 1973 c. 18. 1975 c. 63.

(9) Any disposal in breach of such a covenant as is mentioned in subsection (1) above shall be void.

(10) Where such a covenant imposes the limitation specified in subsection (2) above, the limitation shall be a local land charge and the Chief Land Registrar shall enter the appropriate restriction on the register of title as if application therefor had been made under section 58 of the Land Registration Act 1925. 1925 c. 21.

(11) The reference in subsection (8) above to a lease or sub-lease does not include a mortgage term.

(12) In this section “designated region” means an area designated for the purposes of this section by order of the Secretary of State; and for the purposes of this section the grant of an option enabling a person to call for a disposal falling within subsection (8) above shall be treated as such a disposal made to him and a consent to such a grant as a consent to a disposal made in pursuance of the option.

20.—(1) Section 123 of the Land Registration Act 1925 (compulsory registration of title) shall apply in relation to the conveyance of a freehold or grant of a lease in pursuance of this of title.

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Chapter whether or not the dwelling-house is in an area in which an Order in Council under section 120 of that Act is for the time being in force.

(2) If the dwelling-house is not registered land, the landlord shall give the tenant a certificate stating that the landlord is entitled to convey the freehold or make the grant subject only to such incumbrances, rights and interests as are stated in the conveyance or grant or summarised in the certificate.

(3) A certificate under subsection (2) above—

(a) shall be in a form approved by the Chief Land Registrar; and

(b) shall be signed by such officer of the landlord or such other person as may be approved by the Chief Land Registrar.

(4) The Chief Land Registrar shall, for the purpose of the registration of title, accept such a certificate as sufficient evidence of the facts stated in it; but if, as a result, he has to meet a claim against him under the Land Registration Acts 1925 to 1971, the landlord shall be liable to indemnify him.

Costs.

21.—(1) Any agreement between a tenant exercising the right to buy and the landlord shall be void in so far as it purports to oblige the tenant to bear any part of the costs incurred by the landlord in connection with the tenant's exercise of that right, other than costs chargeable to the tenant under subsection (2) below.

(2) Where the tenant exercising the right to buy also exercises the right to a mortgage, the landlord or, as the case may be, the Housing Corporation, may charge to him the costs incurred by it in connection with the tenant's exercise of the right to a mortgage, but only to the extent that they do not exceed such amount as the Secretary of State may by order specify.

Notices.

22.—(1) The Secretary of State may by regulations prescribe the form of any notice under this Chapter and the particulars to be contained in any such notice.

(2) Any notice under this Chapter may be served by sending it by post.

(3) Where the landlord is a housing association, any notice to be served by the tenant on the landlord under this Chapter may be served by leaving it at or sending it to the principal office of the association or the office of the association with which the tenant usually deals.

23.—(1) Where it appears to the Secretary of State that tenants generally, or a tenant or tenants of a particular landlord, or tenants of a description of landlords have or may have difficulty in exercising the right to buy effectively and expeditiously, he may, after giving the landlord or landlords notice in writing of his intention to do so and while the notice is in force, use his powers under the following provisions of this section; and any such notice shall be deemed to be given 72 hours after it has been sent.

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Secretary of
State's power
to intervene.

(2) Where a notice under subsection (1) above has been given to a landlord or landlords no step taken by the landlord or any of the landlords while the notice is in force or before it was given shall have any effect in relation to the exercise by a secure tenant of the right to buy or the right to a mortgage, except in so far as the notice otherwise provides.

(3) While a notice under subsection (1) above is in force the Secretary of State may do all such things as appear to him necessary or expedient to enable secure tenants of the landlord or landlords to which the notice was given to exercise the right to buy and the right to a mortgage, and he shall not be bound to take the steps which the landlord would have been bound to take under this Chapter.

(4) Where, in consequence of the exercise by a secure tenant of the right to a mortgage a landlord becomes a mortgagee of a dwelling-house whilst a notice under subsection (1) above is in force in relation to the landlord and to the dwelling-house, then, while the notice remains in force—

- (a) the Secretary of State may, on behalf of the mortgagee, receive any sums due to it and exercise all powers and do all things which the mortgagee could have exercised or done; and
- (b) the mortgagee shall not receive any such sum, exercise any such power or do any such thing except with the consent of the Secretary of State, which may be given subject to such conditions as the Secretary of State thinks fit.

(5) Where it appears to the Secretary of State necessary or expedient for the exercise of his powers under this section, he may by notice in writing to a landlord require it within such period as may be specified in the notice or such longer period as he may allow, to produce any document or supply any information; and any officer of the landlord designated in the notice for that purpose or having custody or control of the document or in a position to give the information shall, without instructions

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CHAPTER I

from the landlord, take all reasonable steps to ensure that the notice is complied with.

(6) A notice under subsection (1) above may be withdrawn by a further notice in writing, either completely or in relation to a particular landlord or a particular case or description of case; and the further notice may give such directions as the Secretary of State may think fit for the completion of any transaction begun before the further notice was given.

(7) Directions contained in a notice under subsection (6) above shall be binding on the landlord and may require the taking of steps different from those which the landlord would have been required to take if the Secretary of State's powers under this section had not been used.

(8) Where, in consequence of the exercise of his powers under this section, the Secretary of State receives any sums due to a landlord he may retain them while a notice under subsection (1) above is in force in relation to the landlord, and he shall not be bound to account to the landlord for any interest accruing on any such sums.

(9) Where the Secretary of State exercises his powers under this section with respect to any secure tenants of a landlord he may calculate, in such manner and on such assumptions as he may determine, the costs incurred by him in doing so and certify a sum as representing those costs; and any sum so certified shall be a debt from the landlord to the Secretary of State payable on demand, together with interest at a rate determined by the Secretary of State from the date the sum was certified.

(10) Any sum payable under subsection (9) above may, without prejudice to any other method of recovery, be recovered from the landlord by the withholding of any sum due from the Secretary of State, including any sum payable to the landlord and received by the Secretary of State in consequence of his exercise of his powers under this section.

(11) The references in subsections (5) to (10) above to a landlord and to the powers of the Secretary of State with respect to the secure tenants of a landlord include respectively references to a body which has become a mortgagee in consequence of the exercise by a secure tenant of the right to a mortgage and to the powers of the Secretary of State to act on behalf of such a mortgagee.

Vesting
orders.

24.—(1) For the purpose of conveying a freehold or granting a lease in the exercise of his powers under section 23 the Secretary of State may execute a document, to be known as a

vesting order, containing such provisions as he may determine ; and for the purposes of stamp duty the vesting order shall be treated as a document executed by the landlord.

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(2) A vesting order shall have the like effect, except so far as it otherwise provides, as a conveyance or grant duly executed in pursuance of this Chapter, and, in particular, shall bind the landlord and the tenant and their successors in title to the same extent as if the covenants contained in it and expressed to be made on their behalf respectively had been entered into by them.

(3) If the dwelling-house in respect of which a vesting order is made is not registered land the vesting order shall contain a certificate stating that the freehold conveyed or grant made by it is subject only to such incumbrances, rights and interests as are stated elsewhere in the vesting order or summarised in the certificate.

(4) The Chief Land Registrar shall, on a vesting order being presented to him, register the tenant as proprietor of the title concerned ; and if the title has not been previously registered he shall so register him with an absolute title, and for the purpose of the registration the Chief Land Registrar shall accept any such certificate as is mentioned in subsection (3) above as sufficient evidence of the facts stated in it.

(5) Where the dwelling-house with respect to which the right to buy is exercised is registered land the Chief Land Registrar shall, if so requested by the Secretary of State, supply him (on payment of the appropriate fee) with an office copy of any document required by the Secretary of State for the purpose of executing a vesting order with respect to the dwelling-house and shall (notwithstanding section 112 of the Land Registration Act 1925) allow any person authorised by the Secretary of State to inspect and make copies of and extracts from any register or document which is in the custody of the Chief Land Registrar and relates to the dwelling-house. 1925 c. 21.

(6) If any person suffers loss in consequence of a registration under this section in circumstances in which he would have been entitled to be indemnified under section 83 of the Land Registration Act 1925 by the Chief Land Registrar had the registration of the tenant as proprietor of the title been effected otherwise than under this section, he shall instead be entitled to be indemnified by the Secretary of State and section 23(9) shall apply accordingly.

25. A landlord, the Housing Corporation or the Secretary of State may, if the landlord, Corporation or Secretary of State thinks fit, accept any statutory declaration made for the purposes of this Chapter as sufficient evidence of the matters declared in it. Statutory declarations.

PART I
CHAPTER I
Power to
repeal or
amend local
Acts.

26.—(1) The Secretary of State may by order repeal or amend any provision of a local Act passed before this Act where it appears to him that the provision is inconsistent with any provision of this Chapter.

(2) Before making an order under this section the Secretary of State shall consult any local authority appearing to him to be concerned.

(3) An order made under this section may contain such transitional, incidental or supplementary provisions as the Secretary of State considers appropriate.

Interpretation
of Chapter I.

27.—(1) In this Chapter expressions used in Chapter II have, subject to subsections (2) and (3) below, the same meanings as in that Chapter.

(2) In this Chapter—

“district valuer”, in relation to any dwelling-house, means an officer of the Commissioners of Inland Revenue who is for the time being appointed by the Commissioners to be, in relation to the valuation list for the area in which the dwelling-house is situated, the valuation officer or deputy valuation officer, or one of the valuation officers or deputy valuation officers;

“flat”, “house” and “relevant time” have the meanings given by section 3, and “dwelling-house” the extended meaning given by subsection (4) of that section;

“landlord”, except in subsections (1) and (2) of section 2, does not include any body specified in those subsections; and

“the right to buy” and “the right to a mortgage” have the meanings given by section 1(2).

(3) References in this Chapter to a secure tenancy or a secure tenant are, in relation to any time before the commencement of Chapter II, references to a tenancy which would have been a secure tenancy if Chapter II had then been in force or to a person who would then have been a secure tenant; and for the purpose of determining whether a person would have been a secure tenant and his tenancy a secure tenancy—

(a) an authority not within the definition of “local authority” in section 50(1) shall be deemed to have been a local authority within that definition if it was the predecessor of such an authority; and

(b) a housing association shall be deemed to have been registered under Part II of the 1974 Act if it was so registered at the commencement of Chapter II.

CHAPTER II

PART I

SECURITY OF TENURE AND RIGHTS OF SECURE TENANTS

Secure tenancies

28.—(1) A tenancy under which a dwelling-house is let as a separate dwelling is a secure tenancy at any time when the conditions described below as the landlord condition and the tenant condition are satisfied, but subject to the exceptions in Schedule 3 to this Act and to subsection (5) below and sections 37 and 49 of this Act. Secure tenancies.

(2) The landlord condition is that—

- (a) the interest of the landlord belongs to one of the bodies mentioned in subsection (4) below ; or
- (b) the interest of the landlord belongs to a housing association falling within subsection (3) of section 15 of the 1977 Act ; or
- (c) the interest of the landlord belongs to a housing co-operative and the dwelling-house is comprised in a housing co-operative agreement ; or
- (d) the interest of the landlord belongs to a county council and the tenancy was granted by it in the exercise of the reserve powers conferred on county councils by section 194 of the Local Government Act 1972.

1972 c. 70.

(3) The tenant condition is that the tenant is an individual and occupies the dwelling-house as his only or principal home ; or, where the tenancy is a joint tenancy, that each of the joint tenants is an individual and at least one of them occupies the dwelling-house as his only or principal home.

(4) The bodies referred to in subsection (2)(a) above are—

- (a) a local authority ;
- (b) the Commission for the New Towns ;
- (c) a development corporation ;
- (d) the Housing Corporation ;
- (e) a housing trust which is a charity within the meaning of the Charities Act 1960 ; and
- (f) the Development Board for Rural Wales.

1960 c. 58.

(5) Where a secure tenancy is a tenancy for a term certain and the tenant dies, the tenancy remains a secure tenancy until either—

- (a) the tenancy is vested or otherwise disposed of in the course of the administration of the tenant's estate ; or
- (b) it is known that when the tenancy has been so vested or disposed of it will not be a secure tenancy.

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CHAPTER II
 Periodic
 tenancy
 following
 fixed term.

29.—(1) Where a secure tenancy (in this section referred to as “the first tenancy”) is a tenancy for a term certain and comes to an end by effluxion of time or by an order under section 32(2) below, a periodic tenancy of the same dwelling-house arises by virtue of this section, unless the tenant is granted another secure tenancy of the same dwelling-house (whether a tenancy for a term certain or a periodic tenancy) to begin on the coming to an end of the first tenancy.

(2) Where a periodic tenancy arises by virtue of this section—

(a) the periods of that tenancy are the same as those for which rent was last payable under the first tenancy ;
 and

(b) the parties and the terms of the tenancy are the same as those of the first tenancy at the end of it ;

except that the terms are confined to those which are compatible with a periodic tenancy and do not include any provision for re-entry or forfeiture.

Succession on
 death of
 tenant.

30.—(1) Where a secure tenancy is a periodic tenancy and, on the death of the tenant, there is a person qualified to succeed him, the tenancy vests by virtue of this section in that person or, if there is more than one such person, in the one who is to be preferred in accordance with subsection (3) below, unless the tenant was a successor.

(2) A person is qualified to succeed the tenant under a secure tenancy if he occupied the dwelling-house as his only or principal home at the time of the tenant's death and either—

(a) he is the tenant's spouse ; or

(b) he is another member of the tenant's family and has resided with the tenant throughout the period of twelve months ending with the tenant's death.

(3) Where there is more than one person qualified to succeed the tenant—

(a) the tenant's spouse is to be preferred to another member of the tenant's family ; and

(b) of two or more other members of the tenant's family such of them is to be preferred as may be agreed between them or as may, where there is no such agreement, be selected by the landlord.

Meaning of
 successor.

31.—(1) Where a secure tenancy is a periodic tenancy the tenant is a successor if—

(a) the tenancy vested in him by virtue of section 30 above ;
 or

(b) he was a joint tenant and has become the sole tenant ;
 or

(c) the tenancy arose by virtue of section 29 above and the first tenancy there mentioned was granted to another person or jointly to him and another person ; or

(d) he became the tenant on the tenancy being assigned to him or on its being vested in him on the death of the previous tenant ;

but a tenant to whom the tenancy was assigned in pursuance of an order under section 24 of the Matrimonial Causes Act 1973 is a successor only if the other party to the marriage was himself a successor. 1973 c. 18.

(2) Where within six months of the coming to an end of a secure tenancy which is a periodic tenancy (in this subsection referred to as the former tenancy) the tenant becomes a tenant under another secure tenancy which is a periodic tenancy ; and—

(a) the tenant was a successor in relation to the former tenancy ; and

(b) under the other tenancy either the dwelling-house or the landlord is or both are the same as under the former tenancy ;

the tenant is a successor also in relation to the other tenancy, unless the agreement creating the other tenancy otherwise provides.

32.—(1) A secure tenancy which is either—

Security of
tenure.

(a) a weekly or other periodic tenancy ; or

(b) a tenancy for a term certain but subject to termination by the landlord ;

cannot be brought to an end by the landlord except by obtaining an order of the court for the possession of the dwelling-house or an order under subsection (2) below ; and where the landlord obtains an order for the possession of the dwelling-house the tenancy ends on the date on which the tenant is to give up possession in pursuance of the order.

(2) Where a secure tenancy is a tenancy for a term certain but with a provision for re-entry or forfeiture, the court shall not order possession of the dwelling-house in pursuance of that provision ; but in any case where, but for this section, the court would have made such an order it shall instead make an order terminating the secure tenancy on a date specified in the order.

(3) Section 146 of the Law of Property Act 1925 (restriction on and relief against forfeiture), except subsection (4) (vesting in under-lessee), and any other enactment or rule of law relating to forfeiture shall apply in relation to proceedings for an order under subsection (2) above as if they were proceedings to enforce a right of re-entry or forfeiture. 1925 c. 20.

PART I
CHAPTER II
Proceedings
for possession
or termination.

33.—(1) The court shall not entertain proceedings for the possession of a dwelling-house let under a secure tenancy or for the termination of a secure tenancy, unless the landlord has served on the tenant a notice complying with the provisions of this section and, if the tenancy is a periodic tenancy—

- (a) the proceedings are begun after the date specified in the notice ; and
- (b) the notice is still in force at the time the proceedings are begun.

(2) A notice under this section must be in a form prescribed by regulations made by the Secretary of State and must specify the ground on which the court will be asked to make an order for the possession of the dwelling-house or for the termination of the tenancy and give particulars of that ground.

(3) If the secure tenancy is a periodic tenancy the notice—

- (a) must also specify a date after which proceedings for the possession of the dwelling-house may be begun ; and
- (b) ceases to be in force twelve months after the date specified in it ;

and the date specified in it must not be earlier than the date on which the tenancy could, apart from this Act, be brought to an end by notice to quit given by the landlord if the notice to quit were given on the same date as the notice under this section.

(4) Where a notice under this section is served with respect to a secure tenancy for a term certain it has effect also with respect to any periodic tenancy arising by virtue of section 29 above on the termination of that tenancy, and paragraphs (a) and (b) of subsection (1) and subsection (3) above do not apply to the notice.

Grounds and
orders for
possession.

34.—(1) The court shall not make an order for the possession of a dwelling-house let under a secure tenancy except on one or more of the grounds set out in Part I of Schedule 4 to this Act and shall not make such an order on any of those grounds unless the ground is specified in the notice in pursuance of which proceedings for possession are begun ; but the grounds so specified may be altered or added to with the leave of the court.

(2) The court shall not make the order—

- (a) on any of grounds 1 to 6, unless the condition in subsection (3)(a) below is satisfied ;
- (b) on any of grounds 7 to 9, unless the condition in subsection (3)(b) below is satisfied ; and
- (c) on any of grounds 10 to 13, unless both those conditions are satisfied.

(3) The conditions are—

PART I
CHAPTER II

- (a) that the court considers it reasonable to make the order ; and
- (b) that the court is satisfied that suitable accommodation will be available for the tenant when the order takes effect.

(4) Part II of Schedule 4 has effect for determining whether suitable accommodation will be available for a tenant.

Terms of a secure tenancy

35.—(1) It is by virtue of this section a term of every secure tenancy that the tenant may allow any persons to reside as lodgers in the dwelling-house. Subletting and lodgers.

(2) It is by virtue of this section a term of every secure tenancy that the tenant will not, without the written consent of the landlord, sublet or part with the possession of part of the dwelling-house.

(3) The consent required by virtue of this section is not to be unreasonably withheld and, if unreasonably withheld, shall be treated as given.

(4) Section 113(5) of the 1957 Act shall cease to have effect.

36.—(1) If any question arises whether the withholding of a consent was unreasonable it is for the landlord to show that it was not ; and in determining that question the following matters, if shown by the landlord, are among those to be taken into account, namely— Provisions as to consents required by section 35.

(a) that the consent would lead to overcrowding of the dwelling-house (as determined for the purposes of the 1957 Act) ; and

(b) that the landlord proposes to carry out works on the dwelling-house or on the building of which it forms part and that the proposed works will affect the accommodation likely to be used by the sub-tenant who would reside in the dwelling-house as a result of the consent.

(2) A consent may be validly given notwithstanding that it follows, instead of preceding, the action requiring it.

(3) A consent cannot be given subject to a condition, and if purporting to be given subject to a condition shall be treated as given unconditionally.

(4) Where the tenant has applied in writing for a consent then—

(a) if the landlord refuses to give the consent it shall give to the tenant a written statement of the reasons why the consent was refused ; and

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CHAPTER II

(b) if the landlord neither gives nor refuses to give the consent within a reasonable time the consent shall be taken to have been withheld.

(5) In this section a "consent" means a consent which is required by virtue of section 35 above.

Effect of
assignment or
subletting, etc.
1973 c. 18.

37.—(1) If a secure tenancy is assigned it ceases to be a secure tenancy, unless—

(a) the assignment is made in pursuance of an order under section 24 of the Matrimonial Causes Act 1973 ; or

(b) at a time when a tenancy is not a secure tenancy the would or might have vested by virtue of section 30 above had the tenant died immediately before the assignment, or in whom it would or might have so vested had the tenancy been a periodic tenancy ;

and similarly where, on the death of the tenant, a secure tenancy is vested or otherwise disposed of in the course of the administration of his estate.

(2) If the tenant under a secure tenancy parts with the possession of the dwelling-house or sublets the whole of it (or sublets first part of it and then the remainder) the tenancy ceases to be a secure tenancy.

(3) Where—

(a) a tenancy ceases to be a secure tenancy by virtue of this section ; or

(b) at a time when a tenancy is not a secure tenancy the tenancy is assigned or the tenant parts with the possession of the dwelling-house or sublets the whole of it (or sublets first part of it and then the remainder) ;

the tenancy cannot become a secure tenancy.

Reimburse-
ment of cost
of tenant's
improvements.

38.—(1) This section applies where a secure tenant has made an improvement and—

(a) the landlord, or a predecessor in title of the landlord, has given its written consent to the improvement or is treated as having given its consent ; and

(b) work on the improvement was begun not earlier than the commencement of this Chapter ; and

(c) the improvement has materially added to the price which the dwelling-house may be expected to fetch if sold on the open market or the rent which the landlord may be expected to be able to charge on letting the dwelling-house.

(2) Where this section applies, the landlord shall (in addition to any other power to make such payments) have power to make, at or after the end of the tenancy, such payment to the tenant (or his personal representatives) in respect of the improvement as the landlord considers to be appropriate.

PART I
CHAPTER II

(3) The amount which a landlord may pay under subsection (2) above in respect of an improvement must not exceed the cost, or likely cost, of the improvement after deducting the amount of any grant in respect of that improvement under Part VII of the 1974 Act.

39. Where a person who is or was the secure tenant of a dwelling-house has lawfully made an improvement and has borne or would, but for a grant under Part VII of the 1974 Act, have borne, the whole or part of its cost, then in determining— Rent not to be increased on account of tenant's improvements.

- (a) at any time whilst he is a secure tenant of that dwelling-house ; or
- (b) if he has died and on his death the tenancy vested in his spouse under section 30, at any time whilst his spouse is a secure tenant of that dwelling-house ;

whether or to what extent to increase the rent, the landlord shall treat the improvement as justifying only such part of any increase which would otherwise be attributable to the improvement as corresponds to the part of the cost which neither has nor would have been so borne (and accordingly as not justifying any increase if the whole of the cost has or would have been so borne).

This section does not apply to any increase attributable to rates.

40.—(1) The terms of a secure tenancy may be varied in accordance with the provisions of this section but not otherwise. Variation of terms of secure tenancy.

(2) This section does not apply to any term of a tenancy which is implied by any enactment (including this Act) or to such a term of a housing association tenancy as may be varied under section 93 of the 1977 Act (increase of rent without notice to quit).

(3) The variation may be effected—

- (a) by agreement between the landlord and the tenant ; or
- (b) to the extent only that it relates to rent or to payments in respect of rates or services, by the landlord or the tenant in accordance with any provision in the lease or agreement creating the tenancy or in any agreement varying it.

(4) If the tenancy is a periodic tenancy the variation may also be effected by the landlord by a notice of variation served on the tenant.

(5) A notice of variation must specify the variation effected by it and the date on which it takes effect ; and the period between the date on which it is served and the date on which it takes effect must not be shorter than the rental period of the tenancy nor shorter than 4 weeks.

PART I
CHAPTER II

(6) Before serving a notice of variation on the tenant the landlord shall—

(a) serve on him a preliminary notice informing him of the landlord's intention to serve a notice of variation, specifying the variation proposed to be effected and its effect and inviting him to comment on the proposed variation within such time, to be specified in the notice, as the landlord considers reasonable ; and

(b) consider any comment made by the tenant within the time specified in the preliminary notice ;

and when the notice of variation is served it must be accompanied by such information as the landlord considers necessary to inform the tenant of the nature and effect of the variation.

(7) Subsection (6) above does not apply to a variation—

(a) of the rent or of payments in respect of services or facilities provided by the landlord ; or

(b) of payments in respect of rates.

(8) Where a notice of variation is served on the tenant and the tenant, before the date specified in it, gives a valid notice to quit, the notice of variation does not take effect unless the tenant, with the written agreement of the landlord, withdraws his notice to quit before that date.

(9) References in this section to variation include addition and deletion ; and for the purposes of this section the conversion of a monthly tenancy into a weekly, or a weekly into a monthly, tenancy is a variation of a term of the tenancy, but a variation of the premises let under a tenancy is not.

(10) This section applies in relation to the terms of a periodic tenancy arising by virtue of section 29 of this Act as it would have applied to the terms of the first tenancy mentioned in that section had that tenancy been a periodic tenancy.

Provision of
information
about
tenancies.

41.—(1) Every body which lets dwelling-houses under secure tenancies shall, within two years of the commencement of this Chapter and thereafter from time to time, publish information about its secure tenancies in such form as it considers best suited to explain in simple terms and so far as it considers appropriate, the effect of—

(a) the express terms of its secure tenancies ;

(b) the provisions of this Part, and Part III of this Act ;

(c) the provisions of sections 32 and 33 of the Housing Act 1961.

1961 c. 65.

(2) Every such body shall ensure that, so far as is reasonably practicable, the information published under subsection (1) above is kept up to date.

(3) The landlord under a secure tenancy shall supply the tenant—

- (a) with a copy of the information for secure tenants published by it under subsection (1) above; and
- (b) with a written statement of the terms of the tenancy, so far as they are neither expressed in the lease or written tenancy agreement, if any, nor implied by law.

(4) The statement required by subsection (3)(b) above shall be supplied—

- (a) if the tenancy is granted after the commencement of this Chapter, on the grant of the tenancy or as soon as practicable afterwards; and
- (b) if the tenancy was granted before the commencement of this Chapter, within two years of that commencement.

Housing management

42.—(1) In this Chapter “landlord authority” means—

- (a) a local authority;
- (b) subject to section 49 of this Act, a housing association which falls within section 15(3) of the 1977 Act;
- (c) a housing trust which is a charity within the meaning of the Charities Act 1960;
- (d) a development corporation; or
- (e) the Development Board for Rural Wales;

Meaning of
“landlord
authority” and
“housing
management.”

1960 c. 58.

but neither the Development Board for Rural Wales nor a development corporation is a landlord authority for the purposes of this Chapter if an exemption certificate has been issued to it by the Secretary of State under section 45 of this Act.

(2) A matter is one of housing management for the purposes of this Chapter if, in the opinion of the landlord authority concerned, it—

- (a) relates to the management, maintenance, improvement or demolition of dwelling-houses let by the authority under secure tenancies, or to the provision of services or amenities in connection with such dwelling-houses; and
- (b) represents a new programme of maintenance, improvement or demolition or a change in the practice or policy of the authority; and
- (c) is likely substantially to affect its secure tenants as a whole or a group of them.

(3) A matter is not one of housing management for the purposes of this Chapter in so far as it relates to the rent payable under any secure tenancy or to any charge for services or facilities provided by the landlord authority concerned.

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CHAPTER II

(4) In this section "group" means a group of secure tenants who—

- (a) form a distinct social group; or
- (b) occupy dwelling-houses which constitute a distinct class (whether by reference to the kind of dwelling-house concerned or the housing estate or other larger area in which they are situated).

(5) In the case of a landlord authority which is a local authority, the reference in subsection (2)(a) above to the provision of services or amenities is to be taken as referring only to the provision of services or amenities by the authority acting in its capacity as landlord of the dwelling-houses concerned.

Consultation
with secure
tenants.

43.—(1) Every landlord authority shall, within 12 months of the commencement of this Chapter, make and thereafter maintain such arrangements as it considers appropriate to enable those of its secure tenants who are likely to be substantially affected by a matter of housing management—

- (a) to be informed of the authority's proposals in respect of that matter; and
- (b) to make their views known to the authority within a specified period.

(2) It shall be the duty of a landlord authority, before making any decision on a matter of housing management, to consider any representation made to it in accordance with arrangements made by the authority under this section.

(3) Every landlord authority shall publish details of the arrangements which it makes under this section and a copy of any document published under this subsection shall—

- (a) be made available at the authority's principal office for inspection at all reasonable hours, without charge, by members of the public; and
- (b) be furnished, on payment of a reasonable fee, to any member of the public who asks for one.

(4) A landlord authority which is a housing association falling within section 15(3)(a) of the 1977 Act (registered with Housing Corporation) shall, instead of complying with paragraph (a) of subsection (3) above, send a copy of any document published under that subsection—

- (a) to the Housing Corporation; and
- (b) to the council of any district or London borough in which there are dwelling-houses let by the association under secure tenancies.

(5) Where a copy of any document is sent to the council of a district or London borough under subsection (4) above, the council shall make it available at its principal office for inspection at all reasonable hours, without charge, by members of the public.

44.—(1) Every landlord authority shall publish a summary of its rules—

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CHAPTER II
Provision of
information
about housing
allocation.

- (a) for determining priority as between applicants in the allocation of its housing accommodation; and
- (b) governing cases where secure tenants wish to move (whether or not by way of an exchange of dwelling-houses) to other dwelling-houses let under secure tenancies by that landlord authority or by any other body.

(2) Every landlord authority shall—

- (a) maintain a set of those rules and of the rules which it has laid down governing the procedure to be followed in allocating its housing accommodation; and
- (b) subject to subsection (3) below, make them available at its principal office for inspection at all reasonable hours without charge by members of the public.

(3) A landlord authority which is a housing association falling within section 15(3)(a) of the 1977 Act (registered with Housing Corporation) shall, instead of complying with subsection (2)(b) above, send a set of the rules mentioned in subsection (2)(a) above—

- (a) to the Housing Corporation; and
- (b) to the council of any district or London borough in which there are dwelling-houses let or to be let by the association under secure tenancies.

(4) Where a copy of any set of rules maintained under subsection (2) above is sent to the council of a district or London borough under subsection (3) above, the council shall make it available at its principal office for inspection at all reasonable hours, without charge, by members of the public.

(5) A copy of any summary published under subsection (1) above shall be furnished without charge, and a copy of any set of rules maintained under subsection (2) above shall be furnished on payment of a reasonable fee, to any member of the public who asks for one.

(6) At the request of any person who has applied to it for housing accommodation, a landlord authority shall make available to him, at all reasonable times and without charge, details of the particulars which he has given to the authority about himself and his family and which the authority has recorded as being relevant to his application for accommodation.

45.—(1) On an application duly made by the Development Board for Rural Wales or by a development corporation, the Secretary of State may issue an exemption certificate to the applicant if—

- (a) he is satisfied that it has transferred, or otherwise disposed of, at least three-quarters of the dwellings which

PART I
CHAPTER II

1976 c. 68.

have at any time before the making of the application been vested in it ; or

- (b) he has, before the commencement of this Chapter, given directions to it under section 3(1) of the New Towns (Amendment) Act 1976 for the transfer of dwellings vested in it and is satisfied that when the transfer of those dwellings is completed it will have transferred, or otherwise disposed of, at least three-quarters of the dwellings which have at any time before that date been vested in it.

(2) An application under this section shall be in such form and shall be accompanied by such information as the Secretary of State may, either generally or in relation to a particular case, direct.

Contributions towards the cost of transfers and exchanges.

46.—(1) The Secretary of State may with the consent of the Treasury make out of moneys provided by Parliament grants or loans towards the cost of arrangements for facilitating moves to and from homes by which—

- (a) a secure tenant becomes, at his request, the secure tenant of a different landlord ; or
(b) each of two or more tenants of dwelling-houses, one at least of which is let under a secure tenancy, becomes the tenant of the other or of one of the others.

(2) The grants or loans may be made subject to such conditions as the Secretary of State may determine, and may be made so as to be repayable or, as the case may be, repayable earlier, if there is a breach of such a condition.

Application to existing tenancies

Application to existing tenancies.

47. This Chapter applies to tenancies granted before as well as to tenancies granted after the commencement of this Chapter.

Application to licences

Application to licences.

48.—(1) Where a person who is not the tenant of a dwelling-house has a licence (whether or not granted for a consideration) to occupy the dwelling-house and the circumstances are such that, if the licence were a tenancy, it would be a secure tenancy, then, subject to subsection (2) below, this Part of this Act applies to the licence as it applies to a secure tenancy and, as so applying, has effect as if expressions appropriate to a licence were substituted for “ landlord ”, “ tenant ”, “ tenancy ” and “ secure tenancy ”.

(2) Subsection (1) above does not apply to a licence which was granted as a temporary expedient to a person who entered the dwelling-house or any other land as a trespasser (whether or not before the grant another licence to occupy that or another dwelling-house had been granted to him).

Housing associations

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CHAPTER II

49.—(1) In this section—

“registered association” means a housing association which falls within paragraph (a) of section 15(3) of the 1977 Act (associations registered with the Housing Corporation); and

Exclusion of certain housing associations from Chapter II.

“registered society” means a housing association which falls within paragraph (d) of section 15(3) (certain associations registered under the Industrial and Provident Societies Act 1965).

1965 c. 12.

(2) A tenancy is not a secure tenancy at any time when the interest of the landlord belongs to a housing association which is both a registered association and a registered society.

(3) Sections 35 to 46 of this Act do not apply to a tenancy at any time when the interest of the landlord belongs to a housing association which is a registered society.

(4) If a housing association which is a registered society has been a registered association but at any time after the commencement of this Chapter has ceased to be such an association it shall notify those of its tenants who thereby become secure tenants that they have become secure tenants.

(5) Notice under subsection (4) above shall be given in writing to each tenant concerned, within the period of 21 days beginning with the date on which the association ceased to be a registered association.

*Supplementary***50.—(1) In this Chapter—**

“development corporation” means a development corporation established by an order made, or having effect as if made, under the New Towns Act 1965;

Interpretation of Chapter II.

1965 c. 59.

“housing co-operative” has the meaning given by paragraph 1 of Schedule 20 to this Act;

“housing co-operative agreement” means an agreement to which Schedule 20 applies;

“housing trust” has the same meaning as in section 15 of the 1977 Act;

“improvement” has the meaning given by section 81;

“landlord authority” has the meaning given by section 42(1);

“local authority” means the council of a district, the Greater London Council, the council of a London borough, the Common Council of the City of London or the Council of the Isles of Scilly;

PART I
CHAPTER II

“rental period” means a period in respect of which a payment of rent falls to be made;

“successor” has the meaning given by section 31; and

“term”, in relation to a secure tenancy, includes a condition of the tenancy.

(2) For the purposes of this Chapter—

(a) a dwelling-house may be a house or part of a house;

(b) land let together with a dwelling-house shall be treated as part of the dwelling-house unless the land is agricultural land exceeding two acres;

1967 c. 9. and in this subsection “agricultural land” has the meaning set out in section 26(3)(a) of the General Rate Act 1967.

(3) A person is a member of another’s family within the meaning of this Chapter if he is his spouse, parent, grandparent, child, grandchild, brother, sister, uncle, aunt, nephew or niece; treating—

(a) any relationship by marriage as a relationship by blood, any relationship of the half blood as a relationship of the whole blood and the stepchild of any person as his child; and

(b) an illegitimate person as the legitimate child of his mother and reputed father;

or if they live together as husband and wife.

PART II

PRIVATE SECTOR TENANTS

Protected shorthold tenancies

Preliminary. 51. Sections 53 to 55 below modify the operation of the 1977 Act in relation to protected shorthold tenancies as defined in section 52 below.

Protected
shorthold
tenancies.

52.—(1) A protected shorthold tenancy is a protected tenancy granted after the commencement of this section which is granted for a term certain of not less than one year nor more than five years and satisfies the following conditions, that is to say,—

(a) it cannot be brought to an end by the landlord before the expiry of the term, except in pursuance of a provision for re-entry or forfeiture for non-payment of rent or breach of any other obligation of the tenancy; and

(b) before the grant the landlord has given the tenant a valid notice stating that the tenancy is to be a protected shorthold tenancy; and

(c) either a rent for the dwelling-house is registered at the time the tenancy is granted or—

(i) a certificate of fair rent has, before the grant, been issued under section 69 of the 1977 Act in respect of the dwelling-house and the rent payable under the tenancy, for any period before a rent is registered for the dwelling-house, does not exceed the rent specified in the certificate; and

(ii) an application for the registration of a rent for the dwelling-house is made not later than 28 days after the beginning of the term and is not withdrawn.

(2) A tenancy of a dwelling-house is not a protected shorthold tenancy if it is granted to a person who, immediately before it was granted, was a protected or statutory tenant of that dwelling-house.

(3) A notice is not valid for the purposes of subsection (1)(b) above unless it complies with the requirements of regulations made by the Secretary of State.

(4) The Secretary of State may by order direct that subsection (1) above shall have effect, either generally or in relation to any registration area specified in the order, as if paragraph (c) were omitted.

(5) If a protected tenancy is granted after the commencement of this section—

(a) for such a term certain as is mentioned in subsection (1) above, to be followed, at the option of the tenant, by a further term; or

(b) for such a term certain and thereafter from year to year or some other period;

and satisfies the conditions stated in that subsection, the tenancy is a protected shorthold tenancy until the end of the term certain.

53.—(1) A protected shorthold tenancy may be brought to an end (by virtue of this section and notwithstanding anything in the terms of the tenancy) before the expiry of the term certain by notice in writing of the appropriate length given by the tenant to the landlord; and the appropriate length of the notice is—

Right of tenant to terminate protected shorthold tenancy.

(a) one month if the term certain is two years or less; and

(b) three months if it is more than two years.

(2) Any agreement relating to a protected shorthold tenancy (whether or not contained in the instrument creating the tenancy) shall be void in so far as it purports to impose any penalty or disability on the tenant in the event of his giving a notice under this section.

PART II
Subletting or
assignment.

54.—(1) Where the whole or part of a dwelling-house let under a protected shorthold tenancy has been sublet at any time during the continuous period specified in subsection (3) below, and, during that period, the landlord becomes entitled, as against the tenant, to possession of the dwelling-house, he shall also be entitled to possession against the sub-tenant and section 137 of the 1977 Act shall not apply.

1973 c. 18.

(2) A protected shorthold tenancy of a dwelling-house and any protected tenancy of the same dwelling-house granted during the continuous period specified in subsection (3) below shall not be capable of being assigned, except in pursuance of an order under section 24 of the Matrimonial Causes Act 1973.

(3) The continuous period mentioned in subsections (1) and (2) above is the period beginning with the grant of the protected shorthold tenancy and continuing until either—

- (a) no person is in possession of the dwelling-house as a protected or statutory tenant ; or
- (b) a protected tenancy of the dwelling-house is granted to a person who is not, immediately before the grant, in possession of the dwelling-house as a protected or statutory tenant.

Orders for
possession.

55.—(1) The following Case shall be added to the Cases in Part II of Schedule 15 to the 1977 Act (mandatory orders for possession):

“ Case 19

Where the dwelling-house was let under a protected shorthold tenancy (or is treated under section 55 of the Housing Act 1980 as having been so let) and—

- (a) there either has been no grant of a further tenancy of the dwelling-house since the end of the protected shorthold tenancy or, if there was such a grant, it was to a person who immediately before the grant was in possession of the dwelling-house as a protected or statutory tenant ; and
- (b) the proceedings for possession were commenced after appropriate notice by the landlord to the tenant and not later than 3 months after the expiry of the notice.

A notice is appropriate for this Case if—

- (i) it is in writing and states that proceedings for possession under this Case may be brought after its expiry ; and
- (ii) it expires not earlier than 3 months after it is served nor, if, when it is served, the tenancy is a periodic tenancy, before that periodic tenancy could be brought to an end by a notice to quit served by the landlord on the same day ;

(iii) it is served—

PART II

(a) in the period of 3 months immediately preceding the date on which the protected shorthold tenancy comes to an end ; or

(b) if that date has passed, in the period of 3 months immediately preceding any anniversary of that date ; and

(iv) in a case where a previous notice has been served by the landlord on the tenant in respect of the dwelling-house, and that notice was an appropriate notice, it is served not earlier than 3 months after the expiry of the previous notice.”

(2) If, in proceedings for possession under Case 19 set out above, the court is of opinion that, notwithstanding that the condition of paragraph (b) or (c) of section 52(1) above is not satisfied, it is just and equitable to make an order for possession, it may treat the tenancy under which the dwelling-house was let as a protected shorthold tenancy.

Assured tenancies

56.—(1) A tenancy under which a dwelling-house is let as a Assured separate dwelling is an assured tenancy and not a housing tenancies. association tenancy (within the meaning of section 86 of the 1977 Act) or a protected tenancy if—

(a) it would, when created, have been a protected tenancy or, as the case may be, housing association tenancy but for this section ; and

(b) the conditions described in subsection (3) below are satisfied.

(2) In this Part of this Act “assured tenant” means the tenant under an assured tenancy.

(3) The conditions are that—

(a) the interest of the landlord has, since the creation of the tenancy, belonged to an approved body ;

(b) the dwelling-house is, or forms part of, a building which was erected (and on which construction work first began) after the passing of this Act ; and

(c) before the tenant first occupied the dwelling-house under the tenancy, no part of it had been occupied by any person as his residence except under an assured tenancy.

(4) In this Part of this Act “approved body” means a body, or one of a description of bodies, for the time being specified for the purposes of this Part of this Act in an order made by the Secretary of State.

PART II

(5) After section 16 of the 1977 Act there is inserted the following section—

"Assured
tenancies.

16A. A tenancy shall not be a protected tenancy at any time when it is an assured tenancy within the meaning of section 56 of the Housing Act 1980."

(6) The preceding provisions of this section do not apply to a tenancy if, before the grant of the tenancy, the landlord has given the tenant a valid notice stating that the tenancy is to be a protected tenancy or, as the case may be, a housing association tenancy and not an assured tenancy.

(7) A notice is not valid for the purposes of subsection (6) above unless it complies with the requirements of regulations made by the Secretary of State.

Effect of
interest of
landlord
ceasing to
belong to
approved body.

57.—(1) If the landlord under an assured tenancy ceases to be an approved body by reason only of a variation in the bodies or descriptions of bodies for the time specified in an order under section 56(4) of this Act, then in relation to—

(a) that tenancy; and

(b) any further tenancy granted by the landlord to the person who immediately before the grant was in possession of the dwelling-house as an assured tenant;

the landlord shall be treated, for the purposes of the condition in section 56(3)(a) above, as if it had remained an approved body.

(2) If, for any period—

(a) the interest of the landlord under an assured tenancy has ceased to belong to an approved body, for any reason other than that mentioned in subsection (1) above; and

(b) but for this subsection the tenancy would thereby have become a housing association tenancy (within the meaning of section 86 of the 1977 Act) or a protected tenancy;

then so much of that period as does not exceed 3 months shall be disregarded in determining whether the condition in section 56(3)(a) above is satisfied in relation to that tenancy.

Application
of Landlord
and Tenant
Act 1954.
1954 c. 56.

58.—(1) Part II of the Landlord and Tenant Act 1954 (renewal and continuation of tenancies) applies to assured tenancies as it applies to certain business and other tenancies by virtue of section 23 of that Act, but subject to the exceptions and modifications mentioned in Schedule 5 to this Act.

(2) Part IV of that Act (miscellaneous and supplementary provisions) applies to assured tenancies subject to the exceptions and modifications mentioned in Schedule 5.

Rents

PART II

59.—(1) In section 63(2) of the 1977 Act (provision to be made by rent officer schemes) there is inserted, at the end of paragraph (d) “; and

Rent officers and applications for registration of rent.

(e) may require the proper officer—

(i) to designate one of the rent officers as chief rent officer; and

(ii) to delegate to him such of the duties imposed on the proper officer by virtue of paragraph (d) above as may be specified in the scheme.”

(2) In section 67 of the 1977 Act (application for registration of rent) for subsection (2) there is substituted the following subsection—

“ (2) Any such application must be in the prescribed form and must—

(a) specify the rent which it is sought to register;

(b) where the rent includes any sum payable by the tenant to the landlord for services and the application is made by the landlord, specify that sum and be accompanied by details of the expenditure incurred by the landlord in providing those services; and

(c) contain such other particulars as may be prescribed.”

(3) Schedule 6 to this Act has effect, in relation to applications made after the commencement of this subsection, for the purpose of amending the procedure provided for by the 1977 Act in relation to applications for the registration of rent.

60.—(1) In section 67 of the 1977 Act (which, among other things, prevents an application for a new registered rent from being made within 3 years of the date of an existing registration and which is applied by section 13(2) of the Rent (Agriculture) Act 1976 to rents registered under that Act) in subsections (3) and (4) for the words “3 years” there are substituted, in each case, the words “2 years”.

Applications for new registered rents and phasing of increases.
1976 c. 80.

(2) Subsection (1) above does not apply in any case where, on the determination or confirmation of a rent by the rent officer, the rent determined by him is registered, or his confirmation is noted in the register, before the commencement of this section.

PART II

(3) In Schedule 6 to the 1976 Act and in Schedule 8 to the 1977 Act (phasing of increases in registered rents) there is substituted, in each case for paragraph 3, the following paragraph—

“3.—(1) Subject to sub-paragraph (2) below, the permitted increase for a period falling within the period of delay is an increase to an amount calculated by applying the formula—

$$\frac{1}{2}(P+S+R)$$

where—

P is the previous rent limit,

S is the service element, and

R is the registered rent.

(2) The maximum permitted increase by virtue of this Schedule is an increase to the registered rent”.

(4) Sections 56 and 114 of, and Schedule 9 to, the 1977 Act (special phasing rules in cases where controlled tenancies have been converted into regulated tenancies and where certain improvements have been made to dwelling-houses) are hereby repealed; and the general rules relating to the phasing of rent increases contained in section 55 of, and Schedule 8 to, that Act shall apply in those cases.

(5) The Secretary of State may by order make provision—

- (a) reducing or increasing the period for the time being mentioned in section 67(3) and (4) of the 1977 Act; or
- (b) reducing or increasing the period of delay for the time being imposed by the Schedules mentioned in subsection (3) above; or
- (c) repealing section 55 of the 1977 Act and section 15 of the 1976 Act (phasing of rent increases).

(6) An order under subsection (5)(a) above may make a corresponding reduction or increase in any of the periods for the time being mentioned in section 13 of the 1976 Act (application for registration of rent) and sections 73(1)(a) and (1A)(a) (cancellation of registration of rent under Part IV), 80(2) (reconsideration of rent under restricted contract) and 81A (cancellation of registration of rent under Part V) of the 1977 Act.

(7) An order under subsection (5) above may make such supplemental, incidental and consequential provision as the Secretary of State considers necessary or expedient, including provision amending any enactment (including this Act).

61.—(1) For section 72 of the 1977 Act (effect of registration of rent) there is substituted the following section—

PART II

“Effect of
registration
of rent.

72.—(1) The registration of a rent for a dwelling-house takes effect—

Effect of
registration
of rent etc.

- (a) if the rent is determined by the rent officer, from the date when it is registered, and
- (b) if the rent is determined by a rent assessment committee, from the date when the committee make their decision.

(2) If the rent for the time being registered is confirmed, the confirmation takes effect—

- (a) if it is made by the rent officer, from the date when it is noted in the register, and
- (b) if it is made by a rent assessment committee, from the date when the committee make their decision.

(3) If (by virtue of section 67(4) of this Act) an application for registration of a rent is made before the expiry of the period mentioned in section 67(3) and the resulting registration of a rent for the dwelling-house, or confirmation of the rent for the time being registered, would, but for this subsection, take effect before the expiry of that period it shall take effect on the expiry of that period.

(4) The date from which the registration or confirmation of a rent takes effect shall be entered in the register.

(5) As from the date on which the registration of a rent takes effect any previous registration of a rent for the dwelling-house ceases to have effect.

(6) Where a valid notice of increase under any provision of Part III of this Act has been served on a tenant and, in consequence of the registration of a rent, part but not the whole of the increase specified in the notice becomes irrecoverable from the tenant, the registration shall not invalidate the notice, but the notice shall, as from the date from which the registration takes effect, have effect as if it specified such part only of the increase as has not become irrecoverable.”

(2) For subsections (4) to (6) of section 13 of the Rent (Agriculture) Act 1976 (effect of registration of rent) there are substituted the following subsections—

“ (4) The registration of a rent in the said part of the register takes effect—

- (a) if the rent is determined by the rent officer, from the date when it is registered, and

PART II

(b) if the rent is determined by a rent assessment committee, from the date when the committee make their decision.

(5) If the rent for the time being registered in the said part of the register is confirmed, the confirmation takes effect—

(a) if it is made by the rent officer, from the date when it is noted in the register, and

(b) if it is made by a rent assessment committee, from the date when the committee make their decision.

(6) If (by virtue of section 67(4) of the Rent Act 1977, as applied by subsection (2) above) an application for registration of a rent is made before the expiry of the period mentioned in section 67(3) and the resulting registration of a rent for the dwelling-house, or confirmation of the rent for the time being registered, would, but for this subsection, take effect before the expiry of that period it shall take effect on the expiry of that period.

(6A) The date from which the registration or confirmation of a rent takes effect shall be entered in the said part of the register.

(6B) As from the date on which the registration of a rent takes effect any previous registration of a rent for the dwelling-house ceases to have effect."

(3) In Part VI of the 1977 Act (rent limit for dwellings let by housing associations, housing trusts and the Housing Corporation)

(a) in section 87 (registration of rent), in subsection (2)(a) for the words "and 70" there are substituted the words "70 and 72" and subsections (3) to (5) are hereby repealed; and

(b) subsections (1) and (2) of section 96 (effect of determination by rent assessment committee) are hereby repealed."

(4) In section 45 of the 1977 Act (limit of rent during statutory periods) in subsection (3) for the words "on which the rent was registered" there are substituted the words "from which the registration of the rent took effect".

(5) In section 67 of the 1977 Act, for subsection (5) (meaning of "relevant date" in relation to applications for registration of rent) there is substituted the following subsection—

"(5) In this section and sections 68 and 69 of this Act "relevant date", in relation to a rent which has been registered under this Part of this Act, means

the date from which the registration took effect or, in the case of a registered rent which has been confirmed, the date from which the confirmation (or, where there have been two or more successive confirmations, the last of them) took effect.”.

(6) In Schedule 6 to the Rent (Agriculture) Act 1976 and in 1976 c. 80. Schedule 8 to the 1977 Act (phasing of rent increases)—

(a) in paragraph 1(1)—

(i) in the definition of “period of delay” for the words from “means” to the end there are substituted the words “means—

(a) if the registered rent has been confirmed by a rent assessment committee, a period beginning with the date from which the registration of the rent took effect and ending one year after the date on which the committee took their decision; and

(b) in any other case, a period of one year beginning with the date from which the registration took effect.”.

(ii) in the definition of “previous rent limit” for the words “at the date of registration” there are substituted the words “immediately before the relevant date”; and

(iii) before the definition of “service element” there is inserted the following definition—

“relevant date” means, in relation to a registered rent—

(a) if the rent was determined by the rent officer (and whether or not it was confirmed by a rent assessment committee), the date on which the rent was registered by the rent officer; and

(b) if the rent was determined by a rent assessment committee, the date on which the rent officer registered the rent determined by him or, as the case may be, noted in the register his confirmation of the rent for the time being registered.;

(b) for paragraph 4 there is substituted the following paragraph—

“4. Where the registration of a rent takes effect in a period of delay which began by reference to an earlier registration, then—

(a) from the date on which the later registration takes effect the limitation under that period of delay shall cease to apply; and

PART II

(b) a fresh period of delay shall begin by reference to the later registration.”; and

(c) paragraphs 7 (in Schedule 6) and 8 (in Schedule 8) are hereby repealed.

(7) In Schedule 11 to the 1977 Act (procedure on application for registration of rent), in paragraph 9(2) for the word “accordingly” there are substituted the words “of their decision and of the date on which it was made”.

(8) Subsections (1) to (5) above do not apply in any case where, on the determination or confirmation of a rent by the rent officer, the rent determined by him is registered, or his confirmation is noted in the register, before the commencement of this section.

Cancellation of
registration
of rent.

62.—(1) Section 73 of the 1977 Act is amended as follows.

(2) After subsection (1) there is inserted the following subsection:—

“(1A) Such an application may also be made where—

(a) not less than two years have elapsed since the relevant date (as defined in section 67(5) of this Act); and

(b) the dwelling-house is not for the time being subject to a regulated tenancy; and

(c) the application is made by the person who would be the landlord if the dwelling-house were let on such a tenancy.”

(3) For subsection (3) there is substituted the following subsection—

“(3) An application under this section must—

(a) be in the form prescribed for the application concerned and contain the prescribed particulars; and

(b) be accompanied, in the case of an application under subsection (1) above, by a copy of the rent agreement.”

(4) In subsection (4)—

(a) after the word “If” there are inserted the words “the application is made under subsection (1) above and”; and

(b) at the end there are inserted the words “and he shall also cancel the registration if the application is made under subsection (1A) above”.

(5) In subsection (5) after the word “Where” there are inserted the words “the application is made under subsection (1) above and”.

(6) In subsection (6) for the words "The cancellation" there are substituted the words "A cancellation made in pursuance of an application under subsection (1) above".

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63. Section 48 of the 1977 Act (increase, on account of improvements, of recoverable rent for statutory periods before registration) and section 50 of that Act (private street works to count as improvements) are hereby repealed. Repeal of sections 48 and 50 of Rent Act 1977.

Conversion of controlled tenancies

64.—(1) At the commencement of this section every controlled tenancy shall cease to be a controlled tenancy and become a regulated tenancy, except in the case mentioned in subsection (2) below. Conversion of controlled tenancies into regulated tenancies.

(2) If the controlled tenancy is one to which Part II of the Landlord and Tenant Act 1954 would apply, apart from section 24(2) of the 1977 Act, or would so apply if it were a tenancy within the meaning of the Act of 1954, it shall, when it ceases to be a controlled tenancy, be treated as a tenancy continuing by virtue of section 24 of the Act of 1954 after the expiry of a term of years certain. 1954 c. 56.

Regulated tenancies

65.—(1) In section 12(1) of the 1977 Act (certain tenancies granted by resident landlords not to be protected tenancies) for paragraphs (a) to (c) there are substituted the following paragraphs— Resident landlords.

- "(a) the dwelling-house forms part only of a building and, except in a case where the dwelling-house also forms part of a flat, the building is not a purpose-built block of flats; and
- (b) the tenancy was granted by a person who, at the time when he granted it, occupied as his residence another dwelling-house which—
 - (i) in the case mentioned in paragraph (a) above, also forms part of the flat; or
 - (ii) in any other case, also forms part of the building; and
- (c) subject to paragraph 1 of Schedule 2 to this Act, at all times since the tenancy was granted the interest of the landlord under the tenancy has belonged to a person who, at the time he owned that interest, occupied as his residence another dwelling-house which—
 - (i) in the case mentioned in paragraph (a) above, also formed part of the flat; or
 - (ii) in any other case, also formed part of the building."

(2) Schedule 2 to the 1977 Act (provisions for determining application of section 12) is amended as follows.

PART II

(3) In paragraph 1—

- (a) in sub-paragraph (a) for the words “14 days” there are substituted the words “28 days” and after the word “building” there are inserted the words “or, as the case may be, flat”;
- (b) in sub-paragraph (b) for the words “such dwelling-house as is referred to in that paragraph” there are substituted the words “dwelling-house in the building or, as the case may be, flat concerned”; and
- (c) in sub-paragraph (c) for the words “12 months” there are substituted the words “2 years” and paragraph (i) is hereby repealed.

(4) In paragraph 2(b) after the word “building” there are inserted the words “or, as the case may be, flat”.

(5) After paragraph 2 there is inserted the following paragraph—

“2A.—(1) The tenancy referred to in section 12(1) falls within this paragraph if the interest of the landlord under the tenancy becomes vested in the personal representatives of a deceased person acting in that capacity.

(2) If the tenancy falls within this paragraph, the condition in section 12(1)(c) shall be deemed to be fulfilled for any period, beginning with the date on which the interest becomes vested in the personal representatives and not exceeding two years, during which the interest of the landlord remains so vested.”

(6) Subject to subsection (7) below, this section, except subsection (1), applies to tenancies granted before as well as those granted after the commencement of this section.

(7) In any case where the interest of the landlord under a tenancy vested in the personal representatives (acting in that capacity) of a person who died before the commencement of this section, Schedule 2 to the 1977 Act applies as if paragraph 2A had not been inserted and paragraph 1(c)(i) had not been repealed.

Amendment
of Cases 11
and 12 of
Schedule 15
to Rent
Act 1977.

66.—(1) In Case 11 in Schedule 15 to the 1977 Act (dwelling-house required by a person who was owner-occupier at time of letting) for paragraph (c) there is substituted the following paragraph—

“ (c) the court is of the opinion that of the conditions set out in Part V of this Schedule one of those in paragraphs (a) and (c) to (f) is satisfied.”

PART II

(2) In Case 12 in Schedule 15 (dwelling-house required for use by owner on his retirement) for paragraph (c) there is substituted the following paragraph—

“(c) the court is of the opinion that of the conditions set out in Part V of this Schedule one of those in paragraphs (b) to (e) is satisfied.”.

(3) There are inserted in Schedule 15, as a new Part V, the provisions set out in Schedule 7 to this Act; and in section 98 of the 1977 Act (which, among other things, introduces Schedule 15) there is added, at the end, the following subsection—

“(5) Part V of Schedule 15 shall have effect for the purpose of setting out conditions which are relevant to Cases 11 and 12 of that Schedule.”.

(4) In Case 12 for the words from the beginning to “employment let” there are substituted the words “Where the landlord (in this Case referred to as “the owner”) intends to occupy the dwelling-house as his residence at such time as he might retire from regular employment and has let”

(5) Subject to subsection (6) below, Cases 11 and 12, as amended by this section, apply to tenancies granted before, as well as those granted after, the commencement of this section; and nothing in this section invalidates a notice that possession might be recovered under Case 11 or Case 12 which was duly given to a tenant before then.

(6) Paragraphs (c) and (d) of Part V of Schedule 15 do not apply to Case 11 if the tenancy was granted, and the owner died, before the commencement of this section; and paragraph (d) does not apply to Case 12 in any such case.

67. The following Case shall be added to the Cases in Part Lettings by II of Schedule 15 to the 1977 Act (mandatory orders for possession) after the Case inserted in Part II by section 55 of this Act—

“Case 20

Where the dwelling-house was let by a person (in this Case referred to as “the owner”) at any time after the commencement of section 67 of the Housing Act 1980 and—

- (a) at the time when the owner acquired the dwelling-house he was a member of the regular armed forces of the Crown;
- (b) at the relevant date the owner was a member of the regular armed forces of the Crown;
- (c) not later than the relevant date the owner gave notice in writing to the tenant that possession might be recovered under this Case;

PART II

(d) the dwelling-house has not, since the commencement of section 67 of the Act of 1980 been let by the owner on a protected tenancy with respect to which the condition mentioned in paragraph (c) above was not satisfied ; and

(e) the court is of the opinion that—

(i) the dwelling-house is required as a residence for the owner ; or

(ii) of the conditions set out in Part V of this Schedule one of those in paragraphs (c) to (f) is satisfied.

If the court is of the opinion that, notwithstanding that the condition in paragraph (c) or (d) above is not complied with, it is just and equitable to make an order for possession of the dwelling-house, the court may dispense with the requirements of either or both of these paragraphs, as the case may require.

For the purposes of this Case “regular armed forces of the Crown” has the same meaning as in section 1 of the House of Commons Disqualification Act 1975.”

Rent agreements

Rent
agreements
with tenants
having
security of
tenure.

68.—(1) In section 51(4) of the 1977 Act (requirements to be observed in rent agreements with tenants having security of tenure), in paragraph (b) the following sub-paragraph is inserted after sub-paragraph (i)—

“(ia) that if the agreement were not made but instead a rent were registered under Part IV of this Act, then part only of any increase over the rent previously recoverable by the landlord would be payable by the tenant during the first year ; and ”.

(2) For section 52 of the 1977 Act (which makes special provision, in the case of converted tenancies, in relation to rent agreements with tenants having security of tenure) there is substituted the following section—

“Protec-
tion: special
provisions
following
conversion.

52.—(1) This section applies to an agreement with a tenant having security of tenure which is entered into after the commencement of section 68(2) of the Housing Act 1980 if the tenancy has become or, as the case may be, the previous tenancy became a regulated tenancy by conversion.

(2) Any such agreement which purports to increase the rent payable under a protected tenancy shall, if entered into at a time when no rent is registered for the dwelling-house under Part IV of this Act, be void.

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(3) If any such agreement constitutes a grant of a regulated tenancy and is made at a time when no rent is so registered, any excess of the rent payable under the tenancy so granted (for any contractual or statutory period of the tenancy) over the rent limit applicable to the previous tenancy, shall be irrecoverable from the tenant; but this subsection ceases to apply if a rent is subsequently so registered.

(4) For the purposes of this section a tenancy is a regulated tenancy by conversion if it has become a regulated tenancy by virtue of—

- (a) Part VIII of this Act, section 43 of the Housing Act 1969 or Part III or IV of the Housing Finance Act 1972 (conversion of controlled tenancies into regulated tenancies); or
- (b) section 18(3) of this Act or paragraph 5 of Schedule 2 to the Rent Act 1968 (conversion on death of first successor); or
- (c) section 64 of the Housing Act 1980 (conversion of all remaining controlled tenancies).

(5) This section does not apply to any agreement where the tenant is neither the person who, at the time of the conversion, was the tenant nor a person who might succeed the tenant at that time as a statutory tenant.

(6) Where a rent is registered for the dwelling-house and the registration is subsequently cancelled, this section shall not apply to the agreement submitted to the rent officer in connection with the cancellation nor to any agreement made so as to take effect after the cancellation."

(3) In section 57 of the 1977 Act (recovery from landlord of sums paid in excess of recoverable rent, etc.) for subsection (3) there is substituted the following subsection—

"(3) No amount which a tenant is entitled to recover under subsection (1) above shall be recoverable at any time after the expiry of—

- (a) one year, in the case of an amount which is irrecoverable by virtue of section 54 of this Act; or
- (b) two years, in any other case."

PART II

Restricted contracts

Restricted
contracts:
security of
tenure.

1977 c. 43.

69.—(1) In section 3 of the Protection from Eviction Act 1977 (prohibition of eviction without due process of law), after subsection (2) there is inserted the following subsection—

“(2A) Subsections (1) and (2) above apply in relation to any restricted contract (within the meaning of the Rent Act 1977) which—

(a) creates a licence ; and

(b) is entered into after the commencement of section 69 of the Housing Act 1980 ;

as they apply in relation to a restricted contract which creates a tenancy.”.

(2) After section 106 of the 1977 Act there is inserted the following section:—

“Discretion
of court in
certain pro-
ceedings for
possession.

106A.—(1) This section applies to any dwelling-house which is the subject of a restricted contract entered into after the commencement of section 69 of the Housing Act 1980.

(2) On the making of an order for possession of such a dwelling-house, or at any time before the execution of such an order, the court may—

(a) stay or suspend execution of the order, or

(b) postpone the date of possession,

for such period or periods as, subject to subsection (3) below, the court thinks fit.

(3) Where a court makes an order for possession of such a dwelling-house, the giving up of possession shall not be postponed (whether by the order or any variation, suspension or stay of execution) to a date later than 3 months after the making of the order.

(4) On any such stay, suspension or postponement as is referred to in subsection (2) above, the court shall, unless it considers that to do so would cause exceptional hardship to the lessee or would otherwise be unreasonable, impose conditions with regard to payment by the lessee of arrears of rent (if any) and rent or payments in respect of occupation after termination of the tenancy (mesne profits) and may impose such other conditions as it thinks fit.

(5) Subsection (6) below applies in any case where—

(a) proceedings are brought for possession of such a dwelling-house ;

(b) the lessee's spouse or former spouse, having rights of occupation under the Matrimonial Homes Act 1967, is then in occupation of the dwelling-house; and

(c) the restricted contract is terminated as a result of those proceedings.

(6) In any case to which this subsection applies, the spouse or former spouse shall, so long as he or she remains in occupation, have the same rights in relation to, or in connection with, any such stay, suspension or postponement as is referred to in subsection (2) above, as he or she would have if those rights of occupation were not affected by the termination of the restricted contract."

(3) Sections 103 to 106 of the 1977 Act (security of tenure in respect of restricted contracts) shall not apply to restricted contracts entered into after the commencement of this section; and accordingly after section 102 of that Act there is inserted the following section—

"Restricted application of sections 103 to 106. 102A. Sections 103 to 106 of this Act apply only to restricted contracts entered into before the commencement of section 69 of the Housing Act 1980."

(4) In section 12 of the 1977 Act, for subsections (2) and (3) (cases where tenancies granted by resident landlords are not exempted by section 12 from being protected tenancies), there is substituted the following subsection—

"(2) This section does not apply to a tenancy of a dwelling-house which forms part of a building if the tenancy is granted to a person who, immediately before it was granted, was a protected or statutory tenant of that dwelling-house or of any other dwelling-house in that building."

70.—(1) In section 80(2) of the 1977 Act (which in certain circumstances prevents an application for a new registered rent for a dwelling-house which is the subject of a restricted contract from being made within 3 years of the date of an existing registration), for the words "3 years" there are substituted the words "2 years". Reconsideration of registered rents under Part V of Rent Act 1977.

(2) This section does not apply in any case where the date from which the period during which no application for registration can be made is to be calculated falls before the commencement of this section.

PART II
Cancellation
of rents
registered
under Part V
of Rent Act
1977.

71.—(1) After section 81 of the 1977 Act (effect of registration of rent under section 79) there is inserted the following section—

“Cancellation
of registration
of rent.

81A.—(1) Where the rent payable for any dwelling is entered in the register under section 79 of this Act, the rent tribunal shall cancel the entry, on an application made under this section, if—

- (a) not less than two years have elapsed since the date of entry;
- (b) the dwelling is not for the time being subject to a restricted contract; and
- (c) the application is made by the person who would be the lessor if the dwelling were subject to a restricted contract.

(2) An application under this section must be in the prescribed form, and contain the prescribed particulars.

(3) Cancellation of the registration shall be without prejudice to a further registration of a rent at any time after the cancellation.

(4) The rent tribunal shall notify the applicant of their decision to grant, or to refuse, any application under this section.”

(2) In Schedule 10 to the 1977 Act (rent assessment committees), in paragraph 5 for the words “paragraph 6” there are substituted the words “paragraphs 6 and 6A” and after paragraph 6 there is inserted the following paragraph—

“6A. When dealing with an application under section 81A of this Act a rent assessment committee carrying out the functions of a rent tribunal shall consist of the chairman of the committee sitting alone.”

Functions of
rent
tribunals.

72.—(1) Rent tribunals, as constituted for the purposes of the 1977 Act, are hereby abolished and section 76 of the 1977 Act (constitution etc. of rent tribunals) is hereby repealed.

(2) As from the commencement of this section the functions which, under the 1977 Act, are conferred on rent tribunals shall be carried out by rent assessment committees.

(3) A rent assessment committee shall, when constituted to carry out functions so conferred, be known as a rent tribunal.

Miscellaneous

Dwellings
forming part
of Crown
Estate or
belonging to
Duchies.

73.—(1) The following section is substituted for section 13 of the 1977 Act:

“13.—(1) Except as provided by subsection (2) below—

- (a) a tenancy shall not be a protected tenancy at any time when the interest of the landlord under the

PART II

tenancy belongs to Her Majesty in right of the Crown or to a government department or is held in trust for Her Majesty for the purposes of a government department ; and

- (b) a person shall not at any time be a statutory tenant of a dwelling-house if the interest of his immediate landlord would at that time belong or be held as mentioned in paragraph (a) above.

(2) An interest belonging to Her Majesty in right of the Crown shall not prevent a tenancy from being a protected tenancy or a person from being a statutory tenant if the interest is under the management of the Crown Estate Commissioners.”.

(2) In subsection (5) of section 19 of the 1977 Act the words (in paragraph (b)) “or of the Duchy of Lancaster or to the Duchy of Cornwall” are omitted and at the end of the subsection there are inserted the words “except that an interest belonging to Her Majesty in right of the Crown does not prevent a contract from being a restricted contract if the interest is under the management of the Crown Estate Commissioners”.

(3) In section 5 of the Rent (Agriculture) Act 1976 the following is substituted for subsection (1) : 1976 c. 80.

“ (1) A person shall not at any time be a statutory tenant of a dwelling-house if the interest of his immediate landlord would, at that time—

(a) belong to Her Majesty in right of the Crown or to a government department, or

(b) be held in trust for Her Majesty for the purposes of a government department ;

except that an interest belonging to Her Majesty in right of the Crown shall not prevent a person from being a statutory tenant if the interest is under the management of the Crown Estate Commissioners.”.

(4) In the Landlord and Tenant Act 1954—

1954 c. 56.

(a) the following is inserted at the end of section 56 :

“ (7) Part I of this Act shall apply where—

(a) there is an interest belonging to Her Majesty in right of the Crown and that interest is under the management of the Crown Estate Commissioners ; or

(b) there is an interest belonging to Her Majesty in right of the Duchy of Lancaster or belonging to the Duchy of Cornwall ;

as if it were an interest not so belonging.” :

PART II

- (b) in section 21(6) the following is substituted for the definition of "interest not bound by this Part of this Act" :

"In this subsection 'interest not bound by this Part of this Act' means an interest which belongs to Her Majesty in right of the Crown and is not under the management of the Crown Estate Commissioners or an interest belonging to a government department or held on behalf of Her Majesty for the purposes of a government department."

- (5) Schedule 8 to this Act has effect for making certain provisions consequential on this section.

Housing
association
and housing
trust
tenancies
under
Rent Act
1977.

74.—(1) In section 15 of the 1977 Act (tenancies not protected when landlord's interest belongs to housing association or housing trust etc.) subsection (4), and in subsection (1) the words "in respect of which any of the conditions specified in subsection (4) below is fulfilled", are hereby repealed.

- (2) For subsection (5) of section 15 there is substituted the following subsection—

"(5) In subsection (2) above 'housing trust' means a corporation or body of persons which—

- (a) is required by the terms of its constituent instrument to use the whole of its funds, including any surplus which may arise from its operations, for the purpose of providing housing accommodation ; or
- (b) is required by the terms of its constituent instrument to devote the whole, or substantially the whole, of its funds to charitable purposes and in fact uses the whole, or substantially the whole, of its funds for the purpose of providing housing accommodation."

- (3) Schedule 9 to this Act has effect for the purpose of supplementing this section.

Proceedings
for
possession of
certain
dwelling-
houses.

75.—(1) Section 100 of the 1977 Act (which gives the court an extended discretion in actions for possession of certain dwelling-houses) is amended as follows.

- (2) For subsection (3) there is substituted the following subsection—

"(3) On any such adjournment as is referred to in subsection (1) above or any such stay, suspension or postponement as is referred to in subsection (2) above, the court

shall, unless it considers that to do so would cause exceptional hardship to the tenant or would otherwise be unreasonable, impose conditions with regard to payment by the tenant of arrears of rent (if any) and rent or payments in respect of occupation after termination of the tenancy (mesne profits) and may impose such other conditions as it thinks fit.”.

(3) After subsection (4) there are inserted the following subsections—

“ (4A) Subsection (4B) below applies in any case where—

- (a) proceedings are brought for possession of a dwelling-house which is let on a protected tenancy or subject to a statutory tenancy ;
- (b) the tenant's spouse or former spouse, having rights of occupation under the Matrimonial Homes Act 1967, is then in occupation of the dwelling-house ; and
- (c) the tenancy is terminated as a result of those proceedings.

(4B) In any case to which this subsection applies, the spouse or former spouse shall, so long as he or she remains in occupation, have the same rights in relation to, or in connection with, any such adjournment as is referred to in subsection (1) above or any such stay, suspension or postponement as is referred to in subsection (2) above, as he or she would have if those rights of occupation were not affected by the termination of the tenancy.”.

(4) Section 7 of the Rent (Agriculture) Act 1976 (which corresponds to section 100 of the 1977 Act) is amended as follows.

(5) After subsection (2) there is inserted the following subsection—

“ (2A) In those cases the court may adjourn for such period or periods as it thinks fit ”.

(6) For subsection (4) there is substituted the following subsection—

“ (4) On any such adjournment as is referred to in subsection (2A) above or any such stay, suspension or postponement as is referred to in subsection (3) above, the court shall, unless it considers that to do so would cause exceptional hardship to the tenant or would otherwise be unreasonable, impose conditions with regard to payment by the tenant of arrears of rent (if any) and rent or payments in respect of occupation after termination of the tenancy (mesne profits) and may impose such other conditions as it thinks fit.”.

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(7) After subsection (5) there are inserted the following subsections—

“ (5A) Subsection (5B) below applies in any case where—

- (a) proceedings are brought for possession of a dwelling-house which is subject to a protected occupancy or statutory tenancy ;
- (b) the tenant's spouse or former spouse, having rights of occupation under the Matrimonial Homes Act 1967, is then in occupation of the dwelling-house ; and
- (c) the tenancy is terminated as a result of those proceedings.

(5B) In any case to which this subsection applies, the spouse or former spouse shall, so long as he or she remains in occupation, have the same rights in relation to or in connection with any such adjournment as is referred to in subsection (2A) above or any such stay, suspension or postponement as is referred to in subsection (3) above as he or she would have if those rights of occupation were not affected by the termination of the tenancy.”.

Statutory
tenancies by
succession.

76.—(1) In Schedule 1 to the 1977 Act, for paragraph 2 (under which on the death of the original tenant under a protected or statutory tenancy his widow if residing with him at his death becomes a statutory tenant by succession) there is substituted the following paragraph—

“ 2. The surviving spouse (if any) of the original tenant, if residing in the dwelling-house immediately before the death of the original tenant, shall after the death be the statutory tenant if and so long as he or she occupies the dwelling-house as his or her residence.”.

(2) For paragraph 6 of that Schedule (similar provision in relation to death of first successor) there is substituted the following paragraph—

“ 6. The surviving spouse (if any) of the first successor, if residing in the dwelling-house immediately before the death of the first successor, shall after the death be the statutory tenant if and so long as he or she occupies the dwelling-house as his or her residence.”.

1976 c. 80.

(3) In sections 3(2) and (3)(a) and 4(3) and (4)(a) of the Rent (Agriculture) Act 1976 (which correspond to provisions in Schedule 1 to the 1977 Act) for the words “with him at his death” there shall be substituted in each case, the words “in the dwelling-house immediately before his death”.

(4) The amendments made by this section have effect only in relation to deaths occurring after the commencement of the subsection concerned.

77. Part VI of the 1977 Act (rent limit for dwellings let by housing associations, housing trusts and the Housing Corporation) is amended in accordance with the provisions of Schedule 10 to this Act. PART II
Amendment of
Part VI of
Rent Act 1977.

78.—(1) Section 127 of the 1977 Act shall have effect and be deemed always to have had effect as if for paragraph (c) of subsection (2) there were substituted the paragraph set out in subsection (2) below and at the end of subsection (5) there were added the words set out in subsection (3) below. Allowable
premiums in
relation to
certain long
tenancies.

(2) The substituted paragraph is—

“ (c) that the terms of the tenancy do not inhibit both the assignment and the underletting of the whole of the premises comprised in the tenancy ”.

(3) The added words are “ and for the purposes of subsections (2)(c) and (3B)(d) above the terms of a tenancy inhibit an assignment or underletting if they—

(a) preclude it ; or

(b) permit it subject to a consent but exclude section 144 of the Law of Property Act 1925 (no payment in nature of fine) ; or

(c) permit it subject to a consent but require in connection with a request for consent the making of an offer to surrender the tenancy.”.

(4) After subsection (3) of section 127 there are inserted the following subsections—

“ (3A) If the conditions in subsection (3B) below are satisfied in respect of a tenancy, this Part of this Act shall not apply to that tenancy and, together with Part VII of the Rent Act 1968 and the enactments replaced by Part VII, shall be deemed never to have applied to it.

(3B) The conditions are that—

(a) the tenancy was granted before 16th July 1980 ;

(b) a premium was lawfully required and paid on the grant of the tenancy ;

(c) the tenancy was, at the time when it was granted, a tenancy at a low rent ; and

(d) the terms of the tenancy do not inhibit both the assignment and the underletting of the whole of the premises comprised in the tenancy.

(3C) If the conditions in subsection (3D) below are satisfied in respect of a tenancy, this section shall have effect, in relation to that tenancy, as if for the words “ 20

PART II

years" and "21 years", in subsections (2)(b) and (3) above there were substituted, respectively, the words "6 years" and "7 years".

(3D) The conditions are that—

- (a) the tenancy is granted after 15th July 1980 ;
- (b) at the time when it is granted it is a tenancy at a low rent ; and
- (c) the terms of the tenancy ensure that any variation of the sums payable by the tenant otherwise than in respect of rates, services, repairs or maintenance, cannot lead to those sums exceeding an annual rate of two-thirds of the rateable value of the dwelling-house at the date when the variation is made.

For the purposes of this subsection the rateable value of a dwelling-house shall be ascertained in accordance with section 25 of this Act (disregarding subsection (4)) by reference to the value shown in the valuation list at the date when the variation is made."

Meaning of
"premium"
in Part IX of
Rent Act
1977.

79. In section 128 of the 1977 Act (interpretation of Part IX, which prohibits premiums etc.) for the definition of "premium", in subsection (1), there is substituted the following definition—

" 'premium' includes—

- (a) any fine or other like sum ;
- (b) any other pecuniary consideration in addition to rent ; and
- (c) any sum paid by way of a deposit, other than one which does not exceed one-sixth of the annual rent and is reasonable in relation to the potential liability in respect of which it is paid."

PART III**TENANT'S REPAIRS AND IMPROVEMENTS**

Repairing
obligations in
short leases.
1961 c. 65.

80.—(1) Section 32 of the Housing Act 1961 (covenant by landlord to repair to be implied in short leases) does not apply to any lease granted after the commencement of this section—

- (a) to a specified educational institution or other specified body ;
- (b) to a housing association falling within section 15(3) of the 1977 Act ;
- (c) to a body of a kind mentioned in section 14 of the 1977 Act (local authorities etc) ;
- (d) to Her Majesty in right of the Crown unless the lease is under the management of the Crown Estate Commissioners ; or

(e) to a government department, or to any person holding in trust for Her Majesty for the purposes of a government department.

(2) In subsection (1) above "specified" means specified, or of a class specified, by regulations made by the Secretary of State under section 8 of the 1977 Act.

(3) In section 33(1) of the Housing Act 1961 (leases to which section 32 applies) after the words "this section" there are inserted the words "and section 80 of the Housing Act 1980".

81.—(1) The following provisions of this section have effect Tenant's with respect to secure tenancies, protected tenancies and statutory improvements. tenancies in place of section 19(2) of the Landlord and Tenant 1927 c. 36. Act 1927.

(2) It is by virtue of this section a term of every such tenancy that the tenant will not make any improvement without the written consent of the landlord.

(3) The consent required by virtue of subsection (2) above is not to be unreasonably withheld and, if unreasonably withheld, shall be treated as given.

(4) Subsections (1) to (3) above do not apply in any case where the tenant has been given a notice—

(a) of a kind mentioned in one of Cases 11 to 18 and 20 in Schedule 15 to the 1977 Act (notice that possession might be recovered under that Case); or

(b) under section 52(1)(b) of this Act (notice that a tenancy is to be a protected shorthold tenancy);

unless the tenant proves that, at the time when the landlord gave the notice, it was unreasonable for the landlord to expect to be able in due course to recover possession of the dwelling-house under that Case or, as the case may be, Case 19 of Schedule 15 (added by section 55 of this Act).

(5) In Part I, and in this Part, of this Act "improvement" means any alteration in, or addition to, a dwelling-house and includes—

(a) any addition to, or alteration in, landlord's fixtures and fittings and any addition or alteration connected with the provision of any services to a dwelling-house;

(b) the erection of any wireless or television aerial; and

(c) the carrying out of external decoration;

but paragraph (c) above does not apply in relation to a protected or statutory tenancy if the landlord is under an obligation to carry out external decoration or to keep the exterior of the dwelling-house in repair.

PART III
Provisions as
to consents
required by
section 81.

82.—(1) If any question arises whether the withholding of a consent required by virtue of section 81 above was unreasonable it is for the landlord to show that it was not; and in determining that question the court shall, in particular, have regard to the extent to which the improvement would be likely—

- (a) to make the dwelling-house, or any other premises, less safe for occupiers;
- (b) to cause the landlord to incur expenditure which it would be unlikely to incur if the improvement were not made; or
- (c) to reduce the price which the dwelling-house would fetch if sold on the open market or the rent which the landlord would be able to charge on letting the dwelling-house.

(2) A consent required by virtue of section 81 may be validly given notwithstanding that it follows, instead of preceding, the action requiring it and may be given subject to a condition.

(3) Where the tenant has applied in writing for a consent which is required by virtue of section 81 then—

- (a) if the landlord refuses to give the consent it shall give to the tenant a written statement of the reasons why the consent was refused; and
- (b) if the landlord neither gives nor refuses to give the consent within a reasonable time, the consent shall be taken to have been withheld, and if the landlord gives the consent but subject to an unreasonable condition, the consent shall be taken to have been unreasonably withheld.

(4) If any question arises whether a condition attached to a consent was reasonable, it is for the landlord to show that it was.

Conditional
consent to
tenant's
improvements.

83. Any failure by a secure tenant, a protected tenant or a statutory tenant to satisfy any reasonable condition imposed by his landlord in giving consent to an improvement which the tenant proposes to make, or has made, shall be treated for the purposes of Chapter II of Part I of this Act or, as the case may be, for the purposes of the 1977 Act as a breach by the tenant of an obligation of his tenancy or, as the case may be, of an obligation of the previous protected tenancy which is applicable to the statutory tenancy.

Exclusion of
certain housing
associations
from Part III.
1965 c. 12.

84. This Part of this Act does not apply in relation to a housing association which falls within paragraph (d) of section 15(3) of the 1977 Act (certain societies registered under the Industrial and Provident Societies Act 1965).

85.—(1) In this Part of this Act any expression used in Chapter II of Part I of this Act or in the 1977 Act has the same meaning as in that Chapter or, as the case may be, that Act. Interpretation and application of Part III.

(2) This Part of this Act applies to tenancies granted before as well as tenancies granted after the commencement of this Part of this Act.

PART IV

JURISDICTION AND PROCEDURE

86.—(1) Subject to section 11 of this Act, a county court has jurisdiction to determine any question arising under Part I or III of this Act and to entertain any proceedings brought thereunder and any claim (for whatever amount) in connection with a secure tenancy. Jurisdiction of county court and rules of procedure.

(2) The jurisdiction conferred by this section includes jurisdiction to entertain proceedings on any question arising under Chapter I of Part I and any question—

- (a) whether any consent required by section 35 or section 81 was withheld or unreasonably withheld ; or
- (b) whether a statement supplied in pursuance of section 41(3)(b) is accurate ;

notwithstanding that no other relief is sought than a declaration.

(3) If a person takes proceedings in the High Court which, by virtue of this section, he could have taken in the county court he is not entitled to recover any costs.

(4) The Lord Chancellor may make such rules and give such directions as he thinks fit for the purpose of giving effect to this Part of this Act.

(5) The rules and directions may provide—

- (a) for the exercise by any registrar of a county court of any jurisdiction exercisable under this section ; and
- (b) for the conduct of any proceedings in private.

(6) The power to make rules under this section is exercisable by statutory instrument and any such instrument is subject to annulment in pursuance of a resolution of either House of Parliament.

87.—(1) Where proceedings are brought for possession of a dwelling-house let under a secure tenancy on any of grounds 1 to 6 or 10 to 13 in Part I of Schedule 4 to this Act, the court may adjourn the proceedings for such period or periods as it thinks fit. Extended discretion of court in certain proceedings for possession.

PART IV

(2) On the making of an order for possession of such a dwelling-house on any of those grounds, or at any time before the execution of the order, the court may—

(a) stay or suspend execution of the order, or

(b) postpone the date of possession,

for such period or periods as the court thinks fit.

(3) On any such adjournment as is referred to in subsection (1) above or any such stay, suspension or postponement as is referred to in subsection (2) above, the court shall, unless it considers that to do so would cause exceptional hardship to the tenant or would otherwise be unreasonable, impose conditions with regard to payment by the tenant of arrears of rent (if any) and rent or payments in respect of occupation after termination of the tenancy (mesne profits) and may impose such other conditions as it thinks fit.

(4) If such conditions as are referred to in subsection (3) above are complied with, the court may, if it thinks fit, discharge or rescind the order concerned.

(5) Subsection (6) below applies in any case where—

(a) proceedings are brought for possession of a dwelling-house which is let under a secure tenancy ;

(b) the tenant's spouse or former spouse, having rights of occupation under the Matrimonial Homes Act 1967, is then in occupation of the dwelling-house ; and

(c) the tenancy is terminated as a result of those proceedings.

(6) In any case to which this subsection applies, the spouse or former spouse shall, so long as he or she remains in occupation, have the same rights in relation to, or in connection with, any such adjournment as is referred to in subsection (1) above or any such stay, suspension or postponement as is referred to in subsection (2) above, as he or she would have if those rights of occupation were not affected by the termination of the tenancy.

Discretion of
court in
certain
proceedings
for
possession.

88.—(1) Where, under the terms of a rental purchase agreement, a person has been let into possession of a dwelling-house and, on the termination of the agreement or of his right to possession under it, proceedings are brought for the possession of the dwelling-house, the court may—

(a) adjourn the proceedings ; or

(b) on making an order for the possession of the dwelling-house, stay or suspend execution of the order or postpone the date of possession ;

for such period or periods as the court thinks fit.

(2) On any such adjournment, stay, suspension or postponement the court may impose such conditions with regard to payments by the person in possession in respect of his continued

occupation of the dwelling-house and such other conditions as the court thinks fit. PART IV

(3) The court may revoke or from time to time vary any condition imposed by virtue of this section.

(4) In this section "rental purchase agreement" means an agreement for the purchase of a dwelling-house (whether freehold or leasehold property) under which the whole or part of the purchase price is to be paid in three or more instalments and the completion of the purchase is deferred until the whole or a specified part of the purchase price has been paid.

(5) This section extends to proceedings for the possession of a dwelling-house which were begun before the commencement of this section unless an order for the possession of the dwelling-house was made in the proceedings and executed before the commencement of this section.

89.—(1) Where a court makes an order for the possession of any land in a case not falling within the exceptions mentioned in subsection (2) below, the giving up of possession shall not be postponed (whether by the order or any variation, suspension or stay of execution) to a date later than fourteen days after the making of the order, unless it appears to the court that exceptional hardship would be caused by requiring possession to be given up by that date; and shall not in any event be postponed to a date later than six weeks after the making of the order. Restriction on discretion of court in making orders for possession of land.

(2) The restrictions in subsection (1) above do not apply if—

- (a) the order is made in an action by a mortgagee for possession; or
- (b) the order is made in an action for forfeiture of a lease; or
- (c) the court had power to make the order only if it considered it reasonable to make it; or
- (d) the order relates to a dwelling-house which is the subject of a restricted contract (within the meaning of section 19 of the 1977 Act); or
- (e) the order is made in proceedings brought as mentioned in section 88(1) above.

PART V

AMENDMENT OF PART V OF HOUSING ACT 1957

90. In section 91 of the 1957 Act (duty of every local authority to consider housing conditions and as often as occasion arises to submit proposals to the Minister for the provision of new houses) the words from "and as often" to the end are hereby repealed. Review of housing conditions by local authorities.

PART V

Power of local authorities to dispose of land held for purposes of Part V of Housing Act 1957.

91.—(1) For section 104 of the 1957 Act (power to dispose of property acquired or appropriated for purposes of Part V) there is substituted the following section—

“Power to dispose of land held for purposes of Part V.

104.—(1) Without prejudice to the provisions of Chapter I of Part I of the Housing Act 1980 (right to buy public sector houses), a local authority shall have power by this section, but not otherwise, to dispose of any land which they have acquired or appropriated for the purposes of this Part of this Act.

(2) A disposal under this section may be effected in any manner but is not to be made without the consent of the Minister, except in a case falling within subsection (3) below.

(3) No consent is required for the letting of any land under a secure tenancy (within the meaning of section 28 of the Act of 1980) or under what would be a secure tenancy but for any of paragraphs 2 to 13 of Schedule 3 to that Act (certain lettings which do not create secure tenancies).

(4) On the disposal of any house under this section by way of sale or by the grant or assignment of a lease at a premium the local authority may, if they think fit, agree to the price or premium, or any part thereof, and any expenses incurred by the purchaser being secured by a mortgage of the premises.

(5) Subject to section 104A of this Act, on any disposal under this section the local authority may impose such covenants and conditions as they think fit, but a condition of any of the kinds mentioned in subsection (6) below may only be imposed with the consent of the Minister.

(6) The conditions are—

(a) one limiting the price or premium which may be obtained on a further disposal of the house ;

(b) in the case of a sale, one precluding the purchaser (including any successor in title of his and any person deriving title under him or any such successor) from selling or leasing the land unless—

(i) he first notifies the authority of the proposed sale or lease and offers to sell or lease the house to them ; and

(ii) the authority refuse the offer or fail to accept it within one month after it is made ; and

(c) in the case of a lease, one precluding the lessee (including any successor in title of his and any person deriving title under him or any such successor) from assigning the lease, or granting any sub-lease.

(7) Section 26(1) of the Town and Country Planning Act 1959 (power of local authorities etc. to dispose of land without consent of Minister) does not apply to any disposal under this section.

(8) Sections 128 to 132 of the Lands Clauses Consolidation Act 1845 (which relate to the sale of superfluous land) do not apply to the sale by a local authority, under this section, of any land acquired by the authority for the purposes of this Part of this Act.

(9) For the purposes of this section the grant of an option to purchase the freehold of, or any other interest in, any land is a disposal and any consent given to such a disposal extends to any disposal made in pursuance of the option.”.

(2) Sections 105 (1), (2) and (5) (power to deal with land in addition to that given by section 104), and 106 (power of Minister to impose conditions on sale of houses and land), of the 1957 Act are hereby repealed.

(3) Section 39 of the Town and Country Planning Act 1968 1968 c. 72. (cases where section 26(1) of the Town and Country Planning 1959 c. 53. Act 1959 does not apply) is hereby repealed.

(4) In section 104 and in the sections inserted in the 1957 Act by sections 92 and 95 below “the Minister” means the Secretary of State.

92. After section 104 of the 1957 Act there are inserted the following sections—

“Consents
under
section 104.

104A.—(1) Any consent of the Minister required under section 104(2) or (5) of this Act may be given either generally to all local authorities or to any particular local authority or description of authority and either in relation to any particular land or description of land.

(2) Any such consent may be given subject to such conditions as the Minister sees fit to impose.

(3) Without prejudice to the generality of subsection (2) above, any such consent may be given subject to conditions as to the price, premium or

Consent to
disposals and
recovery of
discount.

PART V

rent to be obtained on a disposal under section 104, including conditions as to the amount by which, on the disposal of a house by way of sale or by the grant or assignment of a lease at a premium, the price or premium is to be, or may be, discounted by the local authority.

Repayment
of discount
on early
disposal of
freehold
or lease.

104B.—(1) This section applies where, on a disposal under section 104 of this Act (the “first disposal”), a discount has been given to the purchaser by the local authority in accordance with a consent given by the Minister under subsection (2) of that section; but this section does not apply in any such case if the consent so provides.

(2) On the first disposal, the conveyance, grant or assignment shall contain a covenant binding on the purchaser and his successors in title to pay to the local authority on demand the amount specified in subsection (3) below if, within a period of five years, there is a disposal falling within subsection (4) below, (the “further disposal”); but if there is more than one further disposal, then only on the first of them.

(3) The amount payable under the covenant is an amount equal to the discount given to the purchaser, but reduced by 20 per cent. of that discount for each complete year which elapses after the first disposal and before the further disposal.

(4) A disposal falls within this subsection if it is—

- (a) a conveyance of the freehold or an assignment of the lease; or
- (b) the grant of a lease or sub-lease for a term of more than twenty-one years otherwise than at a rack rent;

whether the disposal is of the whole or part of the house; but a disposal in pursuance of an order under section 24 of the Matrimonial Causes Act 1973 or under section 2 of the Inheritance (Provision for Family and Dependents) Act 1975 or a vesting in a person taking under a will or on an intestacy is not a disposal falling within this subsection.

(5) The liability that may arise under the covenant required by subsection (2) above shall be a charge on the house—

- (a) taking effect as if it had been created by deed expressed to be by way of legal mortgage; and

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- (b) having priority immediately after any legal charge securing any amount left outstanding by the purchaser or advanced to him by a body specified in subsection (6) below for the purpose of enabling him to acquire the interest disposed of on the first disposal or further advanced to him by that body.

(6) The bodies referred to in subsection (5)(b) above are any building society and any of the bodies specified in paragraph 6, 7 or 8 of the Schedule to the Home Purchase Assistance and Housing Corporation Guarantee Act 1978 c. 27.

(7) A charge taking effect by virtue of subsection (5) above shall, notwithstanding subsection (5) of section 59 of the Land Registration Act 1925, be a land charge for the purposes of that section, and subsection (2) of that section shall apply accordingly with respect to its protection and realisation.

(8) The reference in subsection (4) above to a lease or sub-lease does not include a mortgage term.

(9) In this section "building society" means a building society within the meaning of the Building Societies Act 1962 or the Building Societies Act 1967 c. 31 (Northern Ireland) 1967 and "purchaser" means (N.I.) the person acquiring the interest disposed of by the first disposal; and for the purposes of this section the grant of an option enabling a person to call for a disposal falling within subsection (4) above shall be treated as such a disposal.

Houses in
National
Parks and
areas of
outstanding
natural
beauty, etc.

104C.—(1) Where a conveyance, grant or assignment executed under section 104 of this Act (the "first disposal") is of a house situated in a National Park, or an area designated under section 87 of the National Parks and Access to the Countryside Act 1949 as an area of outstanding natural beauty, or an area designated by order of the Secretary of State as a rural area, the conveyance, grant or assignment may (unless it contains a condition of a kind mentioned in section 104(6)(b) or (c) above) contain a covenant limiting the freedom of the purchaser and his successors in title to dispose of the house in the manner specified in subsection (2) below.

(2) The limitation is that, until such time (if any) as may be notified in writing by the local authority to the purchaser or his successors in title there will

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be no disposal falling within subsection (4) below (the "further disposal") without the written consent of the local authority; but that consent shall not be withheld if the further disposal is to a person satisfying the condition stated in subsection (3) below.

(3) The condition is that the person to whom the further disposal is made (or, if it is made to more than one person, at least one of them) has, throughout the period of three years immediately preceding the application for consent, either—

(a) had his place of work in a designated region which or part of which is comprised in the National Park or area; or

(b) had his only or principal home in such a region;

or has had the one in part or parts of that period and the other in the remainder; but the region need not have been the same throughout the whole of the period.

(4) A disposal falls within this subsection if it is—

(a) a conveyance of the freehold or an assignment of the lease; or

(b) the grant of a lease or sub-lease for a term of more than 21 years otherwise than at a rack rent;

whether the disposal is of the whole or part of the house; but a disposal in pursuance of an order under section 24 of the Matrimonial Causes Act 1973 or under section 2 of the Inheritance (Provision for Family and Dependants) Act 1975 or a vesting in a person taking under a will or on an intestacy is not a disposal falling within this subsection.

(5) If the further disposal is in breach of the covenant mentioned in subsection (1) above, it shall be void.

(6) The limitation imposed by such a covenant shall be a local land charge and, if the land is registered under the Land Registration Act 1925, the Chief Land Registrar shall enter the appropriate restriction on the register of title as if application therefor had been made under section 58 of that Act.

(7) The reference in subsection (4) above to a lease or sub-lease does not include a mortgage term.

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(8) In this section "purchaser" means the person acquiring the interest disposed of by the first disposal.

(9) In this section "designated region" means an area designated for the purposes of this section by order of the Secretary of State.

(10) For the purposes of this section the grant to any person of an option enabling him to call for a disposal falling within subsection (4) above shall be treated as such a disposal made to that person and a consent to such a grant as a consent to a disposal made in pursuance of the option."

93. It is hereby declared that—

Acquisition of land for purpose of its subsequent disposal.

- (a) the power of a local authority to acquire land under section 96 of the 1957 Act (power of local authority to acquire land for provision of housing accommodation) includes power to do so for the purpose of disposing of houses erected, or to be erected, on the land or of disposing of the land to a person who intends to provide housing accommodation on it; and
- (b) the things that a local authority may do under section 92 of that Act (mode of provision of accommodation) may equally be done in relation to land acquired for either of those purposes.

94. The limitations on a local authority's statutory power to dispose of houses acquired or appropriated for the purposes of Part V of the 1957 Act shall not be taken to have prevented a local authority, at any time before the commencement of section 91 of this Act, from granting to the tenant of a house an option to purchase the freehold of, or any other interest in, the house.

Options granted before commencement of section 91.

95. After section 110 of the 1957 Act there is inserted the following section—

Appropriation of land.

"Appropriation of Part V land for other purposes.

110A.—(1) Where a local authority have acquired or appropriated any land for the purposes of this Part of this Act they shall not, without the consent of the Minister, appropriate any part of that land which consists of a house or part of a house for any other purpose.

(2) Any consent under this section may be given either generally to all local authorities or to any particular local authority or description of authority

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and either in relation to any particular land or description of land.

(3) Any such consent may be given subject to such conditions as the Minister sees fit to impose.”.

PART VI

HOUSING SUBSIDIES

New housing subsidy to replace certain existing subsidies and contributions.

96.—(1) For the year 1981-82 and subsequent years—

- (a) a subsidy, to be known as housing subsidy, shall be payable to local authorities, new town corporations and the Development Board for Rural Wales in accordance with this Part of this Act ;
- (b) no payment shall be made under any of the enactments listed in Part I of Schedule 11 to this Act ; and
- (c) no payment shall be made under any of the enactments listed in Part II of Schedule 11 to this Act in respect of dwellings within a local authority's Housing Revenue Account or a new town corporation's housing account.

1958 c. 42.

(2) No grant shall be made after 31st March 1981 under section 14 of the Housing (Financial Provisions) Act 1958 (grants for building experiments).

Local authorities

Housing subsidy for local authorities.

97.—(1) The amount of the housing subsidy payable to a local authority for any year (the year of account) shall be calculated from the amounts which are the authority's—

- (a) base amount (BA) ;
- (b) housing costs differential (HCD) ; and
- (c) local contribution differential (LCD) ;

for that year and shall be so calculated by using the formula $BA + HCD - LCD$.

(2) If the amount so calculated is nil or a negative amount, no housing subsidy is payable to the authority for the year of account.

The base amount.

98.—(1) A local authority's base amount is, subject to any adjustment under this section,—

- (a) for the year 1982-83 or any subsequent year, the amount calculated for the preceding year under section 97, that is to say, the amount of subsidy payable to the authority for the year (or, if none was payable, nil or a negative amount, as the case may be) ;

(b) for the year 1981-82, the aggregate of the following amounts payable to the authority for the year 1980-81, that is to say—

(i) the amount of housing subsidy under section 2 of the 1975 Act ;

(ii) the amount (if any) of expanding towns subsidy under section 4 of the 1975 Act ; and

(iii) the amount of any contribution under the enactments listed in Part II of Schedule 11 which is payable in respect of any dwelling within the authority's Housing Revenue Account.

(2) If the Secretary of State is of opinion that particular circumstances require it, he may adjust the base amount for any year by increasing or decreasing it, either generally or in relation to any description of authority or any particular authority ; and, without prejudice to the generality of this provision, he may adjust the base amount for the year 1981-82 by excluding from the amount taken into account as housing subsidy under section 2 of the 1975 Act so much of the new capital costs element and the high costs element as was in his opinion attributable to capital costs directly charged to revenue.

99.—(1) A local authority's housing costs differential for any year of account is the amount by which its reckonable expenditure for that year exceeds its reckonable expenditure for the preceding year (and accordingly is nil or, as the case may be, a negative amount if its reckonable expenditure for the year of account is the same or less). The housing costs differential.

(2) A local authority's reckonable expenditure for any year is the aggregate of—

(a) so much of the expenditure incurred by the authority in that year and falling to be debited to its Housing Revenue Account as the Secretary of State may determine ; and

(b) so much of any other expenditure incurred by the local authority in that year or treated, in accordance with any determination made by the Secretary of State, as so incurred, as the Secretary of State may determine to take into account for the purposes of housing subsidy.

(3) A determination under this section may be made for all local authorities or different determinations may be made for authorities of different descriptions or for authorities in England and authorities in Wales or in different parts of England or Wales or for individual authorities ; and any such determination may be varied or revoked in relation to all or any of the authorities for which it was made.

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(4) Before making a determination for all local authorities the Secretary of State shall consult with organisations appearing to him to be representative of local authorities.

The local
contribution
differential.

100.—(1) A local authority's local contribution differential for any year of account is the amount by which its reckonable income for that year exceeds its reckonable income for the preceding year (and accordingly is nil or, as the case may be, a negative amount if its reckonable income for the year of account is the same or less).

(2) A local authority's reckonable income for any year is the amount which, in accordance with any determination made by the Secretary of State, the local authority is assumed to receive for that year as income which it is required to carry to its Housing Revenue Account, but—

- (a) excluding, subject to paragraph (b) below, any income derived from any subsidy, grant or contribution; and
- (b) including any contribution made by the authority out of its general rate fund as well as any modified rent rebate subsidy payable under section 3 of the 1975 Act.

(3) A determination under this section shall state the assumptions on which it is based and the method of calculation used in it, and in making it the Secretary of State shall have regard, among other things, to past and expected movements in incomes, costs and prices.

(4) A determination under this section may be made for all local authorities or different determinations may be made for authorities of different descriptions or for authorities in England and authorities in Wales or in different parts of England or Wales or for individual authorities, and every determination shall be made known in the year preceding the year of account to the local authorities for which it is made.

(5) Before making a determination for all local authorities the Secretary of State shall consult with organisations appearing to him to be representative of local authorities.

Other housing authorities

Housing
subsidy for
other bodies.

101.—(1) Sections 97 to 100 above apply in relation to new town corporations and the Development Board for Rural Wales as they apply in relation to local authorities, but subject to the following provisions of this section.

(2) In relation to a new town corporation—

- (a) section 98 has effect as if the aggregate mentioned in subsection (1)(b) included so much of the grant made

to the corporation for the year 1980-81 under section 42(2) or 42(3A) of the New Towns Act 1965 as was to be credited to the corporation's housing account ; and

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1965 c. 59.

(b) sections 98, 99 and 100 have effect as if for references to the Housing Revenue Account there were substituted references to the housing account and for the reference to the general rate fund a reference to the general revenue account.

(3) In relation to the Board,—

(a) section 98 has effect as if for the references to section 2 of the 1975 Act there were substituted references to section 18 of the Development of Rural Wales Act 1976 and the aggregate mentioned in subsection (1)(b) included so much of the grants made to the Board for the year 1980-81 under section 11 of the Act of 1976 as was to be credited to its housing account ; and

(b) sections 99 and 100 have effect as if for references to the Housing Revenue Account there were substituted references to the housing account, and the contribution and rent rebate subsidy referred to in section 100(2)(b) were respectively any contribution made by the Board out of revenue and the subsidy payable under section 19 of the Act of 1976.

(4) The consultations required by section 99(4) or 100(5) shall be with organisations appearing to the Secretary of State to be representative of new town corporations or, as the case may be, with the Development Board for Rural Wales.

(5) The Commission for the New Towns is to be treated as a separate body in respect of each of its new towns.

Recoupment

102.—(1) Where any subsidy has been paid to any local authority or other body under this Part of this Act, and it appears to the Secretary of State that—

Recoupment
of subsidy.

(a) the purpose for which it was paid has not been fulfilled or not completely or adequately or not without unreasonable delay ; and

(b) that the case falls within rules published by him ;

he may recover from the authority or other body the whole or such part of the payment as he may determine in accordance with the rules, with interest from such time and at such rates as he may so determine.

(2) A sum recoverable under this section may be recovered either as a simple contract debt or by withholding or reducing housing subsidy payable in any year or in successive years.

PART VI

(3) The withholding or reduction under this section of housing subsidy payable to a local authority or other body for any year shall not affect the authority's or other body's base amount for the following year.

Administration

Administration of housing subsidy.

103.—(1) Housing subsidy shall be paid out of moneys provided by Parliament and shall be credited—

- (a) if paid to a local authority, to the authority's Housing Revenue Account ; and
- (b) if paid to another body, to that body's housing account or appropriate housing account.

(2) Housing subsidy shall be paid by the Secretary of State at such times, in such manner and subject to such conditions as to records, certificates, audit or otherwise as he may, with the agreement of the Treasury, determine.

(3) Payment of subsidy shall be subject to the making of a claim for it in such form, and containing such particulars, as the Secretary of State may from time to time determine.

Transitional town development subsidy

Power to commute transitional town development subsidy and payments to receiving authority.

104.—(1) Where, under section 5 of the 1975 Act, transitional town development subsidy is payable to a sending authority for years later than the year 1979-80 the Secretary of State may, with the agreement of the sending authority and of the receiving authority, determine—

- (a) to commute further payments of transitional development subsidy into a single payment of an amount determined by him or calculated in a manner determined by him ; and
- (b) to commute the corresponding payments by the sending authority to the receiving authority under subsection (6) of that section into a single payment of an amount four times that payable under paragraph (a) above.

(2) In making a determination under this section the Secretary of State shall make such allowance (if any) as appears to him appropriate for circumstances in which, if there were no commutation, his power under section 5 of the 1975 Act to reduce or discontinue the sending authority's transitional town development subsidy might be exercised.

Interpretation

Interpretation of Part VI.

105. In this Part of this Act—

“local authority” means the council of a district or London borough, the Greater London Council, the Common Council of the City of London or the Council of the Isles of Scilly ;

“new town corporation” means a development corporation (within the meaning of the New Towns Act 1965) or the Commission for the New Towns ; PART VI
1965 c. 59.

“year” means any period of 12 months beginning on a 1st April ;

“year of account” means the year for which any housing subsidy is or may be payable under this Part of this Act.

PART VII

HOUSING: FINANCIAL AND RELATED PROVISIONS

Repairs and improvements

106.—(1) A local authority may entertain an application for a grant under Part VII of the 1974 Act from a person who has in relation to his dwelling— Grants for
tenants under
Part VII of
Housing Act
1974.

(a) a protected tenancy or a statutory tenancy ;

(b) a secure tenancy ;

(c) a tenancy to which section 1 of the Landlord and Tenant Act 1954 applies and of which less than 5 years remain unexpired at the date of the application ; 1954 c. 56.

(d) a protected occupancy or statutory tenancy within the meaning of the Rent (Agriculture) Act 1976 ; or 1976 c. 80.

(e) a tenancy which satisfies such conditions as may be prescribed,

but not where the application is for an improvement grant in respect of works required for the provision of a dwelling.

(2) A local authority may refuse to entertain the application unless it is accompanied by a certificate given by a qualified person and stating his intention that, throughout the period of 5 years beginning with the certified date—

(a) the dwelling will be let or available for letting as a residence, and not for a holiday, to a person other than a member of the family of the person giving the certificate ; or

(b) the dwelling will be occupied or available for occupation by a member of the agricultural population in pursuance of a contract of service and otherwise than as a tenant,

(disregarding any part of that period in which neither of the above paragraphs applies but the dwelling is occupied by a protected occupier under the Rent (Agriculture) Act 1976).

(3) A person is qualified to give a certificate for the purposes of subsection (2) if the local authority could (apart from this section) have entertained an application from him.

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(4) Unless the application is accompanied by that certificate, the authority shall not impose any of the grant conditions specified in section 74(2) of the 1974 Act (future letting of a dwelling).

(5) Expressions defined for the purposes of Part VII of the 1974 Act have the same meanings in this section as they have in that Part.

Miscellaneous changes in Part VII of Housing Act 1974.

107. The provisions of Part VII of the 1974 Act relating to local authority improvement, repairs and other grants are amended in accordance with Schedule 12 to this Act (amendments to alter certain conditions of grants, relax other conditions, and make other minor and consequential changes).

Disposal of houses after repair, improvement or conversion.

108.—(1) The Secretary of State may, with the consent of the Treasury, make schemes for making contributions out of moneys provided by Parliament to the net cost (as determined under the schemes) to local authorities of disposing of dwellings in cases of the kind mentioned in subsection (2) below.

(2) Those cases are where an authority—

(a) disposes of a house as one dwelling ;

(b) divides a house into two or more separate dwellings and disposes of them ; or

(c) combines two houses to form one dwelling and disposes of it,

after carrying out works of repair, improvement or conversion.

(3) The cost towards which contributions may be made under such a scheme shall not exceed £5,000 for any one dwelling, but the Secretary of State may, by order made with the consent of the Treasury, substitute another amount for £5,000.

(4) In this section—

“ house ” includes a flat ;

“ local authority ” means the council of a district or London borough, the Greater London Council, the Common Council of the City of London or the Council of the Isles of Scilly.

(5) Section 79 of the 1974 Act (payment of improvement contributions to housing authorities) is hereby repealed.

General improvement areas, housing action areas and priority neighbourhoods.

109.—(1) The enactments relating to general improvement areas and housing action areas are amended in accordance with Schedule 13 to this Act.

(2) Part VI of the 1974 Act (priority neighbourhoods) shall cease to have effect but without prejudice to the status of any land as part of a priority neighbourhood declared before the commencement of this section.

(3) Section 29B of the 1969 Act (incorporation of priority neighbourhood into general improvement area) shall cease to have effect ; but—

- (a) any land comprised in a priority neighbourhood declared before the commencement of this section shall cease to be such land on the area comprising the land becoming a general improvement area ; and
- (b) this subsection does not affect the operation of section 29B in any case where a preliminary resolution under that section was passed before the commencement of this section.

Mortgages and home ownership

110.—(1) Where, after the commencement of this subsection, a local authority— Local authority mortgage interest rates.

- (a) advances money for any of the purposes mentioned in subsection (2) below ; or
- (b) on the disposal of any dwelling-house, allows or has to allow any sum to be left outstanding on the security of the dwelling-house ; or
- (c) takes a transfer of a mortgage in pursuance of section 111 of this Act ;

the provision to be made by it with respect to interest on the sum advanced or remaining outstanding shall comply with the following provisions of this section, unless the advance, disposal or transfer is made in pursuance of a binding contract entered into before the commencement of this subsection or entered into by the acceptance of an offer made by the local authority which was capable of being accepted before the commencement of this subsection.

(2) The purposes mentioned in subsection (1)(a) above are—

- (a) acquiring a house ;
- (b) constructing a house ;
- (c) converting another building into a house or houses or acquiring another building and converting it into a house or houses ;
- (d) altering, enlarging, repairing or improving a house ; and
- (e) facilitating the repayment of an amount outstanding on a previous loan made for any of the purposes specified in paragraphs (a) to (d) above ;

and “ house ” in this subsection has the same meaning as in the Housing (Financial Provisions) Act 1958.

PART VII

(3) The rate of interest shall be whichever is for the time being the higher of the following, namely—

- (a) the standard national rate (as defined in subsection (4) below) ; and
- (b) the applicable local average rate (as defined in subsection (5) below) ;

and shall be capable of being varied by the local authority whenever a change in either or both of those rates requires it ; and the amount of the periodic payments shall be capable of being varied correspondingly.

(4) The standard national rate is the rate for the time being declared as such by the Secretary of State after taking into account interest rates charged by building societies in the United Kingdom and any movement in those rates.

(5) The applicable local average rate is whichever of the two rates for the time being declared by the local authority in accordance with subsection (6) below is applicable.

(6) A local authority shall for such period not exceeding six months and beginning at the commencement of subsection (1) above as it may determine and for every subsequent period of six months declare, on a date falling within the month immediately preceding that period, a rate applicable to the advances and transfers mentioned in subsection (1)(a) and (c) above and a rate applicable to the sums left outstanding as mentioned in subsection (1)(b) above ; and—

(a) the rate applicable to those advances and transfers shall be a rate exceeding by $\frac{1}{4}$ per cent. that which the authority estimates it has to charge in order to service the loan charges on money borrowed or to be borrowed by the authority for the purpose of such advances and transfers ; and

(b) the rate applicable to the sums left outstanding shall be a rate exceeding by $\frac{1}{4}$ per cent. the average, on the date the rate is declared, of the rates at which all loan charges debited to the authority's appropriate account are serviced.

(7) The appropriate account for the purposes of paragraph (b) of subsection (6) above is—

(a) for sums left outstanding on the disposal of dwelling-houses held by a local authority under Part V of the 1957 Act, the authority's Housing Revenue Account ; and

(b) for any other sums left outstanding, the general fund if the authority is the Greater London Council or the Council of the Isles of Scilly, the county fund if it is

PART VII

the council of a county, the general rate if it is the Common Council of the City of London and the general rate fund in any other case ;

and in that subsection " loan charges " has the meaning given by section 104(3)(b) of the 1972 Act (or, in relation to the council of a county, the meaning that would be so given if the council were a housing authority within the meaning of that Act).

(8) Where, on any such change as is mentioned in subsection (3) above, a rate of interest is capable of being varied, the local authority shall vary it and shall serve on the person liable to pay the interest notice in writing of the variation not later than two months after the change ; and the variation shall take effect with the first payment of interest due after a date specified in the notice, which—

(a) if the variation is a reduction, shall be not later than one month after the change ; and

(b) if the variation is an increase, shall be not earlier than one month nor later than three months after the service of the notice.

(9) On a variation, in accordance with subsection (8) above, of a rate of interest the local authority may make a corresponding variation of the periodic payments, which shall be notified and take effect together with the variation of the rate of interest ; and it shall do so if otherwise the period over which the repayment of principal is to be made would be reduced below the period fixed when the mortgage was effected.

(10) The Secretary of State may by notice in writing to a local authority direct it to treat a rate specified in the notice as being the higher of the rates mentioned in subsection (3) above, either during a period specified in the notice or until further notice, and may by a further notice in writing vary or withdraw any direction so given ; and where such a direction is given the preceding provisions of this section shall have effect accordingly.

(11) This section shall not prevent a local authority, if the conditions stated in subsection (12) below are satisfied, from giving assistance to a person acquiring a house in need of repair or improvement by making provision for waiving or reducing, for a period ending not later than five years after the date of the advance mentioned in subsection (1)(a) above or the disposal mentioned in subsection (1)(b) above, the interest payable on the sum advanced or remaining outstanding and for dispensing during that period with any repayment of principal.

(12) The conditions mentioned in subsection (11) above are that—

(a) the assistance is given in accordance with a scheme which either has been approved by the Secretary of

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State or conforms with such requirements as may be specified in an order made by the Secretary of State with the consent of the Treasury ; and

- (b) the person acquiring the house has entered into an agreement with the local authority to carry out, within a period specified in the agreement, such works of repair or improvement as are so specified.

1978 c. 27.

(13) This section shall not prevent a local authority from giving assistance in the manner provided by section 1(4)(b) of the Home Purchase Assistance and Housing Corporation Guarantee Act 1978 (part of certain loans to be free of interest for up to five years).

(14) This section does not apply to loans made by local authorities to housing associations under section 119 of the 1957 Act.

(15) In this section "local authority" means the council of a county, the council of a district or London borough, the Greater London Council, the Common Council of the City of London or the Council of the Isles of Scilly.

Local
authority and
Housing
Corporation
indemnities
for building
societies.

111.—(1) Local authorities and the Housing Corporation may, with the approval of the Secretary of State, enter into agreements with building societies lending on the security of house property whereby, in the event of default by the mortgagor, and in circumstances and subject to conditions specified in the agreements, an authority or the Corporation binds itself to indemnify the building society in respect of—

- (a) the whole or part of the mortgagor's outstanding indebtedness ; and
(b) any loss or expense falling on the building society in consequence of the mortgagor's default.

1958 c. 42.

(2) In subsection (1) above "house property" means any property which is a house for the purposes of the Housing (Financial Provisions) Act 1958.

(3) The agreement may also, where the mortgagor is made party to it, enable or require the authority or the Corporation in specified circumstances to take a transfer of the mortgage and assume rights and liabilities under it, the building society being then discharged in respect of them.

(4) The transfer may be made to take effect—

- (a) on any terms provided for by the agreement (including terms involving substitution of a new mortgage agreement or modification of the existing one) ; and

(b) so that the authority or the Corporation are treated as acquiring (for and in relation to the purposes of the mortgage) the benefit and burden of all preceding acts, omissions and events.

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(5) The Secretary of State may under subsection (1) approve particular agreements or give notice that particular forms of agreement have his approval ; and—

(a) he may in either case make the approval subject to conditions ;

(b) he shall, before giving notice that a particular form has his approval, consult the Chief Registrar of Friendly Societies and such organisations representative of building societies and local authorities as he thinks expedient.

(6) In this section “ local authority ” means a county or district council, the Greater London Council, a London borough council, the Common Council of the City of London or the Council of the Isles of Scilly.

(7) In this section “ building society ” means a society within the Building Societies Act 1962 or the Building Societies Act (Northern Ireland) 1967. 1962 c. 37.
1967 c. 31
(N.I.).

(8) Section 16(3) and (5) of the Restrictive Trade Practices Act 1976 (recommendations by services supply association to members) shall not apply to recommendations made to building societies about the making of agreements under this section, provided that the recommendations are made with the approval of the Secretary of State, which may be withdrawn at any time on one month’s notice. 1976 c. 34.

112.—(1) The following provisions of this section apply where, before the commencement of section 91(1) above, a local authority has sold any property under the powers of section 104(1) of the 1957 Act and— Vesting of mortgaged property by local authorities.

(a) part of the price was secured by a mortgage on the property ; and

(b) such a condition was imposed on the sale as is mentioned in section 104(3)(c) of that Act (right of pre-emption) ; and

(c) the period during which the authority has the right to re-acquire the property under that condition has not expired.

(2) If the authority as mortgagee has become entitled to exercise the power of sale conferred by section 101 of the Law of Property Act 1925 or by the mortgage deed, it may, if the 1925 c. 20.

PART VII county court gives it leave to do so, by deed vest the property in itself—

(a) for such estate and interest in the property as is the subject of the mortgage or as it would be authorised to sell or convey under that Act on exercising its power of sale; and

(b) freed from all estates, interests and rights to which the mortgage has priority,

but subject to all estates, interests and rights which have priority to the mortgage.

(3) Accordingly, on the vesting of the property the authority's mortgage term or charge by way of legal mortgage, and any subsequent mortgage term or charge, shall merge or be extinguished as respects the property vested.

(4) Where the title to the property is registered under the Land Registration Acts 1925 to 1971 the Chief Land Registrar shall, on application being made to him by the local authority, register the authority as proprietor of the property, free from all estates, interests and rights to which its mortgage had priority, and he shall not be concerned to inquire whether any of the requirements of this and the following section were complied with.

(5) Where a local authority conveys the property, or part of it, to any person—

(a) he shall not be concerned to inquire whether any of the provisions of this or the following section were complied with; and

(b) his title shall not be impeachable on the ground that the property was not properly vested in the authority or that those provisions were not complied with.

(6) Where application for leave under this section is made to the county court, the county court may adjourn the proceedings or postpone the date for the execution of the local authority's deed for such period or periods as the court thinks reasonable.

(7) Any such adjournment or postponement may be made subject to such conditions with regard to payment by the mortgagor of any sum secured by the mortgage or the remedy of any default as the court thinks fit; and the court may from time to time vary or revoke any such condition.

(8) Property vested under this section shall be treated as acquired under Part V of the 1957 Act.

Compensation
and
accounting
under s. 112.

113.—(1) Where, under section 112 above, a local authority has vested any property in itself it shall appropriate a fund equal to the aggregate of—

(a) the price at which the authority could have re-acquired the property by virtue of the condition mentioned in section 112(1)(b) above; and

- (b) interest on that price for the period beginning with the vesting and ending with the appropriation at the rate or rates prescribed for that period under section 32 of the Land Compensation Act 1961. PART VII
1961 c. 33.

(2) The fund shall be applied—

- (a) first, in discharging, or paying sums into court for meeting, any prior incumbrances to which the vesting is not made subject;
- (b) secondly, in recovering costs, charges and expenses properly incurred by the authority as incidental to the vesting of the property; and
- (c) thirdly, in recovering the mortgage money, interest, costs, and other money (if any) due under the mortgage;

and any residue then remaining in the fund shall be paid to the person entitled to the mortgaged property, or who would have been entitled to give receipts for the proceeds of sale of the property if it had been sold in exercise of the power of sale.

(3) Section 107(1) of the Law of Property Act 1925 (mortgagee's written receipt sufficient discharge for money arising under power of sale) applies to money payable under this section as it applies to money arising under the power of sale conferred by that Act. 1925 c. 20.

114.—(1) If an option notice under Part II of the Housing Subsidies Act 1967 (subsidised loans for house purchase and improvement) is given— Subsidised home loans—
amendments
as to options.
1967 c. 29.

- (a) with the qualifying lender's agreement and in such circumstances or in such cases or descriptions of case as may be specified in directions given by the Secretary of State; or
- (b) not earlier than twelve months after the date of the repayment contract;

it shall have effect notwithstanding that the conditions specified in section 24(3)(a) and (b) of the Act are not satisfied.

(2) An option notice given under subsection (1) above takes effect from the first day of April falling not less than three months after the notice is given; but if it is given under subsection (1)(a) above and it is so agreed between the borrower and the qualifying lender, it takes effect on the first day of such month beginning not less than three months after it is given as is so agreed.

(3) An option notice may be cancelled as from any end of March falling not less than twelve months after the date of the repayment contract by a notice given by the borrower to the lender not less than three months before the cancellation.

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(4) Unless authorised by order under subsection (5) below—

(a) an option notice given by virtue of subsection (1)(b) above cannot be cancelled by a notice under subsection (3) above ; and

(b) where an option notice has been cancelled under subsection (3) above no further option notice can be given under subsection (1)(b) above in respect of the same repayment contract.

(5) If it appears to the Secretary of State appropriate to do so having regard to any material change in taxation or other conditions likely to affect a borrower's decision whether or not to take a subsidised loan, he may by order authorise the giving or cancellation of option notices in accordance with subsections (1) to (3) above in such circumstances or descriptions of case as may be specified in the order.

(6) An order under subsection (5) above shall not authorise the giving of any option notice or of a notice cancelling an option notice later than twelve months after the end of the year in which the order is made.

(7) A notice under subsection (3) above must be in writing and in such form as the Secretary of State may direct ; and the reference in that subsection to the borrower includes persons in whom the rights and obligations under the repayment contract are for the time being vested.

(8) Before making an order under subsection (5) above the Secretary of State shall have such consultations with qualifying lenders or organisations representative of them as he thinks appropriate having regard to the purposes of the proposed order.

(9) This section shall be construed, and Part II of the Act of 1967 shall have effect, as if this section were contained in that Part.

Subsidised
loans—further
application
of Part II of
1967 Act.
1967 c. 29.

115.—(1) In relation to a loan which satisfies the two conditions stated in subsections (2) and (3) below Part II of the Housing Subsidies Act 1967 shall have effect as if the loan were for or in connection with one or more of the purposes specified in section 24(1)(b) of that Act.

(2) The first condition is that the loan—

(a) is made as part of a scheme under which not less than nine-tenths of the proceeds of the loan are applied to the purchase by the person or persons to whom it is made of an annuity—

(i) ending, if the loan is made to one person, with his life or with the life of the survivor of two or more persons who include that person, and

(ii) ending, if the loan is made to more than one person, with the life of the survivor of two or more persons who include the persons to whom the loan is made; or

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(b) was made under such a scheme before the commencement of this section.

(3) The second condition is that each of the persons mentioned in subsection (2) above has attained the age of sixty-five years at the time the loan is made (or, if the loan was made before the commencement of this section, had attained that age at the time the loan was made).

116.—(1) Part II of the Housing Subsidies Act 1967 is amended as shown in Schedule 14 (amendments to make new or altered provision about the conditions on which subsidised loans are to be available, the duration of subsidy and the bodies who are to be qualifying lenders). Other amendments relating to subsidised loans.
1967 c. 29.

(2) Where a guarantee in respect of an advance by a building society to a borrower in Northern Ireland is given by an insurance company in pursuance of arrangements made under Article 14 of the Housing (Northern Ireland) Order 1978 (guarantee of advances in excess of normal amount)— S.I. 1978/457
(N.I. 2).

(a) the guarantee is to be regarded as an appropriate policy for the purposes of section 33(1) of the Building Societies Act 1962 (advances for the payment of certain premiums); and 1962 c. 37.

(b) section 26(3) of that Act (which limits the amount of an advance where certain guarantees are given) does not apply to the guarantee.

Other provisions about local authority housing finance

117.—(1) The amount of rent allowance subsidy payable to a local authority (for the credit of the general rate fund) shall be 90 per cent. of the authority's standard amount of rent allowances for the year, as defined by section 20(8) of the 1972 Act. Rent allowance and rent rebate subsidy.

(2) In section 3 of the 1975 Act (modified rent rebate subsidy)—

(a) in subsection (3) (rate of subsidy) "90 per cent." is substituted for "75 per cent."; and

(b) in subsection (4)(a) (rate fund contribution) "10 per cent." is substituted for "25 per cent.".

(3) A local authority's rate fund contribution under section 3(4) of the 1975 Act, so far as payable under paragraph (a) of

PART VII

1974 c. 7. that subsection (percentage of standard amount of rent rebates), is not to count as relevant expenditure for the purposes of section 1 of the Local Government Act 1974 (rate support grant).

1976 c. 75. (4) In section 19(2) of the Development of Rural Wales Act 1976 (rate of rent rebate subsidy payable to the Development Board for Rural Wales), "90 per cent." is substituted for "75 per cent."

(5) This section applies in respect of subsidies payable for 1981-82 and subsequent years.

Rent rebates and allowances.

118. Part II of the 1972 Act (rent rebates and allowances) shall have effect, in relation to the operation of rebate and allowance schemes after such date as the Secretary of State may by order appoint subject to the amendments set out in Schedule 15 to this Act.

Rent rebates etc. and supplementary benefits.

119.—(1) Except in accordance with directions of the Secretary of State, no rebate or allowance shall be paid by an authority under or by virtue of Part II of the 1972 Act to any person if, to the authority's knowledge—

(a) he is receiving supplementary benefit ; or

(b) his income or resources fall to be aggregated under the 1972 Act or the Supplementary Benefits Act 1976 with those of another person who is receiving that benefit.

1976 c. 71.

(2) The Secretary of State may also give directions modifying the application of Part II of the 1972 Act (including Schedules 3 and 4) in circumstances where a person's entitlement to rebate or allowance is or may be affected by subsection (1) or directions under it.

(3) Authorities shall supply the Secretary of State with such information in their possession as may be required to give effect to the Supplementary Benefits Act 1976 ; and the Secretary of State shall supply authorities with such information concerning claims for and payments of supplementary benefits as authorities may require to give effect to their rebate and allowance schemes.

(4) Part II of Schedule 3 to the 1972 Act and Part II of Schedule 4 to that Act (provisions superseded by this section regarding relationship between supplementary benefits and rent rebates and allowances) are hereby repealed.

(5) In this section "authority" means any of those bodies which under Part II of the 1972 Act operate rent rebate or rent allowance schemes ; and "supplementary benefit" means the same as in that Part of that Act.

(6) In section 22 of the 1972 Act (permitted totals of rent rebates and allowances) after subsection (1) there are inserted the following subsections—

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“(1A) The Secretary of State may, on application by an authority, direct that the authority’s permitted total of rebates or allowances for such period as may be specified in the direction shall be such proportion of their standard amount of rent rebates or, as the case may be, standard amount of rent allowances, greater than 110 per cent., as may be specified in the direction.

(1B) Any direction given under subsection (1A) above may be made conditional upon compliance by the authority concerned with such conditions as may be specified in the direction.”

PART VIII

HOUSING ASSOCIATIONS AND THE HOUSING CORPORATION

120.—(1) In section 7(5) of the 1974 Act (which limits the aggregate amount outstanding in respect of certain advances and loans to the Housing Corporation and its subsidiaries to £400 million but enables the limit to be raised to £750 million) for “£400 million” and “£750 million” there are substituted respectively “£2,000 million” and “£3,000 million”. Borrowing powers of Housing Corporation.

(2) In ascertaining the limit imposed by that section any interest payable under section 7(6) of that Act on a loan made by the Secretary of State to the Housing Corporation which, with the approval of the Treasury, is deferred and treated as part of the loan, shall, so far as outstanding, be treated as outstanding by way of principal, whether the loan was made before or is made after the commencement of this section.

121.—(1) The Secretary of State may, with the consent of the Treasury, make out of moneys provided by Parliament such grants to the Housing Corporation as appear to him required to enable the Corporation to meet the expenses incurred by it in the exercise of its functions, and any such grant may be made subject to such conditions as he may with the consent of the Treasury determine. Grants to and by Housing Corporation.

(2) In exercising its functions under section 1(2)(a) and (b) of the 1974 Act the Housing Corporation may, with the consent of the Secretary of State and of the Treasury, make grants—

(a) to registered housing associations towards the expenses incurred by them in carrying out the objects mentioned in section 13(3)(c) and (d) of that Act (advice on formation or running of other housing associations and provision of services for them); and

PART VIII

(b) to other voluntary organisations towards the expenses incurred by them in carrying out the like objects ;

and any such grant may be made subject to such conditions as the Corporation may, with the consent of the Secretary of State and of the Treasury, determine.

(3) In this section "voluntary organisation" means a body the activities of which are carried on otherwise than for profit.

Disposal of
land by
registered
housing
associations.

122.—(1) Without prejudice to the provisions of Chapter I of Part I of this Act, every registered housing association shall, subject to section 2 of the 1974 Act (control by Housing Corporation of dispositions by housing associations), have power by virtue of this section, but not otherwise, to dispose in such manner as it thinks fit of any land held by it.

1925 c. 18.

(2) If, in a case where a registered housing association disposes of any land, section 39 of the Settled Land Act 1925 (disposal of land by trustees) would apply but for this subsection, that section shall not apply in relation to the disposal ; and accordingly the disposal need not be for the best consideration in money that can reasonably be obtained.

(3) Nothing in subsection (2) above shall be taken to authorise any action on the part of a charity that would conflict with the trusts of the charity.

(4) Subsections (2) to (9) of section 104B of the 1957 Act (repayment of discount on early disposal of freehold or lease), which is inserted in that Act by section 92 of this Act, apply (with the modification specified in subsection (5) below) in relation to a disposal by a registered housing association made under this section with the consent of the Housing Corporation, as they apply to a disposal by the local authority made under section 104 of that Act with the consent of the Secretary of State ; and accordingly do not apply in any such case if the consent so provides.

(5) The modification referred to in subsection (4) above is that the Housing Corporation is added to the bodies specified in subsection (6) of section 104B.

(6) Section 104C of the 1957 Act (power to impose covenant limiting freedom to dispose of houses in National Parks and areas of outstanding beauty, etc.), which is also inserted in that Act by section 92 of this Act, shall apply in relation to a conveyance, grant or assignment executed under this section by a registered housing association as it applies to a conveyance, grant or assignment executed under section 104 of that Act by a local authority.

123.—(1) Section 2 of the 1974 Act (control by Housing Corporation of dispositions of land by housing associations) is amended as follows. PART VIII
Consent of
Housing
Corporation
to disposals
of land by
housing
associations
and housing
trusts.

(2) After subsection (1) there are inserted the following subsections—

“(1A) Any consent of the Corporation may be given either generally to all housing associations or to any particular association or description of association and either in relation to any particular land or description of land.

(1B) Any such consent may be given subject to such conditions as the Corporation sees fit to impose.”

(3) For subsection (2) there is substituted the following subsection—

“(2) Subsection (1) above shall not apply to a disposition by an unregistered housing association which is a charity if the disposition is one which, by virtue of subsection (1) or (2) of section 29 of the Charities Act 1960 (certain disposals not to take place without an order of the court or of the Charity Commissioners), cannot be made without such an order as is mentioned in that section.”

(4) After subsection (3) there is inserted the following subsection—

“(3A) Subsection (1) above shall not apply to the letting, by a registered housing association or by an unregistered housing association which is a housing trust, of any land under a secure tenancy or under what would be a secure tenancy but for any of paragraphs 2 to 13 of Schedule 3 to the Housing Act 1980 or, as the case may be, but for any of paragraphs 2 to 7 of Schedule 1 to the Tenants' Rights, Etc. (Scotland) Act 1980.”

(5) In subsection (4), after the word “grant” there are inserted the words “by an unregistered housing association which does not satisfy the landlord condition in section 28 of the Housing Act 1980 (bodies which are capable of granting secure tenancies)”.

(6) After subsection (5) there is inserted the following subsection—

“(5A) Where a housing association has, at any time, made a disposition requiring the consent of the Corporation under this section, then—

(a) in favour of any person claiming under the association, the disposition shall not be invalid by reason that any consent of the Corporation which is required has not been given; and

PART VIII

(b) a person dealing with the association or a person claiming under the association shall not be concerned to see or inquire whether any such consent has been given.”.

(7) After subsection (6) there is inserted the following subsection—

“ (6A) In this section—

‘ housing trust ’ has the same meaning as in section 15 of the Rent Act 1977 ; and

‘ secure tenancy ’ has the same meaning as in section 28 of the Housing Act 1980 or section 10 of the Tenants’ Rights, Etc. (Scotland) Act 1980.”.

**Accounts
and audit.**

124.—(1) The Secretary of State may by order lay down accounting requirements for registered housing associations with a view to ensuring that the accounts of every registered housing association are prepared in the requisite form and give a true and fair view of the state of affairs of the association, so far as its housing activities are concerned, and of the disposition of funds and assets which are, or at any time have been, in its hands in connection with those activities.

(2) The accounts of every registered housing association must comply with those requirements ; and the auditor’s report shall state (in addition to any other matters which it is required to state) whether in the auditor’s opinion they do so comply.

(3) Every registered housing association shall furnish to the Housing Corporation a copy of its accounts and auditor’s report within 6 months of the end of the period to which they relate.

(4) A registered housing association which is a society registered under the Industrial and Provident Societies Act 1965 shall be subject to section 4(1) of the Friendly and Industrial and Provident Societies Act 1968 (obligation to appoint auditors), without regard to the volume of its receipts and payments, the number of its members or the value of its assets ; and such an association is in no case to be treated as an exempt society under that section.

(5) A registered housing association which is a registered charity but not a society registered under the Act of 1965 shall, in respect of its housing activities (and separately from its other activities, if any) be subject to Part I of Schedule 16 to this Act (provisions corresponding to those of the Act of 1968) ; but this does not affect any obligation falling on the charity in consequence of section 8 of the Charities Act 1960 (statement of accounts to be transmitted to Charity Commissioners).

1965 c. 12.
1968 c. 55.

1960 c. 58.

(6) The method by which an association shall distinguish in its accounts between its housing activities and other activities shall be as laid down by orders under subsection (1) above.

(7) Subsections (2) to (6) above apply with respect to any period beginning on or after the day on which the first order under subsection (1) comes into force; and the requirements contained in any order under that subsection shall not apply in relation to any period beginning before the day on which the order comes into force.

125.—(1) All persons who are directly concerned with the conduct and management of the affairs of a registered housing association and are in that capacity responsible for the preparation and audit of accounts shall have the duty to ensure that section 124 and (where applicable) Part I of Schedule 16 are complied with by the association. Enforcement of s. 124.

(2) If—

- (a) the accounts of a registered housing association, as furnished to the Housing Corporation under section 124(3), do not comply with the accounting requirements laid down under section 124(1); or
- (b) section 124(3) is not complied with in respect of the accounts and auditor's report; or
- (c) Part I of Schedule 16 is not complied with by an association which is a registered charity but not a society registered under the Act of 1965,

the association as well as each of the persons on whom the above duty is imposed shall be liable on summary conviction to a fine not exceeding £200.

(3) It is a defence—

- (a) for a person charged under subsection (2) above to prove that he did everything that could reasonably have been expected of him by way of discharging the duty imposed by subsection (1) above; and
- (b) for an association charged under subsection (2) above to prove that the persons mentioned in subsection (1) above did everything that could reasonably have been expected of them by way of discharging the duty imposed by subsection (1) above in relation to the association.

(4) No proceedings for an offence under this section shall be instituted in England or Wales except by or with the consent of the Director of Public Prosecutions or the Housing Corporation.

126. For subsections (3) to (6) of section 26 and for Payments to section 27 of the 1974 Act (payments to members etc. of certain registered 1965 Act associations and contracts with committee members and others.

PART VIII

members) there shall be substituted the provisions set out in Part II of Schedule 16 to this Act.

Registration of housing associations. 1965 c. 12.

127.—(1) A housing association which is a society registered under the Industrial and Provident Societies Act 1965 may have among its objects those of—

- (a) acquiring houses to be disposed of on sale or on lease, or building houses to be disposed of on leases falling within subsection (2) below ;
- (b) repairing and improving houses, or creating them by conversion of house or other property, with a view to such disposal,

without preventing the association from being or, as the case may be, remaining registered by the Housing Corporation under section 13 of the 1974 Act.

(2) A lease of a house falls within this subsection if—

- (a) it is granted on payment of a premium which is calculated by reference to a percentage of the value of the house or of the cost of providing it ; or
- (b) the tenant (or his personal representatives) will or may be entitled to a sum calculated by reference directly or indirectly to the value of the house.

(3) In this section “ house ” includes a flat.

(4) Section 14 of the 1974 Act (the Housing Associations Registration Advisory Committee) is hereby repealed.

Removal of certain housing associations from register.

128.—(1) In section 15 of the 1974 Act—

- (a) after subsection (2) there is inserted the subsection set out below ; and
- (b) in subsection (6) for the words “ this section ” there are substituted the words “ subsection (2) above ”.

(2) The subsection inserted after subsection (2) is:—

“ (2A) Where a body which is registered—

- (a) has not at any time received a grant under section 29 or section 32 below or any such payment or loan as is specified in paragraph 2 or paragraph 3 of Schedule 2 to this Act ; and
- (b) requests the Corporation to remove it from the register ;

the Corporation may, if they think fit, remove it from the register.”

Inquiries into affairs of registered housing association and power to act for its protection

129. Sections 19 and 20 of the 1974 Act are amended and extended in accordance with Schedule 17 to this Act.

130.—(1) The Secretary of State may pay housing association grant under section 29 of the 1974 Act to a registered housing association in cases where the association—

PART VIII
Housing
association
grant.

- (a) disposes of a house as one dwelling ;
- (b) divides a house into two or more separate dwellings and disposes of them ; or
- (c) combines two houses to form one dwelling and disposes of it ;

after carrying out works of repair, improvement or conversion.

(2) The maximum grant which may be paid in a case of the kind mentioned in subsection (1) above is £5,000 for any one dwelling, but the Secretary of State may, by order made with the consent of the Treasury, substitute another amount for £5,000.

(3) In this section “ house ” includes a flat.

(4) The provisions of Part III of the 1974 Act relating to housing association grant are amended in accordance with Schedule 18 to this Act.

131.—(1) Every registered housing association which has at any time received a grant under section 29 of the 1974 Act shall show separately in its accounts for any period the surpluses arising from increased rental income during that period from housing projects in connection with which the grant was made.

Recoupment
of surplus
rental income.

(2) The surpluses are to be shown by each association in a fund to be known as the Grant Redemption Fund ; and the method of constituting the Fund and of showing it in the association's accounts is to be as required by order of the Secretary of State under section 124(1) above.

(3) The surpluses in respect of any period are to be calculated in a manner determined by the Secretary of State for housing associations generally, and in determining it the Secretary of State may take account of the rental income received or capable of being received by an association and the management and maintenance costs and loan charges incurred or likely to be incurred by it.

(4) The manner of calculating surpluses shall be determined after consultation with organisations appearing to the Secretary of State to be representative of registered housing associations, and shall be made known to the associations from time to time ; and surpluses may be calculated differently for housing associations of different kinds of dwellings in different parts of Great Britain.

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(5) The Secretary of State may from time to time give notice to a registered housing association requiring it to pay to him, with interest, if demanded, or to apply or appropriate for purposes he specifies, any sums standing in its Grant Redemption Fund at the end of a period of account.

(6) Any interest demanded under subsection (5) above—

(a) shall be at the rate or rates previously determined by the Secretary of State with the consent of the Treasury for housing associations generally and published by him or, if no such determination has been made, at the rate or rates specified with the consent of the Treasury in the notice; and

(b) shall be payable either from the date of the notice or from such earlier date, but not earlier than the end of the period of account, as the notice may specify.

(7) Subsections (1) and (2) above apply to an association's accounts for any period beginning on or after the date on which the first order under section 124(1) above comes into force.

Amendment
of rules of
registered
housing
association.

132. In section 24 of the 1974 Act the following subsection is inserted after subsection (5):—

“(5A) In relation to a registered 1965 Act association section 10 of the 1965 Act shall have effect as if—

(a) in subsection (1) after the words “shall not be valid” there were inserted the words “without the consent of the Housing Corporation given by order under the seal of the Corporation nor” and after paragraph (b) there were inserted the words “and there shall also be sent with the copies of the amendment a copy of the Corporation's consent”; and

(b) in subsection (2) at the end of the words preceding the paragraphs there were inserted the words “notice of any such change shall be sent to the Housing Corporation and”.”

Interpretation
of Part VIII.
1960 c. 58.

133.—(1) In this Part of this Act—

“registered charity” means a charity registered under section 4 of the Charities Act 1960, and “exempt charity” has the same meaning as in that Act;

“registered housing association” means an association registered under section 13 of the 1974 Act.

(2) For the purposes of this Part of this Act, the housing activities of a registered housing association are all those activities by reference to which it is to be regarded as a housing association (within the meaning given to that expression by section 189(1) of the 1957 Act or, as the case may be, section 208(1) of the Housing (Scotland) Act 1966) and as registrable under Part II of the 1974 Act.

1966 c. 49.

PART IX

GENERAL

Housing Revenue Account and Housing Repairs Account

134.—(1) Section 1(3) of the 1975 Act (restriction on working balances in Housing Revenue Account) shall cease to have effect. Working balance in Housing Revenue Account.

(2) Any authority which keeps a Housing Revenue Account may from time to time carry to the credit of its general rate fund (or, as the case may be, the general fund or the general rate) the whole or part of any balance in its Housing Revenue Account.

135.—(1) Any local authority may, for the year 1981-82 and for subsequent years, keep an account (to be known as the Housing Repairs Account) in accordance with this section. Housing Repairs Account.

(2) Every authority which keeps a Housing Repairs Account shall credit to the account—

(a) contributions from its Housing Revenue Account ;

(b) income arising from the investment or other use of money credited to the account ; and

(c) sums received by the authority in connection with the repair or maintenance of any of its housing stock, either from its tenants or from the sale of scrapped or salvaged materials.

(3) Every such authority shall debit to its Housing Repairs Account—

(a) all expenditure incurred by it in connection with the repair or maintenance of any of its housing stock ;

(b) any amount which is carried to the credit of its Housing Revenue Account in accordance with subsection (5) below ; and

(c) such expenditure incurred by it in connection with the improvement or replacement of any of its housing stock as may from time to time be determined by the Secretary of State.

(4) Every such authority shall ensure that sufficient credits are carried to its Housing Repairs Account to secure that the account never shows a debit balance.

(5) If an authority considers that any credit balance in its Housing Repairs Account at the end of a year will not be required for the purposes of that account, it may carry some or all of the balance to the credit of its Housing Revenue Account.

(6) If an authority which has opened a Housing Repairs Account ceases to maintain the account, any balance shall be carried to its Housing Revenue Account.

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(7) In paragraph 3(1) of Schedule 1 to the 1972 Act (items to be debited to Housing Revenue Account)—

(a) at the end of sub-paragraph (c) there are added the words “(except where that expenditure is properly debited to the Housing Repairs Account)” ; and

(b) after that sub-paragraph there is inserted the following sub-paragraph—

“(d) contributions from the account to the Housing Repairs Account.”

(8) In paragraph 5(1) of Schedule 1 to the 1972 Act (Secretary of State's directions as to amounts to be credited or debited to Housing Revenue Account), after the words “Revenue Account” there are inserted the words “or, as the case may be, a Housing Repairs Account”.

(9) Any determination by the Secretary of State under subsection (3)(c) above may be made to apply to local authorities generally or to a particular authority or group of authorities and may make different provision in respect of different cases or descriptions of case.

(10) In this section—

“expenditure” includes loan charges ;

“housing stock” means any house or other property within a local authority's Housing Revenue Account ;

“local authority” means the council of a district or London borough, the Greater London Council, the Common Council of the City of London or the Council of the Isles of Scilly.

Service charges

Service charges.

136.—(1) Schedule 19 to this Act shall have effect, in place of sections 90 to 91A of the 1972 Act, in relation to periods ending after the commencement of this section, but subject to subsection (2) below.

(2) In relation to works begun earlier than six months after the commencement of this section—

(a) paragraphs 2 to 6 of Schedule 19 shall not apply ; and

(b) sections 90 to 91A shall continue to apply.

Miscellaneous

Avoidance of certain unauthorised disposals.

137.—(1) If—

(a) at any time after 18th July 1980 a local authority or a housing association has disposed of a house ; and

(b) the disposal was one which, under section 104 of the 1957 Act or section 2 of the 1974 Act, required the

consent of the Secretary of State or of the Housing Corporation (or would have required it had the relevant provisions been in force) but was made without that consent ;

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then, unless the disposal was to an individual (or to two or more individuals) and did not extend to any other house, it shall be void (and, if made before the passing of this Act, be deemed always to have been void) and section 128(2) of the Local Government Act 1972 or, as the case may be, subsection (5A) (inserted by section 123(6) of this Act) of section 2 of the 1974 Act (protection of purchasers) shall not apply. 1972 c. 70.

(2) In this section "house" includes a flat and "the relevant provisions" means Part I and sections 91 and 123 of this Act.

138. In section 42(1) of the Land Compensation Act 1973 (which requires an authority acquiring or redeveloping land to indemnify another authority against the cost of rehousing a person displaced by the acquisition or redevelopment but only if the displacing authority is not an authority having functions under Part V of the 1957 Act) after the words "Housing Act 1957" (in paragraph (b)) there are inserted the words "or (if they are such an authority) the land is acquired or redeveloped by them otherwise than in the discharge of those functions". Displacement of residential occupiers by housing authority. 1973 c. 26.

139. Schedule 20 has effect for making in relation to housing co-operatives provisions corresponding to paragraph 9 of Schedule 1 to the 1975 Act and certain other provisions. Housing co-operatives.

140.—(1) Where, after the commencement of this section, a tenancy of a house is created by the grant of a lease at a premium and either— Exclusion of shared ownership tenancies from Leasehold Reform Act 1967.

(a) the lease is granted by a body mentioned in subsection (2) below and complies with the conditions set out in subsection (3) below ; or

(b) the lease is granted by a registered housing association and complies with the conditions set out in subsection (4) below ;

the tenancy shall not be treated for the purposes of Part I of the Leasehold Reform Act 1967 (enfranchisement and extension of long leaseholds) as being a long tenancy at a low rent at any time when the interest of the landlord belongs to such a body or, as the case may be, to a registered association. 1967 c. 88.

(2) The bodies referred to in subsection (1)(a) above are—

(a) the council of a district, the Greater London Council, the council of a London borough, the Common Council of the City of London or the Council of the Isles of Scilly ;

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1965 c. 59.

(b) a development corporation established by an order made, or having effect as if made, under the New Towns Act 1965 ;

(c) the Commission for the New Towns ;

(d) the Development Board for Rural Wales.

(3) The conditions mentioned in subsection (1)(a) above are—

(a) that the lease provides for the tenant to acquire the freehold, whether under an option to purchase or otherwise, for a consideration which is to be calculated in accordance with the terms of the lease and which is reasonable, having regard to the premium or premiums paid by the tenant under the lease ; and

(b) that it states the landlord's opinion that by virtue of this section the tenancy will not be a long tenancy at a low rent for the purposes of the Leasehold Reform Act 1967 at any time when the interest of the landlord belongs to a body mentioned in subsection (2) above.

1967 c. 88.

(4) The conditions mentioned in subsection (1)(b) above are—

(a) that the lease is granted at a premium which is calculated by reference to a percentage of the value of the house or of the cost of providing it ;

(b) that at the time when it is granted it complies with the requirements of regulations made by the Secretary of State for the purposes of this section ; and

(c) that it states the landlord's opinion that by virtue of this section the tenancy will not be a long tenancy at a low rent for the purposes of the Leasehold Reform Act 1967 at any time when the interest of the landlord belongs to a registered housing association.

(5) If, in any proceedings in which it falls to be determined whether a lease complies with the condition in subsection (3)(a) above, the question arises whether the consideration payable by the tenant on acquiring the freehold is reasonable, it is for the landlord to show that it is.

(6) In this section " registered housing association " means an association registered under section 13 of the 1974 Act.

Amendments
of Leasehold
Reform Act
1967 etc.

141. Sections 1, 3, 9, 16, 23 and 29 of, and Schedules 1 and 3 to, the Leasehold Reform Act 1967 and Schedule 8 to the 1974 Act are amended as shown in Schedule 21 to this Act.

142.—(1) Any matter which under section 21(1), (2) or (3) of the Leasehold Reform Act 1967 is to be determined by the Lands Tribunal shall instead be determined by a rent assessment committee constituted under Schedule 10 to the 1977 Act. PART IX
Leasehold valuation tribunals.

(2) A rent assessment committee shall, when constituted to make any such determination, be known as a leasehold valuation tribunal.

(3) Part I of Schedule 22 to this Act has effect with respect to leasehold valuation tribunals, and the 1967 Act is amended in accordance with Part II of that Schedule.

143.—(1) Section 20(1) of the Landlord and Tenant Act 1927 (apportionment of certain rents and other payments) has effect as respects applications for apportionment made under that section after the passing of this Act with the substitution in the proviso of “£5” for “two pounds”. Apportionment of rents.
1927 c. 36.

(2) The Secretary of State may by order vary the amount there mentioned.

(3) After section 20(1) of the said Act there is inserted the following subsection—

“(1A) An order of apportionment under sections 10 to 14 of the said Act of 1854 may provide for the amount apportioned to any part of the land in respect of which the rent or payment is payable to be nil.”

144. In relation to offences committed after the commencement of this section section 121(1) and (5) and section 122(5) of the 1974 Act shall have effect as if for “£200” there were substituted “£500”. Landlord's failure to disclose identity or give notice of assignment: increased penalties.

145. Schedule 23 to this Act shall have effect, in relation to offences committed after the commencement of this section, for the purpose of altering penalties for certain offences relating to houses in multiple occupation. Houses in multiple occupation: revised penalties for certain offences.

146.—(1) For section 90 of the 1957 Act (overcrowding in houses let in lodgings) there is substituted the following section— Houses in multiple occupation: overcrowding.

90.—(1) If it appears to a local authority, in the case of a house within their district which is occupied by persons who do not form a single household, that an excessive number of persons is being or is likely to be accommodated on the premises having regard to the rooms available, the local authority may serve on

“Overcrowding in houses let in lodgings.

PART IX

the occupier of the premises or on any person having the control and management thereof, or on both, a notice under this subsection (an "overcrowding notice") complying with subsections (2) and (3) below and including either—

- (a) the requirement set out in subsection (4) ; or
- (b) that set out in subsection (5).

(2) An overcrowding notice shall state, in relation to every room on the premises, what is in the authority's opinion the maximum number of persons by whom it is suitable to be occupied as sleeping accommodation at any one time or, as the case may be, that it is in their opinion unsuitable to be occupied as sleeping accommodation.

(3) An overcrowding notice may, in relation to any room, prescribe special maxima applicable in any case where some or all of the persons occupying the room are under such age as may be specified in the notice.

(4) The requirement referred to in subsection (1)(a) is that the person on whom the overcrowding notice is served must refrain from—

- (a) knowingly permitting any room to be occupied as sleeping accommodation otherwise than in accordance with the overcrowding notice ; or
- (b) knowingly permitting such number of persons to occupy the premises as sleeping accommodation that it is not possible, without—
 - (i) one or more rooms to which the overcrowding notice relates being occupied as sleeping accommodation otherwise than in accordance with that notice ; or
 - (ii) any part of the premises which is not a room being occupied as sleeping accommodation ;

to avoid persons of opposite sexes and over the age of 12 years (other than persons living together as husband and wife) occupying sleeping accommodation in the same room.

(5) The requirement referred to in subsection (1)(b) is that the person on whom the overcrowding notice is served must refrain from—

(a) knowingly permitting any room to be occupied by a new resident as sleeping accommodation otherwise than in accordance with the overcrowding notice ; or

(b) knowingly permitting a new resident to occupy any part of the premises as sleeping accommodation if it is not possible, without—

(i) one or more rooms to which the overcrowding notice relates being occupied as sleeping accommodation otherwise than in accordance with that notice ;
or

(ii) any part of the premises which is not a room being occupied as sleeping accommodation ;

both to permit the new resident to so occupy any part of the premises and avoid persons of opposite sexes and over the age of 12 years (other than persons living together as husband and wife) occupying sleeping accommodation in the same room.

(6) In subsection (5) above “ new resident ” means a person who was not, immediately before the date on which the overcrowding notice was served, living in the house.

(7) Where a local authority have served an overcrowding notice on any person and that notice includes the requirement referred to in subsection (5) above, the local authority may, at any time, withdraw that overcrowding notice and serve on that person, in its place, an overcrowding notice which includes the requirement referred to in subsection (4) above.

(8) Not less than seven days before serving an overcrowding notice, the local authority shall—

(a) in writing inform the occupier of the premises and any person appearing to them to have the control and management thereof of their intention to serve the notice, and

(b) ensure, so far as is reasonably possible, that every person living in the house is informed of that intention ;

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and shall afford to any such person an opportunity of making representations regarding their proposal to serve the notice.

(9) The local authority may from time to time serve on the occupier of premises in respect of which an overcrowding notice is in force, a notice requiring him to furnish them within 7 days with a statement in writing giving all or any of the following particulars, that is to say—

- (a) the number of individuals who are, on a date specified in the notice, occupying any part of the premises as sleeping accommodation ;
- (b) the number of families or households to which those individuals belong ;
- (c) the names of those individuals and of the heads of each of those families or households ; and
- (d) the rooms used by those individuals and families or households respectively.

(10) Any person aggrieved by an overcrowding notice may, within twenty-one days after the date of service of the notice, appeal to the county court and—

- (a) on any such appeal the court may make such order confirming, quashing or varying the notice as it thinks fit ; and
- (b) sections 37 and 38 of this Act shall apply in relation to an appeal under this section as they apply in relation to an appeal to the county court under Part II of this Act.

(11) A local authority may at any time, on the application of any person having an estate or interest in the house, revoke an overcrowding notice or vary it so as to allow more people to be accommodated in the house.

(12) If a local authority refuse an application under subsection (11) above, or do not within 35 days from the making of such an application, or within such further period as the applicant may in writing allow, notify the applicant of their decision on the application, the applicant may appeal to the county court, and on the appeal the court shall have power to revoke the notice or vary it in any manner in which it might have been varied by the local authority.

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(13) Any person who contravenes an overcrowding notice shall be guilty of an offence and liable on summary conviction to a fine not exceeding £500.

(14) Any person who knowingly fails to comply with the requirements of a notice under subsection (9) above, or furnishes a statement which he knows is false in a material particular, shall be guilty of an offence and liable on summary conviction to a fine not exceeding £50."

(2) Nothing in this section shall affect the operation of the 1957 Act, as it had effect immediately before the commencement of this section, in relation to any notice served under section 90 before that date.

147.—(1) Schedule 24 shall have effect in place of section 16 of the Housing Act 1961 and section 60 of the 1969 Act except in relation to notices served, undertakings accepted or orders made before the commencement of this section. Houses in multiple occupation: means of escape from fire.

(2) In relation to a breach after the commencement of this section of an undertaking accepted under section 60 of the 1969 Act subsection (3) of that section (fine on summary conviction) shall have effect as if for "£20" there were substituted "£50".

(3) The amendments and repeals made by this Act (except subsection (2) above) shall not affect the operation of any enactment in relation to any notice served, undertaking given or order made under the provisions replaced by this section.

148. In Schedule 10 to the 1977 Act (rent assessment committees) the following paragraph is inserted after paragraph 7— Rent assessment panels:

"7A. The Secretary of State may, with the consent of the Minister for the Civil Service, provide for the payment of pensions, allowances or gratuities to or in respect of any person nominated to act as president or vice-president of a panel." pensions for presidents and vice-presidents.

149. In section 9 of the 1957 Act (power of local authority to require repair of unfit house) after subsection (1A) there are inserted the following subsections— Power of local authority to require repair of houses.

"(1B) Where a local authority, on a representation made by an occupying tenant, are satisfied that a house is in such a state of disrepair that, although it is not unfit for human habitation, the condition of the house is such as to interfere materially with the personal comfort of the occupying tenant, they may serve upon the person having control of the house such a notice as is mentioned in subsection (1A) above.

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(1C) In subsection (1B) above, 'occupying tenant' has the same meaning, in relation to a dwelling which consists, or forms part, of the house concerned as it has in section 104 of the Housing Act 1974".

Supplemental

Interpretation. **150. In this Act—**

"protected tenant" and "statutory tenant" have the same meanings as in the 1977 Act;

"secure tenant" means the tenant under a secure tenancy and "secure tenancy" has the meaning given by section 28;

1957 c. 56. "the 1957 Act" means the Housing Act 1957;

1969 c. 33. "the 1969 Act" means the Housing Act 1969;

1972 c. 47. "the 1972 Act" means the Housing Finance Act 1972;

1974 c. 44. "the 1974 Act" means the Housing Act 1974;

1975 c. 6. "the 1975 Act" means the Housing Rents and Subsidies Act 1975;

1977 c. 42. "the 1977 Act" means the Rent Act 1977.

Regulations and orders.

151.—(1) Any power of the Secretary of State to make an order or regulations under this Act shall be exercisable by statutory instrument subject, except in the case of regulations under section 22(1), 33(2), 52(3), 56(7) or paragraph 11 of Schedule 3 or an order under section 52(4), 60 or 153 to annulment in pursuance of a resolution of either House of Parliament.

(2) No order under section 52(4) or 60 shall be made unless a draft of it has been laid before Parliament and approved by a resolution of each House of Parliament.

(3) Any order or regulation under this Act may make different provision with respect to different cases or descriptions of case, including different provision for different areas.

(4) This section does not apply to the power of the Secretary of State to make vesting orders under section 24.

Amendments, savings, transitional provisions and repeals.

152.—(1) The enactments mentioned in Part I of Schedule 25 to this Act shall have effect subject to the amendments specified in that Schedule.

(2) The savings and transitional provisions in Part II of that Schedule shall have effect.

(3) The enactments specified in the first column of Schedule 26 to this Act are hereby repealed to the extent specified in column 3 of that Schedule.

153.—(1) Chapter I of Part I of this Act shall come into operation on the expiry of the period of eight weeks beginning with the day on which this Act is passed. PART IX
Commence-
ment.

(2) Chapter II of Part I shall come into operation on such day as the Secretary of State may by order appoint or, if no such order has been made, on the expiry of the period of eight weeks mentioned in subsection (1) above.

(3) Sections 90 to 105, 108, 112, 113, 120, 122 to 127, 130, 131, 133 to 135, 137 to 140, 150, 151, 152(2) and 153 to 155 shall come into operation on the passing of this Act.

(4) The remaining provisions of this Act shall come into operation on such day as the Secretary of State may by order appoint; and—

- (a) different days may be appointed for different provisions; and
- (b) any provision may be brought into force on different days for England, Wales and Scotland.

154.—(1) There shall be paid out of moneys provided by Parliament the administrative expenses of the Secretary of State under this Act and any increase attributable to this Act in the sums so payable under any other enactment. Expenses and
receipts.

(2) Any sums received by the Secretary of State under section 102 or 131 shall be paid into the Consolidated Fund

155.—(1) This Act may be cited as the Housing Act 1980. Short title
and extent.

(2) Sections 114 to 116, 120 to 122(1), 123 to 133, 144, 151 to 153 of this Act, this section, Schedule 14, Part II of Schedule 16, paragraphs 1 to 3 of Schedule 17, Schedule 18, paragraphs 11 to 13, 24, 25 and 70 of Schedule 25 and the associated repeals in Schedule 26 extend to Scotland; but this Act does not otherwise so extend.

(3) Sections 152(1), 153, this section and paragraphs 11, 12, 18 and 19 of Part I of Schedule 25 extend to Northern Ireland; but this Act does not otherwise so extend.

SCHEDULES

Section 2.

SCHEDULE 1

EXCEPTIONS TO RIGHT TO BUY

PART I

CIRCUMSTANCES IN WHICH RIGHT DOES NOT ARISE

1. The landlord is a local authority and the dwelling-house is held by it otherwise than under Part V of the 1957 Act.
2. The landlord is a development corporation, the Commission for the New Towns or the Development Board for Rural Wales and—
 - (a) the dwelling-house is held by it for purposes not corresponding to those for which dwelling-houses are held by local authorities under Part V of the 1957 Act; and
 - (b) the landlord, or on appeal the Secretary of State, is of opinion that the right to buy ought not to be capable of being exercised with respect to the dwelling-house.
3. The dwelling-house has features which are substantially different from those of ordinary dwelling-houses and which are designed to make it suitable for occupation by physically disabled persons.
4. The dwelling-house is one of a group of dwelling-houses which it is the practice of the landlord to let for occupation by persons of pensionable age and a social service or special facilities are provided in close proximity to the group of dwelling-houses for the only or main purpose of assisting those persons.
5. The landlord has, within six weeks of the service on it of a notice claiming to exercise the right to buy the dwelling-house, applied to the Secretary of State for a determination under this paragraph, and the Secretary of State has determined that the right to buy is not to be capable of being exercised with respect to the dwelling-house; and he shall so determine if satisfied—
 - (a) that the dwelling-house is designed or specially adapted for occupation by persons of pensionable age; and
 - (b) that it is the practice of the landlord to let it only for occupation by such persons.

PART II

CIRCUMSTANCES IN WHICH RIGHT CANNOT BE EXERCISED

1. The tenant is obliged to give up possession of the dwelling-house in pursuance of an order of the court, or will be so obliged at a date specified in such an order.
2. A bankruptcy petition is pending or a receiving order is in force against the person or one of the persons to whom the right to buy belongs or he is an undischarged bankrupt or has made a composition or arrangement with his creditors the terms of which remain to be fulfilled.

SCHEDULE 2

Section 17.

CONVEYANCE OF FREEHOLD AND GRANT OF LEASE

PART I

COMMON PROVISIONS

Rights to be conveyed or granted—general

1. The conveyance or grant shall not exclude or restrict the general words implied under section 62 of the Law of Property Act 1925 c. 20. 1925, unless the tenant consents or the exclusion or restriction is made for the purpose of preserving or recognising any existing interest of the landlord in tenant's incumbrances or any existing right or interest of any other person.

Rights of support, passage of water, etc.

2.—(1) The conveyance or grant shall, by virtue of this Schedule, have the effect stated in sub-paragraph (2) below as regards—

- (a) rights of support for any building or part of a building ;
- (b) rights to the access of light and air to any building or part of a building ;
- (c) rights to the passage of water or of gas or other piped fuel, or to the drainage or disposal of water, sewage, smoke or fumes, or to the use or maintenance of pipes or other installations for such passage, drainage or disposal ;
- (d) rights to the use or maintenance of cables or other installations for the supply of electricity, for the telephone or for the receipt directly or by landline of visual or other wireless transmissions.

(2) The effect is—

- (a) to grant with the dwelling-house all such easements and rights over other property, so far as the landlord is capable of granting them, as are necessary to secure to the tenant as nearly as may be the same rights as at the relevant time were available to him under or by virtue of the secure tenancy or any agreement collateral to it, or under or by virtue of any grant, reservation or agreement made on the severance of the dwelling-house from other property then comprised in the same tenancy ; and
- (b) to make the dwelling-house subject to all such easements and rights for the benefit of other property as are capable of existing in law and are necessary to secure to the person interested in the other property as nearly as may be the same rights as at the relevant time were available against the tenant under or by virtue of the secure tenancy or any agreement collateral to it, or under or by virtue of any grant, reservation or agreement made as mentioned in paragraph (a) above.

(3) This paragraph—

- (a) does not restrict any wider operation which the conveyance or grant may have apart from this paragraph ; but
- (b) is subject to any provision to the contrary that may be included in the conveyance or grant with the consent of the tenant.

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Rights of way

3. The conveyance or grant shall include—

- (a) such provisions (if any) as the tenant may require for the purpose of securing to him rights of way over land not comprised in the dwelling-house, so far as the landlord is capable of granting them, being rights of way that are necessary for the reasonable enjoyment of the dwelling-house ; and
- (b) such provisions (if any) as the landlord may require for the purpose of making the dwelling-house subject to rights of way necessary for the reasonable enjoyment of other property, being property in which at the relevant time the landlord has an interest, or to rights of way granted or agreed to be granted before the relevant time by the landlord or by the person then entitled to the reversion on the tenancy.

Covenants and conditions

4. The conveyance or grant shall include such provisions (if any) as the landlord may require to secure that the tenant is bound by, or to indemnify the landlord against breaches of, restrictive covenants (that is to say covenants or agreements restrictive of the use of any land or premises) which affect the dwelling-house otherwise than by virtue of the secure tenancy or any agreement collateral to it and are enforceable for the benefit of other property.

5. Subject to Parts II and III below, the conveyance or grant may include such covenants and conditions as are reasonable in the circumstances.

Meaning of "incumbrances", "tenant's incumbrances" and "relevant time"

6. In this Schedule—

- (a) "incumbrances" includes personal liabilities attaching in respect of the ownership of land or of an interest in land though not charged on the land or interest ;
- (b) "tenant's incumbrance" means any incumbrance on the secure tenancy which is also an incumbrance on the reversion, and any interest derived directly or indirectly out of the secure tenancy ; and
- (c) "the relevant time" means, in all cases, the date on which the tenant's notice claiming to exercise the right to buy is served.

PART II

CONVEYANCE OF FREEHOLD

General

1925 c. 20.

7. The conveyance shall not exclude or restrict the all estate clause implied under section 63 of the Law of Property Act 1925, unless the tenant consents or the exclusion or restriction is made for the purpose of preserving or recognising any existing interest of the landlord in tenant's incumbrances or any existing right or interest of any other person.

8. The conveyance shall be of an estate in fee simple absolute subject to— SCH. 2

- (a) tenant's incumbrances ; and
 - (b) the burdens specified in paragraph 9 below ;
- but otherwise free of incumbrances.

9. The burdens referred to in paragraph 8 above are burdens in respect of the upkeep or regulation for the benefit of any locality of any land, building, structure, works, ways or watercourse.

Covenants

10. The conveyance shall be expressed to be made by the landlord as beneficial owner (thereby implying the covenant set out in Part I of Schedule 2 to the Law of Property Act 1925). 1925 c. 20.

PART III

LEASES

General

11.—(1) The lease shall be for a term of not less than 125 years at a rent not exceeding £10 per annum, and the following provisions shall have effect with respect to the other terms of the lease but subject to sub-paragraph (2) below.

(2) If a building contains two or more dwelling-houses and the landlord has, since the passing of this Act, granted a lease of one of them for a term of not less than 125 years, any lease granted in pursuance of this Chapter of the other or one of the others may be for a term expiring at the end of that term and, if it is for such a term, the assumption stated in section 6(4)(a) shall be modified accordingly.

Common use of premises and facilities

12. Where the tenant enjoyed, during the secure tenancy, the use, in common with others, of any premises, facilities or services, the lease shall include rights to the like enjoyment, so far as the landlord is capable of granting them, unless otherwise agreed between the landlord and the tenant.

Covenants by landlord

13.—(1) There shall be implied, by virtue of this Schedule, covenants by the landlord—

- (a) to keep in repair the structure and exterior of the dwelling-house and of the building in which it is situated (including drains, gutters and external pipes) and to make good any defect affecting that structure ;
- (b) to keep in repair any other property over or in respect of which the tenant has any rights by virtue of this Schedule ;
- (c) to ensure, so far as practicable, that any services which are to be provided by the landlord and to which the tenant is entitled (whether by himself or in common with others)

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are maintained at a reasonable level and to keep in repair any installation connected with the provision of those services.

(2) The covenant to keep in repair implied by virtue of subparagraph (1)(a) above includes a requirement that the landlord shall rebuild or re-instate the dwelling-house and the building in which it is situated in the case of destruction or damage by fire, tempest, flood or any other cause against the risk of which it is normal practice to insure.

(3) The county court may, by order made with the consent of the parties, authorise the inclusion in the lease or in any agreement collateral to it, of provisions excluding or modifying the obligations of the landlord under the covenants implied by this paragraph, if it appears to the court that it is reasonable to do so.

Covenant by tenant

14. Unless otherwise agreed between the landlord and the tenant there shall be implied, by virtue of this Schedule, a covenant by the tenant to keep the interior of the dwelling-house in good repair (including decorative repair).

Avoidance of certain agreements

15. Any provision of the lease or of any agreement collateral to it shall be void in so far as it purports—

- (a) to prohibit or restrict the assignment of the lease or the subletting, wholly or in part, of the dwelling-house; or
- (b) to enable the landlord to recover from the tenant any part of the costs incurred by the landlord in discharging or insuring against his obligations under paragraph 13(1)(a) or 13(1)(b) above, or
- (c) to authorise any forfeiture or impose on the tenant any penalty or disability in the event of his enforcing or relying on the preceding provisions of this Schedule;

but subject to section 19 of this Act and paragraph 16 below.

16. A provision is not void by virtue of paragraph 15 above in so far as it requires the tenant to bear a reasonable part of the costs of carrying out repairs not amounting to the making good of structural defects or of the costs of making good any structural defects falling within paragraph 17 below or of insuring against risks involving such repairs or the making good of such defects.

17. A structural defect falls within this paragraph if—

- (a) the landlord has notified the tenant of its existence before the lease was granted; or
- (b) the landlord does not become aware of it earlier than 10 years after the lease is granted.

PART IV

SCH. 2

CHARGES ON FREEHOLD

18. Where there is a charge (however created or arising) on the freehold which is not a tenant's incumbrance, then—

(a) if it is not a rentcharge, the conveyance of the freehold in pursuance of the right to buy shall be effective to release the freehold from the charge, but the release shall not affect the personal liability of the landlord or any other person in respect of any obligation which the charge was created to secure ; and

(b) whether or not it is a rentcharge, the charge shall not affect a lease granted in pursuance of the right to buy.

19.—(1) Where the freehold is subject to a rentcharge which does not affect other land the conveyance shall be made subject to the rentcharge.

(2) Where the freehold is subject to a rentcharge which also affects other land the conveyance shall be made subject to the rentcharge but shall contain a covenant by the landlord to indemnify the tenant and his successors in title in respect of any liability arising under the rentcharge.

(3) In a case falling within sub-paragraph (2) above the landlord shall, immediately after the conveyance and if the rentcharge is of a kind which may be redeemed under the Rentcharges Act 1977, 1977 c. 30. take such steps as are necessary to redeem the rentcharge, so far as it affects land owned by the landlord (including land treated by sub-paragraph (4) below as so owned).

(4) For the purposes of the Rentcharges Act 1977 and of sub-paragraph (3) above any land which has been conveyed by the landlord in pursuance of the right to buy, but subject to the rentcharge, shall be treated as if it had not been so conveyed but had continued to be owned by the landlord.

20. In this Part of this Schedule "rentcharge" has the same meaning as in the Rentcharges Act 1977 ; and for the purposes of paragraph 19 above land is owned by a person if he is the owner of the land within the meaning of section 13(1) of that Act.

SCHEDULE 3

Section 28.

TENANCIES WHICH ARE NOT SECURE TENANCIES

Long leases

1.—(1) A tenancy is not a secure tenancy if it is a long tenancy.

(2) For the purposes of this paragraph a long tenancy is a tenancy granted for a term certain exceeding 21 years, whether or not it is (or may become) terminable before the end of that term by notice given by the tenant or by re-entry or forfeiture, and —

(a) includes a tenancy for a term fixed by law under a grant with a covenant or obligation for perpetual renewal, unless

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it is a tenancy by sub-demise from one which is not a long tenancy ; but

(b) does not include a tenancy granted so as to become terminable by notice after a death, unless it is a shared ownership tenancy.

(3) For the purposes of this paragraph a tenancy is a "shared ownership tenancy" if—

(a) it is granted by a housing association which, at the time of the grant, is registered under section 13 of the 1974 Act ;

(b) it is granted at a premium which is calculated by reference to a percentage of the value of the dwelling-house or of the cost of providing it ; and

(c) at the time it is granted it complies with the requirements of the regulations then in force under section 140(4)(b) of this Act or, in the case of a tenancy granted before any such regulations have been brought into force, it complies with the first such regulations to be in force.

Premises occupied under contract of employment

2.—(1) A tenancy is not a secure tenancy if the tenant is an employee of the landlord or, if not such an employee, is an employee of—

(a) a local authority ;

(b) a development corporation ;

(c) the Commission for the New Towns ;

(d) a county council ; or

(e) the Development Board for Rural Wales ;

and his contract of employment requires him to occupy the dwelling-house for the better performance of his duties.

(2) In this paragraph "contract of employment" means a contract of service or of apprenticeship, whether express or implied and (if express) whether oral or in writing.

Social service and educational premises

3. A tenancy is not a secure tenancy if the tenant is an employee of the landlord and—

(a) the terms of the tenancy provide for the tenancy to terminate on the tenant ceasing to be employed by the landlord ;

(b) the dwelling-house is held by the landlord for the purpose of any of its functions under the Education Act 1944 or under any of the enactments specified in Schedule 1 to the Local Authority Social Services Act 1970 ; and

(c) the dwelling-house forms part of a building held for those purposes or is within the curtilage of such a building.

Land acquired for development

4. A tenancy is not a secure tenancy if the dwelling-house is on land which has been acquired for development (within the meaning of section 22 of the Town and Country Planning Act 1971) and

1944 c. 31.

1970 c. 42.

1971 c. 78.

the dwelling-house is used by the landlord, pending development of the land, as temporary housing accommodation.

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Accommodation for homeless persons

5. A tenancy granted in pursuance of section 3(4), 4(3) or 5(6) of the Housing (Homeless Persons) Act 1977 is not a secure tenancy before the expiry of a period of twelve months beginning with the date on which the tenant has received the notification required by section 8(1) of that Act or, if he received a notification under section 8(5) of that Act, that notification, unless he has before the expiry of that period been notified by the landlord that the tenancy is to be regarded as a secure tenancy. 1977 . 48.

Temporary accommodation for persons seeking employment

6. A tenancy of a dwelling-house within any district or London borough which was granted to a person who was not immediately before the grant resident in the district or London borough is not a secure tenancy before the expiry of one year from the grant if—

(a) it was granted to that person for the purpose—

(i) of meeting his need for temporary accommodation within the district or London borough in order to work there ; and

(ii) of enabling him to find permanent accommodation there ; and

(b) before the grant of the tenancy—

(i) the tenant obtained employment, or an offer of employment, within the district or London borough ; and

(ii) the landlord notified the tenant in writing of the circumstances in which this exception applies and that in its opinion the proposed tenancy would fall within this exception ;

unless the tenant has before the expiry of that year been notified by the landlord that the tenancy is to be regarded as a secure tenancy.

Short-term arrangements

7. A tenancy is not a secure tenancy if—

(a) the dwelling-house has been leased to the landlord with vacant possession for use as temporary housing accommodation ;

(b) the terms on which it has been leased include provision for the lessor to obtain vacant possession from the landlord on the expiry of a specified period or when required by the lessor ;

(c) the lessor is not a body which is capable of granting secure tenancies ; and

(d) the landlord has no interest in the dwelling-house other than under the lease in question or as mortgagee.

Temporary accommodation during works

8. A tenancy is not a secure tenancy if—

(a) the dwelling-house has been made available for occupation by the tenant or his predecessor in title while works are

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carried out on the dwelling-house which he previously occupied as his home ; and

- (b) the tenant (or his predecessor in title) was not a secure tenant of that other dwelling-house at the time when he ceased to occupy it as his home.

Agricultural holdings

1948 c. 63.

9. A tenancy is not a secure tenancy if the dwelling-house is comprised in an agricultural holding (within the meaning of the Agricultural Holdings Act 1948) and is occupied by the person responsible for the control (whether as tenant or as servant or agent of the tenant) of the farming of the holding.

Licensed premises

10. A tenancy is not a secure tenancy if the dwelling-house consists of or comprises premises licensed for the sale of intoxicating liquor for consumption on the premises.

Student lettings

11. A tenancy of a dwelling-house is not a secure tenancy before the expiry of the period of exemption if—

- (a) it was granted for the purpose of enabling the tenant to attend a designated course at an educational establishment ; and
- (b) before the grant of the tenancy the landlord notified him in writing of the circumstances in which this exception applies and that in its opinion the proposed tenancy would fall within this exception ;

unless the tenant has before the expiry of that period been notified by the landlord that the tenancy is to be regarded as a secure tenancy.

A landlord's notice under sub-paragraph (b) above shall specify the educational establishment which the person concerned proposes to attend.

In this paragraph—

- “designated course” means any course of a kind designated in regulations made by the Secretary of State for the purposes of this paragraph ;
- “educational establishment” means a university or establishment of further education ; and
- “the period of exemption” means, in a case where the tenant attends a designated course at the educational establishment specified in the landlord's notice, the period ending six months after the tenant ceases to attend that (or any other) designated course at that educational establishment and, in any other case, the period ending six months after the grant of the tenancy.

1954 Act tenancies

1954 c. 56.

12. A tenancy is not a secure tenancy if it is one to which Part II of the Landlord and Tenant Act 1954 applies.

Almshouses

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13. A licence to occupy a dwelling-house is not a secure tenancy if—

- (a) the licence was granted by an almshouse charity; and
- (b) any sum payable by the licensee under the licence does not exceed the maximum contribution that the Charity Commissioners have from time to time authorised or approved for the almshouse charity as a contribution towards the cost of maintaining its almshouses and essential services in them.

In this paragraph "almshouse charity" means a corporation or body of persons which is a charity within the meaning of the Charities Act 1960 c. 58, 1960 and which is prevented by its rules or constituent instrument from granting a tenancy of the dwelling-house.

SCHEDULE 4

Section 34.

GROUNDS FOR POSSESSION OF DWELLING-HOUSES LET UNDER
SECURE TENANCIES

PART I

GROUNDS ON WHICH COURT MAY ORDER POSSESSION

Ground 1

Any rent lawfully due from the tenant has not been paid or any obligation of the tenancy has been broken or not performed.

Ground 2

The tenant or any person residing in the dwelling-house has been guilty of conduct which is a nuisance or annoyance to neighbours, or has been convicted of using the dwelling-house or allowing it to be used for immoral or illegal purposes.

Ground 3

The condition of the dwelling-house or of any of the common parts has deteriorated owing to acts of waste by, or the neglect or default of, the tenant or any person residing in the dwelling-house and, in the case of any act of waste by, or the neglect or default of, a person lodging with the tenant or a sub-tenant of his, the tenant has not taken such steps as he ought reasonably to have taken for the removal of the lodger or sub-tenant.

In this paragraph "the common parts" means any part of a building comprising the dwelling-house, and any other premises which the tenant is entitled under the terms of the tenancy to use in common with the occupiers of other dwelling-houses let by the landlord.

Ground 4

The condition of any relevant furniture has deteriorated owing to ill-treatment by the tenant or any person residing in the dwelling-house and, in the case of any ill-treatment by a person lodging with the tenant or sub-tenant of his, the tenant has not taken such steps as he ought reasonably to have taken for the removal of the lodger or sub-tenant.

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In this paragraph "relevant furniture" means any furniture provided by the landlord for use under the tenancy or for use in any of the common parts (within the meaning given in ground 3).

Ground 5

The tenant is the person, or one of the persons, to whom the tenancy was granted and the landlord was induced to grant the tenancy by a false statement made knowingly or recklessly by the tenant.

Ground 6

The dwelling-house was made available for occupation by the tenant or his predecessor in title while works were carried out on the dwelling-house which he previously occupied as his only or principal home and—

- (a) he (or his predecessor in title) was a secure tenant of that other dwelling-house at the time when he ceased to occupy it as his home ;
- (b) he (or his predecessor in title) accepted the tenancy of the dwelling-house of which possession is sought on the understanding that he would give up occupation when, on completion of the works, the other dwelling-house was again available for occupation by him under a secure tenancy ; and
- (c) the works have been completed and the other dwelling-house is so available.

Ground 7

The dwelling-house is overcrowded, within the meaning of the 1957 Act, in such circumstances as to render the occupier guilty of an offence.

Ground 8

The landlord intends, within a reasonable time of obtaining possession of the dwelling-house—

- (a) to demolish or reconstruct the building or part of the building comprising the dwelling-house ; or
- (b) to carry out work on that building or on land let together with, and thus treated as part of, the dwelling-house ;

and cannot reasonably do so without obtaining possession of the dwelling-house.

Ground 9

1960 c. 58.

The landlord is a charity within the meaning of the Charities Act 1960 and the tenant's continued occupation of the dwelling-house would conflict with the objects of the charity.

Ground 10

The dwelling-house has features which are substantially different from those of ordinary dwelling-houses and which are designed to make it suitable for occupation by a physically disabled person who

requires accommodation of a kind provided by the dwelling-house and—

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- (a) there is no longer such a person residing in the dwelling-house ; and
- (b) the landlord requires it for occupation (whether alone or with other members of his family) by such a person.

Ground 11

The landlord is a housing association or housing trust which lets dwelling-houses only for occupation (alone or with others) by persons whose circumstances (other than merely financial circumstances) make it especially difficult for them to satisfy their need for housing ; and—

- (a) either there is no longer such a person residing in the dwelling-house or the tenant has received from a local authority an offer of accommodation in premises which are to be let as a separate dwelling under a secure tenancy ; and
- (b) the landlord requires the dwelling-house for occupation (whether alone or with other members of his family) by such a person.

Ground 12

The dwelling-house is one of a group of dwelling-houses which it is the practice of the landlord to let for occupation by persons with special needs and—

- (a) a social service or special facility is provided in close proximity to the group of dwelling-houses in order to assist persons with those special needs ;
- (b) there is no longer a person with those special needs residing in the dwelling-house ; and
- (c) the landlord requires the dwelling-house for occupation (whether alone or with other members of his family) by a person who has those special needs.

Ground 13

The accommodation afforded by the dwelling-house is more extensive than is reasonably required by the tenant and—

- (a) the tenancy vested in the tenant, by virtue of section 30 of this Act, on the death of the previous tenant ;
- (b) the tenant was qualified to succeed by virtue of subsection (2)(b) of that section ; and
- (c) notice of the proceedings for possession was served under section 33 of this Act more than six months, but less than twelve months, after the date of the previous tenant's death.

PART II

SUITABILITY OF ACCOMMODATION

1.—(1) For the purposes of this Part of this Act, accommodation is suitable if it consists of premises—

- (a) which are to be let as a separate dwelling under a secure tenancy, or

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(b) which are to be let as a separate dwelling under a protected tenancy (other than one of a kind mentioned in subparagraph (2) below) within the meaning of the 1977 Act, and, in the opinion of the court, the accommodation is reasonably suitable to the needs of the tenant and his family.

(2) The kind of protected tenancy referred to in subparagraph (1) above is one under which the landlord might recover possession of the dwelling-house under one of the Cases in Part II of Schedule 15 to the 1977 Act (cases where court must order possession).

2. In determining whether it is reasonably suitable to those needs regard shall be had to—

- (a) the nature of the accommodation which it is the practice of the landlord to allocate to persons with similar needs ;
- (b) the distance of the accommodation available from the place of work or education of the tenant and of any members of his family ;
- (c) its distance from the home of any member of the tenant's family if proximity to it is essential to that member's or the tenant's well-being ;
- (d) the needs (as regards extent of accommodation) and means of the tenant and his family ;
- (e) the terms on which the accommodation is available and the terms of the secure tenancy ;
- (f) if any furniture was provided by the landlord for use under the secure tenancy, whether furniture is to be provided for use in the other accommodation and, if it is, the nature of that furniture ;

but where possession is sought on ground 7, accommodation otherwise reasonably suitable to the needs of the tenant and his family shall not be deemed not to be so by reason only that the permitted number of persons, computed under Schedule 6 to the 1957 Act in relation to the number and floor area of the rooms in it, is less than the number of persons living in the dwelling-house of which possession is sought.

3. Where the landlord is not a local authority for the purposes of Part V of the 1957 Act, a certificate of such an authority certifying that the authority will provide suitable accommodation for the tenant by a date specified in the certificate shall be conclusive evidence that suitable accommodation will be available for him by that date, if the dwelling-house of which possession is sought is situated in the district for supplying the needs of which the authority has power under that Part of that Act.

Section 58.

SCHEDULE 5

APPLICATION OF LANDLORD AND TENANT ACT 1954 TO ASSURED TENANCIES

1. The exceptions and modifications referred to in section 58(1) and (2) of this Act are as follows.

2. Sections 23, 43 and 56 to 60B do not apply.

3. In relation to an assured tenancy the expression "the holding" (which is defined for the purposes of Part II in section 23(3)) means the property comprised in the tenancy.

4.—(1) Section 30 applies as if—

(a) for paragraph (d) in subsection (1) there were substituted the following paragraph—

"(d) that the landlord has offered and is willing to provide or secure the provision of suitable alternative accommodation for the tenant,";

(b) in subsection (2) for the words from "a tenancy" to the end there were substituted the words "an assured tenancy or successive assured tenancies"; and

(c) at the end there were added the subsections set out in subparagraph (2) below.

(2) The following are the subsections added to section 30 in its application to assured tenancies—

"(4) Accommodation shall be deemed to be suitable if it consists of either—

(a) premises which are to be let as a separate dwelling such that they will then be let on an assured tenancy or on a protected or secure tenancy, or

(b) premises to be let as a separate dwelling on terms which will, in the opinion of the court, afford to the tenant security of tenure reasonably equivalent to that afforded by this Part of this Act in the case of an assured tenancy,

and, in the opinion of the court, the accommodation fulfils the conditions mentioned below.

(5) The conditions are that the accommodation is reasonably suitable to—

(a) the needs of the tenant and his family as regards proximity to place of work ;

(b) the means of the tenant ; and

(c) the needs of the tenant and his family as regards extent and character ; and

that if any furniture was provided for use under the assured tenancy in question, furniture is provided for use in the accommodation which is either similar to that so provided or is reasonably suitable to the needs of the tenant and his family.

(6) Accommodation shall not be deemed to be suitable to the needs of the tenant and his family if the result of their occupation of the accommodation would be that it would be an overcrowded dwelling-house for the purposes of the Housing Act 1957.

(7) In this section—

"assured tenancy" has the same meaning as in section 56 of the Housing Act 1980 ;

"protected tenancy" means a protected tenancy within the meaning of the Rent Act 1977, other than one under

SCH. 5

which the landlord might recover possession of the dwelling-house under one of the Cases in Part II of Schedule 15 to that Act (cases where the court must order possession); and

“secure tenancy” has the same meaning as in section 28 of the Act of 1980.”.

5. Section 31A applies as if in subsection (1)(a) for the words “for the purposes of the business carried on by the tenant” there were substituted “as a residence for the tenant and his family”.

6. Section 34 applies as if in subsection (2)(b) for the words from “tenancies” to the end there were substituted the words “assured tenancies (within the meaning of section 56 of the Housing Act 1980); and”.

7. Section 37 applies as if for subsections (2) and (3) there were substituted the following subsection—

“(2) The said amount shall be the rateable value of the holding.”.

8. Section 38 applies as if in subsection (2) the words from the beginning to the end of paragraph (b), and subsection (3), were omitted.

9. Section 63(7)(a) applies as if reference to section 23(3) of the Act of 1954 were a reference to paragraph 3 of this Schedule.

Section 59.

SCHEDULE 6

APPLICATIONS FOR REGISTRATION OF RENT

1. Schedule 11 to the 1977 Act (applications for registration of rent) is amended as follows.

2. For paragraphs 2 and 3 there are inserted the following paragraphs—

“2.—(1) Where the application is made jointly by the landlord and the tenant and it appears to the rent officer, after making such inquiry, if any, as he thinks fit and considering any information supplied to him in pursuance of paragraph 1 above, that the rent specified in the application is a fair rent, he may register that rent without further proceedings.

(2) Where the rent officer registers a rent under this paragraph he shall notify the landlord and tenant accordingly.

3.—(1) In the case of an application which does not fall within paragraph 2 above, the officer shall serve on the landlord and on the tenant a notice—

(a) stating the rent specified in the application;

(b) stating any sum specified in the application in accordance with section 67(2)(b) of this Act; and

(c) inviting the person on whom the notice is served to state, within a period of not less than seven days

after the service of the notice, whether he wishes the rent officer to consider, in consultation with the landlord and the tenant, what rent ought to be registered for the dwelling-house.

(2) Where, in pursuance of section 67(2)(b), the application was accompanied by details of the landlord's expenditure in connection with the provision of services, a notice under this paragraph shall be accompanied by a copy of those details.

3A. If, after service of a notice by the rent officer under paragraph 3 above, no request is made within the period specified in the notice for the rent to be considered as mentioned in paragraph 3(1)(c) above, the rent officer after considering what rent ought to be registered or, as the case may be, whether a different rent ought to be registered, may—

- (a) determine a fair rent and register it as the rent for the dwelling-house ; or
- (b) confirm the rent for the time being registered and note the confirmation in the register ; or
- (c) serve a notice under paragraph 4(2) below."

3. For sub-paragraph (1) of paragraph 4 there is substituted the following sub-paragraph—

"(1) Where, in response to a notice served by the rent officer under paragraph 3 above, the landlord or the tenant asks for the rent to be considered as mentioned in paragraph 3(1)(c), the rent officer shall serve a notice under this paragraph."

4. In sub-paragraph (2) of paragraph 4, for the word "notice" there are inserted the words "notice, or 14 days in a case falling within paragraph 3(1)(b) above".

5. After sub-paragraph (3) of paragraph 4 there is inserted the following sub-paragraph—

"(4) The rent officer may, where he considers it appropriate, arrange for consultations in respect of one dwelling-house to be held together with consultations in respect of one or more other dwelling-houses."

6. In paragraph 5, for the words "and shall", immediately after sub-paragraph (b), there is substituted—

"5A. Where a rent has been registered or confirmed by the rent officer under paragraph 3A or 5 above, he shall".

7. In paragraph 6(1) for "5" there is substituted "5A".

SCHEDULE 7

Section 66.

AMENDMENT OF SCHEDULE 15 TO 1977 ACT

The following new Part is inserted at the end of Schedule 15 to the 1977 Act (grounds for possession of dwelling-houses let on or subject to protected or statutory tenancies)—

SCH. 7

"PART V

Provisions applying to Cases 11, 12 and 20

1. In this Part of this Schedule—

'mortgage' includes a charge and 'mortgagee' shall be construed accordingly ;

'owner' means, in relation to Case 11, the owner-occupier ; and

'successor in title' means any person deriving title from the owner, other than a purchaser for value or a person deriving title from a purchaser for value.

2. The conditions referred to in paragraph (c) in each of Cases 11 and 12 and in paragraph (e)(ii) of Case 20 are that—

(a) the dwelling-house is required as a residence for the owner or any member of his family who resided with the owner when he last occupied the dwelling-house as a residence ;

(b) the owner has retired from regular employment and requires the dwelling-house as a residence ;

(c) the owner has died and the dwelling-house is required as a residence for a member of his family who was residing with him at the time of his death ;

(d) the owner has died and the dwelling-house is required by a successor in title as his residence or for the purpose of disposing of it with vacant possession ;

(e) the dwelling-house is subject to a mortgage, made by deed and granted before the tenancy, and the mortgagee—

(i) is entitled to exercise a power of sale conferred on him by the mortgage or by section 101 of the Law of Property Act 1925 ; and

(ii) requires the dwelling-house for the purpose of disposing of it with vacant possession in exercise of that power ; and

(f) the dwelling-house is not reasonably suitable to the needs of the owner, having regard to his place of work, and he requires it for the purpose of disposing of it with vacant possession and of using the proceeds of that disposal in acquiring, as his residence, a dwelling-house which is more suitable to those needs."

Section 73.

SCHEDULE 8

CROWN ESTATE AND DUCHIES—

CONSEQUENTIAL PROVISIONS

PART I

1977 c. 42.

Rent Act 1977

1. Where a tenancy granted before the commencement of section 73 of this Act becomes, or would but for its low rent become, a protected tenancy by virtue of that section, section 5 of the 1977

Act applies as if in relation to the dwelling-house the appropriate day were the commencement of that section.

SCH. 8

2. In Part I of Schedule 15 to the 1977 Act the following is inserted after paragraph (b) of Case 6:

“(bb) the commencement of section 73 of the Housing Act 1980, in the case of a tenancy which became a regulated tenancy by virtue of that section.”

3. In Part II of Schedule 15 to the 1977 Act any reference to the relevant date shall (notwithstanding paragraph 2 of Part III of that Schedule) be construed, in the case of a tenancy which becomes a regulated tenancy by virtue of section 73 of this Act as meaning the date falling six months after the passing of this Act.

4.—(1) Part II of Schedule 18 to the 1977 Act applies to a tenancy which becomes a regulated tenancy by virtue of section 73 of this Act (unless it is a tenancy falling within sub-paragraph (2) below).

(2) Nothing in Part IX of the 1977 Act applies to the assignment, before the end of the year 1990, of a tenancy which falls within this sub-paragraph; and a tenancy falls within this sub-paragraph if it was granted for a term certain and its terms do not inhibit both the assignment and the underletting of the whole of the premises comprised in the tenancy, and either—

- (a) it was granted before the commencement of section 73 of this Act and became a regulated tenancy by virtue of that section; or
- (b) it is a regulated tenancy by virtue of that section and was granted to a person who, at the time of the grant, was the tenant of the premises comprised in it under a regulated tenancy which also fell within this sub-paragraph.

(3) For the purposes of sub-paragraph (2) above the terms of a tenancy inhibit an assignment or underletting if they—

- (a) preclude it; or
- (b) permit it subject to a consent but exclude section 144 of the Law of Property Act 1925 (no payment in nature 1925 c. 20. of fine); or
- (c) permit it subject to a consent but require in connection with a request for consent the making of an offer to surrender the tenancy.

PART II

Rent (Agriculture) Act 1976

1976 c. 80.

5. Where the question whether a person is a qualifying worker for the purposes of the Rent (Agriculture) Act 1976 arises by virtue of section 73 of this Act, Part II of Schedule 3 to that Act applies as if the date of operation for forestry workers were the commencement of that section.

SCH. 8

6. Where a protected occupancy or statutory tenancy within the meaning of the Rent (Agriculture) Act 1976 arises at the commencement of section 73 of this Act, Cases VIII and X in Schedule 4 to that Act apply in relation to it as if the operative date were that commencement.

7. For the purpose of determining whether, at the commencement of section 73 of this Act, a person becomes a statutory tenant for the purposes of the Rent (Agriculture) Act 1976 and of applying that Act to him if he does, paragraph 3 of Schedule 9 to that Act applies as if the operative date were that commencement.

8. Paragraphs 6 and 7 above apply in relation to forestry workers as they apply in relation to other persons and paragraph 7 of Schedule 9 to the Rent (Agriculture) Act 1976 does not apply.

PART III

General

1954 c. 56.
1976 c. 80.

9. Where an interest belongs to Her Majesty in right of the Duchy of Lancaster, then, for the purposes of Part I of the Landlord and Tenant Act 1954, the Rent (Agriculture) Act 1976 or the 1977 Act, the Chancellor of the Duchy of Lancaster shall be deemed to be the owner of the interest.

10. Where an interest belongs to the Duchy of Cornwall, then, for the purposes of Part I of the Landlord and Tenant Act 1954, the Rent (Agriculture) Act 1976 or the 1977 Act, the Secretary of the Duchy of Cornwall shall be deemed to be the owner of the interest.

Section 74.

SCHEDULE 9

PROVISIONS SUPPLEMENTING SECTION 74

1. Paragraphs 2 to 6 below apply to any tenancy which was a protected or statutory tenancy but which, by virtue of the landlord becoming a "housing trust" within the meaning of section 15 of the 1977 Act, has ceased to be such a tenancy.

2. If the tenancy—

(a) was a statutory tenancy ; and

(b) would have become a secure tenancy had it previously been a protected tenancy ;

it shall be treated for the purposes of Chapter II of Part I of this Act as if it were a secure tenancy for a term certain which, at the time when it ceased to be a statutory tenancy, came to an end by effluxion of time.

3. Registration of a rent, or of a different rent, for the dwelling-house shall be effected in pursuance of section 87 of the 1977 Act ; but until such time as a rent is so registered—

(a) the rent recoverable under the tenancy ; and

SCH. 9

(b) where a rent was registered for the dwelling-house under Part IV of the 1977 Act, the time at which an application for a different registered rent may be made ;

shall be determined as if the tenancy had continued to be a regulated tenancy.

4. If the tenant was a successor within the meaning of Schedule 1 to the 1977 Act he shall not be treated as a successor for the purposes of Chapter II of Part I of this Act.

5. Section 33 of this Act does not apply in any case where proceedings for possession were begun before the tenancy ceased to be a protected or statutory tenancy ; but in such a case the court shall allow the parties to take such steps in relation to the proceedings as it considers appropriate in consequence of the tenancy becoming a secure tenancy.

6.—(1) This paragraph applies in any case where—

(a) the tenant died before the date on which the tenancy ceased to be a protected or statutory tenancy ; and

(b) there was then more than one member of his family entitled to succeed him as statutory tenant but no decision had, by that date, been reached as to which of them was to succeed.

(2) In a case to which this paragraph applies, the person who is to be the secure tenant of the dwelling-house on the tenancy becoming a secure tenancy shall be selected by the landlord from among those mentioned in sub-paragraph (1)(b) above notwithstanding that the question may have been referred to the county court in accordance with paragraph 1(7) of Schedule 1 to the 1977 Act.

SCHEDULE 10

Section 77.

AMENDMENT OF PART VI OF RENT ACT 1977

1.—(1) Section 86 of the 1977 Act is amended as follows.

(2) In subsection (2) after the word “tenancy”, where it first occurs, there are inserted the words “(other than a co-ownership tenancy)”.

(3) In subsection (3), for the words from “is a registered society” to the end there are substituted the words “falls within section 15(3)(c) of this Act”.

(4) After subsection (3) there is inserted the following subsection—

“(3A) For the purposes of this section a tenancy is a ‘co-ownership tenancy’ if—

(a) it was granted by a housing association which falls within section 15(3)(d) of this Act ; and

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- (b) the tenant (or his personal representatives) will, under the terms of the tenancy agreement or of the agreement under which he became a member of the association, be entitled, on his ceasing to be a member and subject to any conditions stated in either agreement, to a sum calculated by reference directly or indirectly to the value of the dwelling-house.”

(5) For subsection (4) there is substituted the following subsection—

“(4) In this Part of this Act “housing trust” has the same meaning as in section 15 of this Act.”.

2.—(1) For section 89 of the 1977 Act (phasing of progression to registered rent) there is substituted the following section—

“Phasing of progression to registered rent.

89.—(1) This section applies where a rent is registered for a dwelling-house (whether it is the first or any subsequent registration) unless at the date of registration there is no tenant and no person to whom a tenancy has been granted.

(2) The rent for any rental period, or part of a rental period, falling within the period of delay imposed by Schedule 8 to this Act may be increased in accordance with that Schedule.

(3) A notice of increase which purports to increase the rent further than permitted by Schedule 8 shall have effect to increase it to the extent permitted, but no further.

(4) Nothing in this section or in Schedule 8 prevents or limits any increase in rent by virtue of section 71(4) of this Act as applied by section 87(2) of this Act.”.

(2) In relation to a rent registered before the commencement of sub-paragraph (1) above, that sub-paragraph and Schedule 8 to the 1977 Act as applied by that sub-paragraph are subject to the following modifications.

(3) The period of delay is a period ending one year after the end of the stage (within the meaning of section 89 of the 1977 Act as originally enacted) which last began before the commencement of sub-paragraph (1) above; and—

(a) for any period falling within that stage section 89 applies as originally enacted; and

(b) for any later period falling within the period of delay the permitted increase is whichever of the following is the greater—

(i) the increase that would have been permitted if this Act had not been passed; and

(ii) the increase that would be permitted under Schedule 8 to the 1977 Act if the formula set out in paragraph 3 (as substituted by section 60(3) of this Act) were $P + \frac{1}{2}(R - P)$.

3. Sections 90 (special rent limit where previous rent limit exceeds registered rent) and 91 (procedure on application to Secretary of State under section 90) of the 1977 Act are hereby repealed. SCH. 10

4. In section 92 (conversion of housing association tenancies into regulated tenancies) in subsection (1) the words "in such form as may be prescribed" are hereby repealed.

5.—(1) Section 93 of the 1977 Act (increase of rent without notice to quit) is amended as follows.

(2) In subsection (1), for the words from "given by the landlord" to the end there are substituted the words "specifying the date on which the increase is to take effect and given by the landlord to the tenant not later than four weeks before that date."

(3) For subsection (2) there is substituted the following subsection—

"(2) Where a notice of increase is given under subsection (1) above and the tenant, before the date specified in the notice of increase, gives a valid notice to quit, the notice of increase does not take effect unless the tenant, with the written agreement of the landlord, withdraws his notice to quit before that date."

(4) Subsection (3) is hereby repealed.

(5) This paragraph only applies to notices of increase given after the commencement of this paragraph.

SCHEDULE 11

Section 96.

SUPERSEDED ENACTMENTS RELATING TO SUBSIDIES, GRANTS AND CONTRIBUTIONS TO HOUSING AUTHORITIES

PART I

SUBSIDIES PAYABLE UNTIL 1980-81

The Housing Rents and Subsidies Act 1975 sections 2 and 4.	1975 c. 6.
The Development of Rural Wales Act 1976 section 18.	1976 c. 75.

PART II

CONTRIBUTIONS TOWARDS COSTS OF IMPROVEMENT OR CONVERSION

The Housing Act 1969 sections 17 to 19.	1969 c. 33.
The Housing Act 1971 sections 1 and 2.	1971 c. 76.
The Housing Act 1974 section 79.	1974 c. 44.

SCHEDULE 12

Section 107.

AMENDMENTS OF HOUSING ACT 1974 (c.44).

PART VII (LOCAL AUTHORITY GRANTS)

Consideration of application for grant

1. In section 57(3) (application not to be entertained unless certain conditions are complied with) for "entertain" substitute "approve".

SCH. 12

Withdrawal of application for grant and submission of new one

2. In section 57(6), omit the words "Except in so far as this Act otherwise provides"; and after that subsection insert—

"(6A) Subsection (6) does not apply if the relevant works have not been begun and either—

(a) more than 2 years have elapsed since the date on which the previous application was approved; or

(b) the application is made with a view to taking advantage of orders under section 59 below."

Standard amenities

3. After section 58(2) insert—

"(3) An order under subsection (2) above shall be subject to annulment in pursuance of a resolution of the House of Commons."

"Appropriate percentage" for determining amount, or maximum amount, of grant

4. For section 59 substitute—

"Appropriate percentage.

59.—(1) In this Part of this Act "the appropriate percentage" (which is relevant for determining the amount or the maximum amount of grant) shall be a percentage ascertained from orders made by the Secretary of State with the consent of the Treasury and in force when the application for grant is approved.

(2) Orders under this section shall operate with respect to applications for grant approved after such date as may be specified in the applicable order; but an order shall not be made unless a draft of it has been approved by resolution of the House of Commons, and shall not specify a date earlier than the date of the laying of the draft."

Certificates of future occupation

5. In section 60, substitute the following for subsections (3) and (4)—

"(3) A "certificate of owner-occupation" is a certificate stating that the applicant for the grant intends that, on or before the first anniversary of the certified date and throughout the period of 4 years beginning on that first anniversary, the dwelling will be the only or main residence of, and will be occupied exclusively by, either—

(a) the applicant himself and members of his household (if any); or

(b) a person who is a member of the applicant's family, or a grandparent or grandchild of the applicant or his spouse, and members of that person's household (if any).

(4) But in a case where application for grant is made by the personal representatives of a deceased person or by trustees, it is

a certificate stating that the applicants are personal representatives or trustees and intend that, on or before the first anniversary of the certified date and throughout the period of 4 years beginning on that first anniversary, the dwelling will be the only or main residence of, and exclusively occupied by, either—

- (a) a beneficiary and members of his household (if any); or
- (b) a person related to a beneficiary by being a member of his family or a grandparent or grandchild of the beneficiary or his spouse, and members of that person's household (if any);

and "beneficiary" means a person who, under the will or intestacy or, as the case may require, under the terms of the trust, is beneficially entitled to an interest in the dwelling or the proceeds of sale of it."

6. In section 60(5), add at the end—

"(disregarding any part of that period in which neither of the above paragraphs applies but the dwelling is occupied by a person who is a protected occupier under the Rent (Agriculture) Act 1976)."

Improvement grants

7. After section 62(4) insert—

"(5) Subsections (1) and (2) above do not apply to dwellings in housing action areas.

(6) Those subsections do not apply where the application for an improvement grant is made in respect of a dwelling for a disabled occupant and it appears to the local authority that the works are needed to meet a requirement arising from the particular disability from which the disabled occupant suffers."

8. Omit section 64(7).

Intermediate grants

9. For section 66 substitute—

"Conditions of approval. 66. A local authority shall not approve an application for an intermediate grant unless—

- (a) they are satisfied that on completion of the relevant works the dwellings or, as the case may be each of the dwellings, to which the application relates will be fit for human habitation (to be determined in accordance with section 4 of the Housing Act 1957); or
- (b) it seems reasonable in all the circumstances to do so even though the dwelling or dwellings will not reach that standard on completion of the relevant works."

10.—(1) In section 67(2) omit paragraph (b) and the word "and" immediately preceding it.

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(2) For section 67(3) substitute—

“(3) Where the relevant works specified in an application for an intermediate grant include works of repair or replacement which go beyond those needed, in the opinion of the local authority, to put the dwelling into reasonable repair (disregarding the state of internal decorative repair) having regard to its age and character and the locality in which it is situated and the period during which it is likely to be available for use as a dwelling, the local authority may, with the consent of the applicant, treat the application as varied so that the relevant works—

- (a) are confined to works other than works of repair or replacement ; or
- (b) include only such works of repair or replacement as (taken with the rest of the relevant works) will, in the opinion of the local authority, put the dwelling into reasonable repair,

and may approve the application as so varied.”

(3) Omit section 67(4).

11.—(1) In section 68(3)(a) for “£800 or such other amount as may be prescribed” substitute “the relevant limit”.

(2) In section 68, after subsection (3) insert—

“(3A) The relevant limit for the purposes of subsection (3)(a) above is—

- (a) £2,000 or such other amount as may be prescribed in a case where either—

- (i) the dwelling will, in the opinion of the local authority, be put on completion of the relevant works into reasonable repair (disregarding the state of internal decorative repair) having regard to its age and character and the locality in which it is situated and the period during which it is likely to be available for use as a dwelling ; or

- (ii) it appears to the local authority that the applicant could not without undue hardship finance the cost of the works necessary to put the dwelling into reasonable repair ;

- (b) in any other case, the amount obtained by multiplying the number of standard amenities to be provided on completion of the relevant works by £200 or such other amount as may be prescribed, but subject to a maximum of £800 or such other amount as may be prescribed.

(3B) An order under subsection (3A) above prescribing an amount shall be subject to annulment in pursuance of a resolution of the House of Commons.”

Repairs grant

SCH. 12

12.—(1) In section 71, for subsection (2) substitute—

“(2) A local authority shall not in any case approve an application for a repairs grant unless—

- (a) they are satisfied that the relevant works are of a substantial and structural character ; or
- (b) the relevant works satisfy requirements prescribed (with the consent of the Treasury).”

(2) In section 71(3), omit paragraph (a) and after that subsection insert—

“(3A) But an application for a repairs grant shall not be approved—

- (a) unless it is in respect of an old dwelling (within any meaning given to that expression by an order made by the Secretary of State) ; and
- (b) in the case of a dwelling situated elsewhere than in a housing action area where the application is accompanied by a certificate of owner-occupation, unless the rateable value (at the date of the application) is within limits specified by an order so made.

(3B) Orders under subsection (3A)(b) require the consent of the Treasury.”

13. After section 71 insert—

“Mandatory repairs grant. 71A. In so far as an application for a repairs grant relates to the execution of works required by a notice under section 9 of the Housing Act 1957

- (a) section 60 above shall not apply ; and
- (b) the authority shall not refuse it if it is duly made and the authority are satisfied that the works are necessary for compliance with the notice.”

14.—(1) After section 72(3), insert—

“(3A) An order under this section prescribing an amount shall be subject to annulment in pursuance of a resolution of the House of Commons.”

(2) For section 72(4) substitute—

“(4) The amount of a repairs grant—

- (a) so far as the grant is made in pursuance of section 71A above, shall be the appropriate percentage of the eligible expense ; and
- (b) otherwise shall be such as may be fixed by the local authority when they approve the application for the grant, but shall not exceed the appropriate percentage of the eligible expense.

(4A) With the notification under subsection (1) above the local authority shall send to the applicant a notification of the amount of the grant.”

(3) In section 72(5), for “subsection (4)” substitute “subsection (4A)”.

SCH. 12

Special grants for houses in multiple occupation

15. In section 56(2) of the Act, for paragraph (c) substitute—

“(c) a “special grant” in respect of works required for the improvement of a house in multiple occupation by the provision of (both or either)—

- (i) standard amenities,
- (ii) means of escape from fire.”.

16.—(1) In section 69, for subsection (2) substitute—

“(2) An application for a special grant must state by how many households and individuals the house concerned is occupied and (as applicable)—

- (a) the standard amenities with which it is already provided ;
- (b) the means of escape from fire which are already available.

(2A) Subject to section 69A, the application shall not be approved unless the local authority are satisfied that on completion of the relevant works the house will attain the relevant standard of repair.

(2B) If, in the opinion of the authority, the relevant works are more extensive than is necessary for the purpose of securing that the house will attain that standard, the authority may (with the consent of the applicant) treat the application as varied so that the relevant works include only such works as seem to the local authority necessary for that purpose ; and they may then approve the application as so varied.

(2C) For the purposes of this section a house shall be taken to attain the relevant standard of repair if it is in reasonable repair (disregarding the state of internal decorative repair) having regard to its age and character and the locality in which it is situated.”.

(2) In section 84, at the end of the definition of “the relevant standard” add “and

- (d) in relation to a special grant, the relevant standard referred to in section 69(2C) above.”

17. After section 69 insert—

“Mandatory
special
grants.

69A.—(1) In so far as an application for a special grant relates to the provision of standard amenities, the authority shall not refuse it if it is duly made and the authority are satisfied that the relevant works are necessary for compliance with so much of a notice under section 15 of the Housing Act 1961 as relates to standard amenities.

(2) In so far as such an application relates to the provision of means of escape from fire, the authority shall not refuse it if it is duly made and the authority are satisfied that the relevant works are necessary for compliance with a notice under Schedule 24 to the Housing Act 1980.”

18.—(1) For section 70 substitute—

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“70.—(1) Where a local authority approve an application for a special grant they shall determine the amounts of the expenses which they think proper to be incurred respectively for those of the relevant works which—

- (a) consist in providing standard amenities ;
- (b) relate to the provision of means of escape from fire ; and
- (c) consist of works of repair or replacement ;

and the authority shall notify the applicant of the amounts so determined by them.

(2) If the applicant satisfies the local authority that the relevant works cannot be, or could not have been, carried out without additional works and that this could not have been reasonably foreseen at the time the application was made, the local authority may determine a higher amount under any of paragraphs (a) to (c) of subsection (1).

(3) The amount of a special grant—

- (a) so far as the grant is made in pursuance of section 69A above, shall be the appropriate percentage of the eligible expense ascertained under section 70A below ; and
- (b) otherwise shall be such as may be fixed by the local authority when they approve the application for the grant but shall not exceed the appropriate percentage of the eligible expense ascertained under section 70A below.

(4) With the notification under subsection (1) above, the local authority shall send to the applicant a notification of the amount of the grant.

(5) If, after the amount of a special grant has been notified, the local authority under subsection (2) determine a higher amount under any of the heads of subsection (1), the eligible expense shall be recalculated under section 70A ; and if the amount of it is then greater than when the application for grant was approved, the amount of the grant shall be increased, and the applicant notified, accordingly.”.

(2) In section 82(2) for “70(3)” substitute “70(2)”.

19. After section 70 insert—

“Eligible
expense for
purposes
of special
grant.

70A.—(1) Except in a case or description of case in respect of which the Secretary of State approves a higher eligible expense, the eligible expense for the purposes of a special grant shall be the aggregate of the contributory elements specified in the following subsections.

(2) As regards the provision of standard amenities, the contributory element is so much of the amount determined under section 70(1)(a) as does not exceed the aggregate of the amounts specified in the second column of Part I

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of Schedule 6 to this Act in relation to each of the standard amenities which are to be provided by the relevant works (so that, where the relevant works make provision for more than one standard amenity of the same description, a separate amount shall be aggregated for each of those amenities).

(3) As regards the provision of means of escape from fire, the contributory element is so much of the amount determined under section 70(1)(b) as does not exceed £6,750 or such other amount as may be prescribed.

(4) As regards works of repair or replacement, the contributory element is so much of the amount determined under section 70(1)(c) as does not exceed £2,000 or such other amount as may be prescribed.

(5) An order under this section prescribing an amount shall be subject to annulment in pursuance of a resolution of the House of Commons."

Standard of improvement, repair, etc.

20.—(1) In section 61(3)(b) for "good repair" substitute "reasonable repair".

(2) In section 61 insert after subsection (4)—

"(4A) A local authority may dispense, to the extent they think fit, with any of the conditions specified in paragraphs (a) to (c) of subsection (3) if they are satisfied that the applicant could not, without undue hardship, finance the cost of the works without the assistance of a grant."

(3) In section 71(5) for "good repair" substitute "reasonable repair".

Grant conditions

21. In section 73(3)—

(a) for paragraph (a) substitute—

"(a) the applicant for the grant and—

(i) in a case where the application was accompanied by a certificate of owner-occupation with respect to the dwelling, any person who derives title to the dwelling through or under the applicant ; or

(ii) in a case where the application was accompanied by a certificate of availability for letting with respect to the dwelling, any person who derives title to the dwelling through or under the applicant otherwise than by a conveyance for value ;".

(b) after paragraph (a), insert—

"(aa) a person who is a member of the applicant's family or a grandparent or grandchild of the applicant or his spouse ; and"

(c) at the end of paragraph (b) insert—

"and"

(bb) a person related to one who qualifies under paragraph (b) above, by being a member of his family or a grandparent or grandchild of his or of his spouse”.

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22. At the end of section 73(4) insert—

“(disregarding any part of that period in which neither of the above paragraphs applies but the dwelling is occupied by a person who is a protected occupier under the Rent (Agriculture) Act 1976)”.

23. In section 74(1) after “they shall” insert “(subject to subsection (2A) below)” and after section 74(2) insert—

“(2A) Where, apart from this subsection, a local authority would be required to impose the conditions specified in subsection (2) above with respect to a dwelling in respect of which a certificate of owner-occupation has been given but it appears to the local authority that in the special circumstances of the case it would be reasonable to dispense with the conditions they shall not be required to impose the conditions.”.

24.—(1) In section 74(3), after paragraph (c) insert “or

(d) which is occupied by a person who is a protected occupier or statutory tenant under the Rent (Agriculture) Act 1976.”

(2) In section 74, after subsection (3), insert—

(3A) There shall be disregarded for the purposes of subsection (3)(b) above any letting to the applicant for the grant or a member of his family, or a grandparent or grandchild of the applicant or his spouse.”

Payment of grant by instalments

25. In section 82, for subsection (4) substitute—

“(4) Where grant is paid in instalments, the aggregate of the instalments paid before the completion of the works shall not at any time exceed—

(a) in the case of intermediate grant, the appropriate percentage of the total cost of the works so far executed ;

(b) in the case of improvement grant, special grant or repairs grant, an amount bearing to that total cost the same proportion as the fixed amount of the grant bears to the eligible expense.”

Repair and special grants (consequential)

26.—(1) In section 57(3) for “section 83” substitute “sections 69A, 71A and 83”.

(2) At the beginning of section 57(5) insert “Except under section 69A or 71A”.

Parliamentary control

27. In section 128(4) after “46” insert “58” and after “64” insert “68, 70A, 72”.

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Tenants' grants (consequential)

28. In section 57(3), after "below" insert "and section 106 of the Housing Act 1980".

29. In section 60 insert after subsection (1)—

"(1A) This section does not apply to an application made under section 106 of the Housing Act 1980".

30.—(1) At the end of section 73(3) insert—

"and where an application for a grant is accompanied by a certificate under section 106(2) of the Housing Act 1980 this subsection shall apply with the substitution for references to the applicant of references to the person who gave the certificate."

(2) In section 73(4) after "certificate of availability for letting" insert "or a certificate under the said section 106(2)".

31. In section 74(1), after "subsection (3) below" insert "and section 106(4) of the Housing Act 1980."

32. In section 81(2), after "section 57(3) above" insert "or section 106(1) of the Housing Act 1980".

Section 109.

SCHEDULE 13

GENERAL IMPROVEMENT AREAS AND HOUSING ACTION AREAS

General improvement areas

1.—(1) In Part II of the 1969 Act section 28 (for which subsection (1) of section 50 of the 1974 Act substituted the two sections set out in Part I of Schedule 5 to that Act) is restored as originally enacted, but with the substitution in subsection (1) of the words "can most appropriately be improved" for the original "ought to be improved".

(2) Sub-paragraph (1) above does not affect the operation of the sections so substituted in any case where a preliminary resolution under the first of those sections was passed before the commencement of this Schedule.

2. Subsections (2) to (4) of subsection 50 of the 1974 Act (termination by Secretary of State of status of general improvement area) shall cease to have effect.

3. In relation to any resolution passed by a local authority after the commencement of this Schedule section 30 of the 1969 Act (changes with respect to general improvement areas) shall have effect with the omission of the words "but such a resolution shall be of no effect unless approved by the Minister".

4. In section 35 of the 1969 Act (disposal and appropriation of land)—

(a) subsections (1), (3), (5) and (7) are hereby repealed;

(b) in subsection (2) for the words from the beginning to "without his consent" there are substituted the words "Where any land is vested in a local authority for the purposes of this Part of this Act they shall not, without the consent of the Secretary of State";

(c) in subsection (4) the words "the consent of the Minister under subsection (2) of this section" are hereby repealed ; and

(d) in subsection (6) the words from "with the approval" to "particular case" are hereby repealed.

5. For section 37 of the 1969 Act (contributions to local authority expenditure incurred under Part II) there is substituted the following section:—

"37.—(1) The Secretary of State may pay contributions to a local authority towards such expenditure incurred by them under this Part of this Act as he may determine.

(2) A contribution under this section shall be a sum payable annually for a period of 20 years beginning with the financial year in which the expenditure towards which the contribution is made is incurred and that sum shall be equal to one-half of the annual loan charges referable to that expenditure.

(3) The aggregate of the expenditure towards which contributions may be made under this section with respect to any general improvement area shall not exceed the sum arrived at by multiplying £400 by the number of dwellings stated by the local authority under the preceding provisions of this Part of this Act to be in the area ; but two adjoining general improvement areas may for the purposes of this subsection be treated as one.

(4) The Secretary of State may, with the consent of the Treasury, by order substitute, in subsection (2) above, another fraction for one-half and, in subsection (3) above, another amount for £400 ; and he may, with the consent of the Treasury, direct that, in the case of a general improvement area specified in the direction or of a general improvement area of a description so specified, subsections (2) and (3) above shall have effect as if a higher fraction or a greater amount were substituted for the fraction or amount for the time being specified therein.

(5) An order under subsection (4) above shall be made by statutory instrument which shall be subject to annulment in pursuance of a resolution of the House of Commons."

6. In section 38 of the 1969 Act after the word "Where" there are inserted the words "any contribution has been paid under section 37 of this Act towards" and the words from "has been approved" to "this Act" are omitted.

Housing action areas

7. In relation to any resolution passed by a local authority after the commencement of this Schedule, section 38(2)(a) of the 1974 Act (incorporation of general improvement area or part thereof into housing action area) shall have effect with the omission of the words "and approved by the Secretary of State".

8. Section 42 of the 1974 Act (duty to inform Secretary of State of action taken) shall cease to have effect.

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9.—(1) Section 45 of the 1974 Act is amended as follows.

(2) For subsection (1) there is substituted the following subsection:—

“(1) For the purpose of improving the amenities in a housing action area, the local authority may—

(a) carry out on any land belonging to them works other than works to the interior of housing accommodation ;
and

(b) give assistance in accordance with this section towards the carrying out of such works by others ;

and works which may be carried out or towards the carrying out of which assistance may be given under this section are in this section referred to as “environmental works”.

(3) For subsection (3) there is substituted the following subsection:—

“(3) No assistance may be given under subsection (1) above towards works in respect of which an application for a grant under Part VII of this Act has been approved.”

10.—(1) For section 46 of the 1974 Act there is substituted the following section:—

“46.—(1) The Secretary of State may pay contributions to local authorities in respect of such expenditure incurred by them under section 45(1) above as he may determine.

(2) A contribution under this section shall be a sum payable annually for a period of 20 years beginning with the financial year in which the expenditure towards which the contribution is made is incurred and that sum shall be equal to one-half of the annual loan charges referable to that expenditure.

(3) For the purposes of subsection (2) above, the annual loan charges referable to any expenditure are the annual sum that, in the opinion of the Secretary of State, would fall to be paid by the local authority for the repayment of principal and payment of interest on a loan repayable over 20 years of an amount equal to the expenditure.

(4) The aggregate of the expenditure towards which contributions may be made under this section with respect to any housing action area shall not exceed the sum arrived at by multiplying £400 by the aggregate of the number of dwellings, houses in multiple occupation and hostels stated by the local authority, in accordance with section 36(4)(c) above, to be in the area ; but two adjoining housing action areas may for the purposes of this subsection be treated as one.

(5) The Secretary of State may, with the consent of the Treasury, by order substitute, in subsection (2) above, another fraction for one-half and, in subsection (4) above, another amount for £400 ; and he may, with the consent of the Treasury, direct that, in the case of a housing action area specified in the direction or of a housing action area of a description so

specified, subsections (2) and (4) above shall have effect as if a higher fraction or a greater amount were substituted for the fraction or amount for the time being specified therein.

(6) An order under subsection (5) above shall be made by statutory instrument which shall be subject to annulment in pursuance of a resolution of the House of Commons.

(7) Where a contribution has been paid under this section towards any expenditure, neither the expenditure nor the contribution shall be carried to the authority's Housing Revenue Account except with the consent of the Secretary of State."

SCHEDULE 14

Section 116.

AMENDMENTS OF HOUSING SUBSIDIES ACT 1967 (c.29) Part II

1. In section 24 of the 1967 Act, after subsection (2) insert—

"(2A) Prescribed conditions governing entitlement to subsidy may be imposed by reference to—

- (a) a borrower's personal circumstances ;
- (b) the amount of the loan and the terms of repayment ;
- (c) the use and occupation foreseen for the property on which the loan is secured ; and
- (d) the existence and terms of any loans taken by a borrower or his spouse before the option notice ;

and such other conditions may be prescribed as the Secretary of State thinks necessary to ensure that loans are subsidised only in proper cases, that subsidy is withdrawn when the conditions cease to be fulfilled, and that the borrower repays to the Secretary of State any sums paid by him under subsection (2)(a)(ii)."

2. In section 24(3)(c) of the Act, for the words from "a declaration" to "section 24B of this Act is fulfilled" substitute—

"the prescribed declaration with respect to his personal circumstances and the fulfilment of the subsidy conditions" ;

and in that subsection omit paragraph (d) and all after it.

3. In that section, omit subsections (4), (5) and (5A).

4. For sections 24A and 24B substitute—

"Duration
of subsidy.

24A.—(1) An option notice shall have effect for the period beginning with the date on which it is signed and ending with whichever of the following events first occurs, namely—

- (a) the satisfaction of the borrower's debt to the lender ;
- (b) the realisation of the security on the interest in land in question, whether or not the borrower's debt is fully satisfied thereby ;
- (c) that interest's ceasing to be security for the loan ;

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- (d) the vesting of the rights and obligations under the repayment contract of the borrower (or, in the case of joint borrowers, of both or all of them) in some other person who has become beneficially entitled to the interest ;
- (e) subject to subsection (2) below, the vesting of the lender's rights under the repayment contract in some other person ;
- (f) if the number of the periodical payments referred to in section 24(1)(c) is not fixed by or ascertainable under the repayment contract, the expiration of 30 years from the beginning of the period for which the option notice has effect ;
- (g) the taking effect of a direction under section 24(3A) with respect to the loan ;
- (h) any event which by regulations under section 24(2A) is made to terminate subsidy entitlement, in consequence of the subsidy conditions having ceased to be fulfilled or otherwise.

(2) If at the expiration of the period of 3 months beginning with the date of the vesting referred to in subsection (1)(e) above the other person there referred to is a qualifying lender, the option notice shall not cease to have effect by virtue of that paragraph ; and the notice and the provisions of this Part of this Act shall be treated as having continued to have effect during that period as if the other person were a qualifying lender, notwithstanding that at any time during that period he was not so."

5.—(1) In section 26(1), for "subsections (2) to (6) of the said section 24" substitute "sections 24(2) to (6) and 24A above."

(2) In section 26(2) for "subsections (2) to (6) of that section" substitute "sections 24(2) to (6) and 24A above" and for "the said subsections (2) to (6)" substitute "sections 24(2) to (6) and 24A above".

6.—(1) In section 27(1)(c) after sub-paragraph (iii) insert—
"and

(iv) other bodies whose activities and objects appear to him to qualify them for inclusion in this subsection".

(2) At the end of section 27(1) insert—

- "(g) trustee savings banks ;
- (h) the Scottish Special Housing Association ;
- (j) the Development Board for Rural Wales."

(3) In section 32(1) at the end insert—

" "subsidy conditions" means conditions prescribed under section 24(2A) of this Act".

SCHEDULE 15

Section 118.

RENT REBATES AND ALLOWANCES

1. Part II of the 1972 Act is amended as follows.

2. For section 18 there is substituted the following section—

“Rent
rebates.

18.—(1) It shall be the duty of every authority to maintain a scheme for granting, to persons who occupy as their homes dwellings let to them by the authority, rebates from rent calculated in accordance with the provisions of the scheme by reference to their needs and resources.

(2) A scheme under this section is referred to in this Part of this Act as a ‘rebate scheme’.

(3) No rebate from the rent for any dwelling shall be granted by virtue of this section to any person—

(a) if he occupies the dwelling under a licence which was granted as a temporary expedient to a person who entered it, or any other land, as a trespasser (whether or not before the grant another licence of that or any other dwelling has been granted to him); or

(b) if he occupies the dwelling in pursuance of a contract of service with the authority the terms of which require that he shall be provided with a dwelling at a rent specified in the contract; or

(c) if Part II of the Landlord and Tenant Act 1954 (security of business tenants) applies to his tenancy.

(4) Where a person who is not the tenant of a dwelling has a licence to occupy the dwelling, granted for a consideration, this Part of this Act, so far as it relates to rebate schemes, applies to the licence as it applies to a tenancy and, as so applied, has effect as if expressions appropriate to a licence were substituted for those appropriate to a tenancy.”.

3. For section 19 there is substituted the following section—

“Rent allow-
ances.

19.—(1) It shall be the duty of every local authority to maintain a scheme for granting to private tenants who occupy as their homes dwellings in the authority’s area allowances, calculated in accordance with the provisions of the scheme by reference to their needs and resources, towards the rent payable under their tenancies.

(2) A scheme under this section is referred to in this Part of this Act as an ‘allowance scheme’.

(3) No allowance towards the rent of a dwelling shall be granted by virtue of this section to any person who occupies a dwelling in pursuance of a contract of service the terms of which require that he shall be provided with a dwelling at a rent specified in the contract.

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(4) In this Part of this Act 'private tenant' means a person who is a private tenant by virtue of any of the following provisions of this section.

(5) A person is a private tenant if—

- (a) he is a protected or statutory tenant for the purposes of the Rent Act 1977 ;
- (b) he occupies a dwelling under a contract which is a restricted contract for the purposes of that Act ;
- (c) he occupies a dwelling under a contract which would be a restricted contract but for section 19(5)(c) of the Act of 1977 ;
- (d) he occupies a dwelling let to him under an assured tenancy within the meaning of section 56 of the Housing Act 1980 ;
- (e) he occupies a dwelling let to him by—
 - (i) a county council ;
 - (ii) the Housing Corporation ;
 - (iii) a housing association ;
 - (iv) a housing trust within the meaning of section 15 of the Act of 1977 ;and his tenancy would be a protected tenancy for the purposes of that Act but for section 14 or 15 of the Act of 1977 ;
- (f) he occupies a dwelling let to him by a housing co-operative, as defined in paragraph 1 of Schedule 20 to the Housing Act 1980, and his tenancy would be a protected tenancy but for section 16 of the Act of 1977 or, where the housing co-operative is a housing association, but for sections 15 and 16 of the Act of 1977 ;
- (g) he is a statutory tenant of premises under the Rent (Agriculture) Act 1976 and the rent payable under his tenancy is not less than two-thirds of the rateable value which is or was the rateable value of his dwelling on the appropriate day for the purposes of the Act of 1977 ; or
- (h) he occupies hostel accommodation or shared accommodation.

(6) In subsection (5)(h) above—

- 'hostel accommodation' means accommodation in a building in which there is provided, for persons generally or for a class or classes of person, residential accommodation otherwise than in separate and self-contained sets of premises ; and
- 'shared accommodation' means accommodation which a person occupies together with one or more other persons and of which he would be

a private tenant by virtue of any of paragraphs (a) to (g) of subsection (5) above if he had the right to exclusive occupation of the accommodation.

(7) A person is not a private tenant if he occupies a dwelling let to him by a housing association and he (or his personal representative) will, under the terms of the tenancy agreement or of the agreement under which he became a member of the association, be entitled, on his ceasing to be a member and subject to any conditions stated in either agreement, to a sum calculated by reference directly or indirectly to the value of the dwelling.

(8) Where a person occupies hostel accommodation under a licence, granted for a consideration, this Part of this Act, so far as it relates to allowance schemes, applies to the licence as it applies to a tenancy and, as so applied, has effect as if expressions appropriate to a licence were substituted for those appropriate to a tenancy.

(9) In this section 'local authority' does not include the Greater London Council."

4. In section 19A(1) for "(4)" there is substituted "(3)".

5.—(1) In section 20(5)—

(a) for paragraph (a) there is substituted the following paragraph—

"(a) that the general level of the rents charged by an authority is exceptionally high by comparison with the general level of the rents charged by other authorities.";

(b) for paragraph (c) there is substituted the following paragraph—

"(c) that the general level of the rents charged by an authority for a class of dwelling, or of the rents paid by private tenants for a class of dwelling in the area of an authority, is exceptionally high by comparison with the general level of the rents charged by other authorities or, as the case may be, with the general level of the rents paid by private tenants elsewhere"; and

(c) paragraph (d) is hereby repealed.

(2) In section 20(7) the words from "section 19(8)" to "Schedule 3 to this Act" are hereby repealed.

6.—(1) In section 24(5) the words "or their allowance scheme, as may be appropriate" and the words from "of Housing Revenue" to "housing account dwellings" are hereby repealed.

(2) For subsection (6) of section 24 there is substituted the following subsection—

"(6) An authority shall also furnish the statutory particulars of their rebate scheme to any person who becomes their tenant, on or before the date on which his tenancy commences."

(3) In section 24(9), for the words "tenant of a dwelling" there are substituted the words "private tenant".

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7.—(1) In section 25(2), after paragraph (c) there are inserted the following words—

“ , and

(d) exclusive of any part of the rent or residue which is fairly attributable to the provision of board ”.

(2) In section 25(5), after the word “ services ” there are inserted the words “ or board ”.

8.—(1) In section 26(1), the following are hereby repealed—

(a) in the definition of “ allowance ” the words from “ but also ” to the end ;

(b) in the definition of “ allowance scheme ” the words from “ and includes ” to the end ; and

(c) the definition of “ housing account dwelling ”.

(2) In section 26(1) for the definition of “ dwelling ” there are substituted the following definitions—

“ ‘ dwelling ’ means—

(a) in relation to a rebate scheme, any residential accommodation provided by an authority, whether or not comprising separate and self-contained premises ; and

(b) in relation to an allowance scheme, any premises of which a person is a private tenant for the purposes of this Part of this Act ;

‘ housing association ’ has the meaning assigned to it for the purposes of the Housing Act 1957 by section 189(1) of that Act.”.

(3) In section 26(1), for the definition of “ tenant ” there is substituted the following definition—

“ ‘ tenant ’ means—

(a) in relation to a rebate scheme, a person who occupies a dwelling as mentioned in section 18 of this Act, including a successor in title of the person to whom the dwelling was originally let, and

(b) in relation to an allowance scheme, a private tenant.”.

9. In Schedule 4, in paragraph 1(3)(a) the words from “ Housing ” to “ account ” are hereby repealed.

Sections 124
and 126.

SCHEDULE 16

REGISTERED HOUSING ASSOCIATIONS

PART I

ACCOUNTING REQUIREMENTS FOR CHARITABLE HOUSING ASSOCIATIONS

1.—(1) The charity shall in respect of its housing activities—

(a) cause to be kept proper books of account showing its transactions and its assets and liabilities ; and

(b) establish and maintain a satisfactory system of control of its books of account, its cash holdings and all its receipts and remittances.

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(2) The books of account must be such as to enable a true and fair view to be given of the state of affairs of the society in respect of its housing activities, and to explain its transactions in the course of those activities.

2.—(1) The charity shall for each period of account prepare—

(a) a revenue account giving a true and fair view of the charity's income and expenditure in the period, so far as arising in connection with its housing activities,

(b) a balance sheet giving a true and fair view (as at the end of the period) of the state of the charity's affairs.

(2) The revenue account and balance sheet must be signed by at least two trustees of the charity.

3.—(1) The charity shall in each period of account appoint a qualified auditor to audit the accounts prepared to comply with paragraph 2.

(2) A person is qualified for the purposes of this paragraph if he is either a member of one of the following bodies—

(a) the Institute of Chartered Accountants in England and Wales;

(b) the Institute of Chartered Accountants of Scotland;

(c) the Association of Certified Accountants;

(d) the Institute of Chartered Accountants in Ireland;

(e) any other body of accountants established in the United Kingdom and recognised by the Secretary of State for the purposes of section 161(1)(a) of the Companies Act 1948, 1948 c. 38.

or a person who is for the time being authorised by the Secretary of State under section 161(1)(b) of that Act as being a person with similar qualifications obtained outside the United Kingdom.

(3) But none of the following shall be appointed—

(a) any trustee, officer or servant of the charity or of an associated body;

(b) any person who is a partner of or in the employment of, or who employs, a trustee, officer or servant of the charity or of an associated body; or

(c) a body corporate;

and any body of persons is "associated" for this purpose (whether a corporate or unincorporated body, and whether or not itself a charity) if it is essentially under the same management or control as the charity.

(4) A Scottish firm is qualified for appointment as auditor, notwithstanding sub-paragraph (3)(c) above, if each of the partners in it is qualified for appointment.

4.—(1) The charity's auditor appointed under this Schedule shall make a report to the charity on the accounts examined by him.

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(2) The report shall state whether, in the auditor's opinion—

- (a) the revenue account gives a true and fair view of the income and expenditure of the charity in respect of its housing activities and of any other matters to which it relates ; and
- (b) the balance sheet gives a true and fair view of the state of affairs of the charity as at the end of the period of account.

5.—(1) It shall be the duty of the charity's auditor so appointed, in preparing his report, to carry out such investigations as will enable him to form an opinion as to the following matters—

- (a) whether the charity has kept, in respect of its housing activities, proper books of account in accordance with the requirements of this Schedule ;
- (b) whether the charity has maintained a satisfactory system of control over its transactions in accordance with all those requirements ; and
- (c) whether the accounts are in agreement with the charity's books.

(2) If the auditor is of opinion that the charity has failed in any respect to comply with this Schedule, or if the accounts are not in agreement with the books, the auditor shall state that fact in his report.

(3) The auditor—

- (a) shall have a right of access at all times to the books, deeds and accounts of the charity, so far as relating to its housing activities, and to all other documents relating to those activities ; and
- (b) shall be entitled to require from the trustees or officers of the charity such information and explanations as he thinks necessary for the performance of his duties.

(4) If the auditor fails to obtain all the information and explanations which, to the best of his knowledge and belief, are necessary for the purposes of his audit, he shall state that fact in his report.

6. A period of account for the purposes of this Schedule is 12 months or such other period not less than 6 months and not more than 18 months as the charity may with the consent of the Housing Corporation determine.

PART II

PAYMENTS TO CERTAIN COMMITTEE MEMBERS AND OTHERS

Provisions substituted for subsections (3) to (6) of section 26 of the 1974 Act

“(3) The Corporation may from time to time specify the maximum amounts which may be paid by a registered 1965 Act association—

- (a) by way of fees or other remuneration or by way of expenses to a member of the association who is not

a member of its committee or an officer or employee of the association ;

- (b) by way of expenses to a member of its committee who is not an officer or employee of the association ; or
- (c) by way of expenses to an officer of the association who does not have a contract of employment with the association.

(4) Different amounts may be specified under subsection (3) above for different purposes.

(5) Where a registered 1965 Act association—

- (a) pays any sum or makes any gift in breach of subsection (1) above ; or
- (b) pays to any person a sum which exceeds any maximum amount specified in relation to that person under subsection (3) above ;

the sum or, as the case may be, the value of the gift or, in a case falling within paragraph (b) above, the amount by which the sum exceeds the maximum shall be recoverable by the association ; and proceedings for its recovery shall be taken by the association if the Corporation gives the association a direction to that effect.

(6) For the purposes of subsection (3)(b) above and section 27 below, a person co-opted by the committee of a registered 1965 Act association to serve on the committee (whether he is a member of the association or not) shall be treated as a member of the committee."

Provision substituted for section 27 of the 1974 Act

"Payments and grant of benefits by registered 1965 Act associations. 27.—(1) Subject to subsection (5) below, a registered 1965 Act association shall not make any payment or grant any benefit to—

- (a) a person who is, or at any time within the relevant period has been, a committee member, officer or employee of the association ;
- (b) a close relative of such a person ; or
- (c) a business trading for profit in which a person falling within paragraph (a) above has a personal interest.

(2) In subsection (1)(a) above, "the relevant period" means the period of 12 months immediately preceding the making of the payment or the grant of the benefit.

(3) For the purposes of subsection (1)(c) above, a person has a personal interest in a business if he, or a close relative of his, either is one of the principal proprietors of the business or is directly concerned with its management.

(4) Any sum paid, or the value of any benefit granted, by a registered 1965 Act association in breach of subsection (1) above shall be recoverable by the association;

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and proceedings for its recovery shall be taken by the association if the Corporation gives it a direction to that effect.

(5) This section does not apply to—

- (a) any payment made or benefit granted by a registered 1965 Act association to an officer or employee under his contract of employment with the association ;
- (b) any payment of expenses made by such an association to a member of its committee ;
- (c) any payment to which, by virtue of subsection (2) of section 26 above, subsection (1) of that section does not apply ; or
- (d) any payment of expenses to which section 26(3)(c) above applies.

(6) Where a tenancy of a house has been granted to, or to a close relative of, a person who later became a committee member, officer or employee of an association, nothing in this section prevents the grant to that tenant of a new tenancy (whether of that or any other house).

(7) Nothing in this section prevents the grant or renewal of a tenancy by an association whose rules restrict membership to persons who are tenants or prospective tenants of the association and preclude the granting or assignment of tenancies to persons other than members.

(8) No sum shall be recoverable under this section in respect of a payment made or a benefit granted by a registered 1965 Act association in a case where an obligation to make the payment or grant the benefit was incurred by the association before the passing of the Housing Act 1980.”

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SCHEDULE 17

AMENDMENT AND EXTENSION OF SECTIONS 19 AND 20 OF
HOUSING ACT 1974 (c.44)

Appointment of persons to conduct inquiries

1. In section 19, in subsection (1), the words “(who may or may not be a member of the Corporation’s staff)” are hereby repealed ; and after subsection (1) there is inserted the following subsection—

“(1A) No person who is, or at any time has been, a member of the Corporation’s staff shall be appointed to conduct an inquiry under subsection (1) above.”

Duty of agents to give information

2. In subsection (2) of section 19 after “officer” there is inserted “agent” and at the end of the section there is added the following:—

“(8) In subsection (2) above “agent” includes banker, solicitor and auditor ; but nothing in this section requires the disclosure—

- (a) by a solicitor, of any privileged communication made to him in his capacity of a solicitor ; or

- (b) by a housing association's bankers, of any information as to the affairs of any of their other customers."

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Suspension of committee members and others

3. In section 20—

- (a) after subsection (1)(a) there is inserted—

"(aa) by order suspend such a person for up to 6 months, pending determination whether he should be removed ;";

- (b) after subsection (1) there is inserted—

"(1A) Where a person is suspended, the Corporation may give directions with respect to the performance of his functions and otherwise as to matters arising from the suspension." ;

- (c) in subsection (5) after "subsection (2) above" there is inserted "or suspended under subsection (1)(aa) above".

Extension to registered charities which are not exempt charities

4. The powers exercisable by the Housing Corporation under sections 19 and 20 may be exercised in relation to any registered housing association—

- (a) which is a registered charity and not an exempt charity ; and

- (b) with respect to which, at the time the powers are exercised (in this Schedule referred to as the relevant time), the condition stated in paragraph 5 below is satisfied ;

but subject to the following provisions of this Schedule.

5. The condition mentioned in paragraph 4 above is that the housing association has at any time received a grant or loan under section 119(3) of the 1957 Act, section 9, 29, 31, 32 or 33 of the 1974 Act or under any enactment mentioned in paragraph 2 or 3 of Schedule 2 to that Act.

6. Sections 19 and 20 shall have effect in their application by virtue of paragraph 4 above as if—

- (a) the references in either section to a registered 1965 Act association included such an association as is mentioned in that paragraph ;

- (b) the references in either section to an officer, agent or member or to a member of the committee included a trustee ;

- (c) the references in section 19 to the association's business did not include any activities other than the association's housing activities ;

- (d) the references in section 19 to the association's accounts did not include revenue accounts not relating to the association's housing activities, except in so far as such accounts are necessary for the auditing of revenue accounts which do so relate or of the association's balance sheet ; and

- (e) the auditor referred to in section 19(4) were an auditor qualified for the purposes of paragraph 3 of Schedule 16 to this Act.

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7. The power under section 19(1), section 20(1)(a), section 20(1) (aa) or section 20(3) shall not be exercised by virtue of paragraph 4 above except after consultation with the Charity Commissioners; and nothing in this Schedule shall be taken to enable the Housing Corporation to appoint a trustee in excess of the maximum number permissible under the constitution of the housing association with respect to which the power under section 20(3) is exercisable.

8. A person appointed under section 20(3) as a member of the committee or a trustee of a housing association shall be entitled—

- (a) to attend, speak and vote at any general meeting of the association and to receive all notices of and other communications relating to any general meeting which a member of the association is entitled to receive; and
- (b) to require a general meeting of the association to be convened within 21 days of a request to that effect made in writing to the committee or the trustees of the association.

Proceedings for an offence

9. In section 20(7), after “the consent of” there is inserted “the Director of Public Prosecutions or”.

Section 130.

SCHEDULE 18

AMENDMENTS OF HOUSING ACT 1974 (c. 44) PART III

Shared ownership schemes

1.—(1) In section 29 of the 1974 Act (housing association grant) after subsection (2) there is inserted the following subsection:—

“(2A) For the purposes of this section, “letting” includes the grant of a lease or licence to occupy—

- (a) on payment of a premium calculated by reference to a percentage of the value of the dwelling or of the cost of providing it; or
- (b) under which the tenant (or his personal representatives) will or may be entitled to a sum calculated by reference directly or indirectly to the value of the dwelling.”

(2) This paragraph shall be deemed always to have had effect.

Cost of housing projects

2. In section 29, after subsection (6) there is inserted the following subsection—

“(6A) In determining the net cost of a housing project under subsection (6) above the Secretary of State may adopt the assessment of the body forwarding the application under subsection (3) above.”

Approved development programmes

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3. After section 29 there is inserted the following section—

“Approved development programmes. 29A.—(1) In this section “approved development programme” means any programme for the development of housing by registered housing associations prepared by the Housing Corporation or—

(a) in England and Wales, by a council which has power under section 119 of the Housing Act 1957 to make loans to registered housing associations ; or

(b) in Scotland, by a local authority ;
and approved for the time being by the Secretary of State for the purposes of this section.

(2) Where a registered housing association undertake a housing project which falls within an approved development programme, housing association grant may be paid under section 29 in respect of that project, notwithstanding that it has not been approved by the Secretary of State under section 29(1).”.

Payment of housing association grant

4. In subsection (1) of section 30—

(a) after the words “the project is completed” where they occur in paragraphs (a) and (b) there are inserted the words “or its completion has become impossible” ; and

(b) for the words “before the project is completed” there are substituted the words “at an earlier time”.

5. After subsection (2) of section 30 there is inserted the following subsection—

“(2A) In any case where, by virtue of section 29A above, a housing project has not required the approval of the Secretary of State under section 29(1), the Secretary of State may impose such conditions as are mentioned in subsection (2) above before first making payment of housing association grant in respect of that project.”.

6. For subsection (3) of section 30 there are substituted the following subsections—

“(3) If, after the making of a housing association grant to a registered housing association—

(a) any land to which the grant relates has been disposed of by the association in any manner ;

(b) any condition imposed under subsection (2) above has not been complied with ; or

(c) the Secretary of State is satisfied that any land to which the grant relates has ceased to be used, or to be available for use, for the purpose for which, at the time the project concerned was approved, it was intended that it should be used ;

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the Secretary of State may reduce the amount of, or of any payment in respect of, the grant or suspend or discontinue any instalment of it or, where any payment has been made to the association in respect of the grant, direct the association to pay to him an amount equal to the whole, or such proportion as he may determine, of the amount so paid to the association.

(3A) Any amount which a registered housing association is directed to repay to the Secretary of State under subsection (3) above shall be recoverable as a simple contract debt, or in Scotland as a debt due under a contract, in any court of competent jurisdiction."

7. Subsection (5) of section 30 is hereby repealed.

Management grant

8. No grant shall be made under section 31 (management grants) except in pursuance of an application made before the passing of this Act; and accordingly that section shall cease to have effect except in relation to grants payable in pursuance of such applications.

Revenue deficit grant

9. In section 32 (deficit grants)—

(a) in subsection (1), the word "annual" is omitted and for the words "an accounting year of the association" there are substituted the words "any period";

(b) in subsection (2)—

(i) in the words preceding the paragraphs for the words from "in respect of" to "association" there are substituted the words "to a registered housing association in respect of any period";

(ii) in paragraph (a) for the words from "in respect of that year" to "end of that year" there are substituted the words "in respect of that period is made by the association to the Secretary of State not later than 15 months after the end of that period"; and

(iii) in paragraph (c) for the words "accounting year" there is substituted the word "period";

(c) for subsection (3) there is substituted the following subsection:—

"(3) For the purposes of this section, a registered housing association shall be treated as incurring a deficit on its revenue account for any period, if—

(a) its expenditure for that period which, in the opinion of the Secretary of State, is attributable to its housing activities and is reasonable and appropriate, having regard to all the circumstances; exceeds

(b) the income which, in the opinion of the Secretary of State, it might reasonably be expected to receive for that period in respect of its housing activities, including sums by way of grant or

subsidy under any enactment other than this section;

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and for this purpose—

- (i) an association's housing activities are any of its activities not relating to hostels or, if the association is a registered charity and not an exempt charity, those of its activities not relating to hostels which fall within section 133(2) of the Housing Act 1980 ; and
 - (ii) an association's expenditure and income shall be calculated in such manner as the Secretary of State may, with the consent of the Treasury, from time to time determine.”;
- (d) subsection (4) shall cease to have effect except in relation to grants made in pursuance of applications made before the passing of this Act;
 - (e) in subsection (5) for the words “accounting year” there is substituted the word “period” and for the words “that year” the words “that period” ;
 - (f) in subsection (6) for the words “accounting year”, in both places, there is substituted the word “period” ; and
 - (g) subsection (8) is hereby repealed.

Hostel deficit grant

10. In section 33—

- (a) in subsection (1) for the words “an accounting year of the association” there are substituted the words “any period” ;
- (b) in subsection (2) for the words from “any accounting year” to “end of that year” there are substituted the words “any period unless an application in respect of that period is made by the association to the Secretary of State not later than 15 months after the end of that period”;
- (c) in subsection (3)—
 - (i) in the words preceding the paragraphs, for the words “an accounting year of the association” there are substituted the words “any period”; and
 - (ii) in paragraphs (a) and (b) for the word “year”, wherever it occurs, there is substituted the word “period”;
- (d) in subsection (4) for the words “accounting year of the association” there is substituted the word “period” and for the words “that year” the words “that period”;
- (e) in subsection (5) for the words “accounting year” there is substituted the word “period” and for the words “that year” the words “that period”; and
- (f) in subsection (6) for the words “accounting year”, in both places, there is substituted the word “period” and the words “before the expiry of that year” are omitted.

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SCHEDULE 19

1972 c. 47.

PROVISIONS REPLACING SECTIONS 90 TO 91A OF HOUSING FINANCE ACT 1972

Service charge and relevant costs

1.—(1) For the purposes of this Schedule, a service charge is an amount payable by the tenant of a flat as part of or in addition to the rent—

(a) which is payable, directly or indirectly, for services, repairs, maintenance or insurance or the landlord's costs of management; and

(b) the whole or part of which varies or may vary according to the relevant costs;

and the relevant costs are the costs or estimated costs (including overheads) incurred or to be incurred in any period (whether the period for which the service charge is payable or an earlier or later period) by or on behalf of the landlord or a superior landlord in connection with the matters for which the service charge is payable.

(2) Other expressions used in this Schedule are to be construed in accordance with paragraphs 16 to 20 below.

Limitation of service charge

2. The extent to which relevant costs are taken into account in determining the amount of a service charge payable for any period shall be limited in accordance with the following paragraphs, and the amount payable shall be limited accordingly; and where the service charge is payable before the relevant costs are incurred—

(a) no greater amount shall be so payable than is reasonable; and

(b) after the relevant costs have been incurred any necessary adjustments shall be made by repayment, reduction of subsequent charges or otherwise.

3. Costs are to be taken into account only to the extent that they are reasonably incurred, and costs incurred on the provision of services or the carrying out of works only if the services or works are of a reasonable standard.

4.—(1) Where costs incurred on the carrying out of works on a building exceed the amount prescribed by or under this paragraph the excess is not to be taken into account unless the requirements of paragraph 5 below have been complied with or are dispensed with under paragraph 6 below.

(2) The prescribed amount is £25 multiplied by the number of flats in the building or £500, whichever is the greater, but the Secretary of State may by order substitute a different amount for £25 or £500 or both.

5.—(1) The requirements are as follows.

(2) At least two estimates for the works shall be obtained, one of them from a person wholly unconnected with the landlord.

(3) A notice accompanied by a copy of the estimates shall be given to each of the tenants concerned or shall be displayed in the building so as to be likely to come to the notice of all those tenants and, if

there is a recognised tenants' association for the building, the notice and copy of the estimates shall also be given to the secretary of the association.

(4) The notice shall describe the works to be carried out and invite observations on them and on the estimates and shall state the name and the address in the United Kingdom of the person to whom the observations may be sent and the date by which they are to be received.

(5) The date stated in the notice shall not be earlier than one month after the date on which it is given or displayed as required by sub-paragraph (3) above.

(6) The landlord shall have regard to any observations received in pursuance of the notice and, unless the works are urgently required, they shall not be begun earlier than the date specified in the notice.

(7) For the purposes of this paragraph the tenants concerned are all the landlord's tenants of flats in the building by whom a service charge is payable to which the costs of the proposed works are relevant.

6. In any proceedings relating to a service charge the court, if satisfied that the landlord acted reasonably, may dispense with all or any of the requirements.

Information as to relevant costs

7.—(1) If a tenant requests the landlord in writing to supply him with a written summary of the costs incurred in the relevant period defined in sub-paragraph (5) below which are relevant to the service charges payable or demanded as payable by the tenant in that or any other period, the landlord shall do so within six months of the end of the period or within one month of the request, whichever is the later.

(2) If there is a recognised tenants' association for the building and the tenant consents, a request under sub-paragraph (1) above may be made by the secretary of the association instead of by the tenant and may then be for the supply of the summary to the secretary.

(3) The summary shall set out those costs in a way showing how they are or will be reflected in demands for service charges and, if there are more than four flats in the building or the relevant costs relate also to another building, it must be certified by a qualified accountant as in his opinion a fair summary complying with this requirement and as being sufficiently supported by accounts, receipts and other documents which have been produced to him.

(4) Where a tenant or the secretary has obtained such a summary as is referred to in sub-paragraph (1) above (whether in pursuance of this paragraph or otherwise) the tenant, or the secretary with the consent of the tenant may, within six months of obtaining it, require the landlord in writing to afford him reasonable facilities for inspecting the accounts, receipts and other documents supporting the summary and for taking copies or extracts from them, and the landlord shall then make such facilities available to the tenant or secretary for a period of two months beginning not later than one month after the request is made.

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- (5) The relevant period mentioned in sub-paragraph (1) above is—
- (a) if the relevant accounts are made up for periods of 12 months, the last such period ending not later than the date of the request; and
 - (b) if none are made up for such a period, the period of 12 months ending with the request.

Information held by superior landlord

8.—(1) If a request under paragraph 7(1) above relates in whole or in part to relevant costs incurred by or on behalf of a superior landlord, and the landlord to whom the request is made is not in possession of the relevant information—

- (a) he shall in turn make a written request for the relevant information to the person who is his landlord (and so on if that person is not himself the superior landlord) and the superior landlord shall then comply with the request within a reasonable time; and
- (b) it shall be the duty of the immediate landlord to comply with the tenant's or secretary's request, or that part of it which relates to the relevant costs incurred by or on behalf of the superior landlord, within the time allowed by paragraph 7 or within such further time, if any, as is reasonable in the circumstances.

(2) If a request made under paragraph 7(4) above relates to a summary of costs incurred by or on behalf of a superior landlord, the landlord to whom the request is made shall forthwith inform the tenant or secretary of that fact and of the name and address of the superior landlord, and sub-paragraph (4) shall then apply as if the superior landlord were the immediate landlord.

Service of requests under paragraph 7

9. A request under paragraph 7 above shall be deemed to be duly served on a landlord if it is served on any agent of the landlord named as such in the rent book or similar document, or on the person who receives the rent on behalf of the landlord; and a person on whom a request is so served shall forward it as soon as may be to the landlord.

Effect of assignment

10. The assignment of a tenancy shall not affect the validity of a request made under paragraph 7 or 8 above before the assignment, but a person shall not be obliged to provide a summary or make facilities available more than once for the same flat and for the same period.

Determination of reasonableness

11. Any agreement made by a tenant of a flat, other than an arbitration agreement within the meaning of section 32 of the Arbitration Act 1950, shall be void in so far as it purports to provide for a determination in a particular manner or on particular evidence of any question whether any amount payable before costs for services, repair, maintenance, insurance or management are incurred is reasonable, whether such costs were reasonably incurred or whether services or works for which costs were incurred are of a reasonable standard.

12. A county court may make a declaration that any such amount is or is not reasonable, that any such costs were or were not reasonably incurred or that any services or works are or are not of a reasonable standard, notwithstanding that no other relief is sought in the proceedings.

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Offences

13.—(1) If any person without reasonable excuse fails to perform any duty imposed on him by this Schedule he shall be guilty of an offence and liable on summary conviction to a fine not exceeding £500.

(2) Where an offence under this Schedule which has been committed by a body corporate is proved to have been committed with the consent or connivance of, or to be attributable to any neglect on the part of, a director, manager, secretary or other similar officer of the body corporate, or any person who was purporting to act in any such capacity, he, as well as the body corporate, shall be guilty of an offence and be liable to be proceeded against and punished accordingly.

(3) Where the affairs of a body corporate are managed by its members, sub-paragraph (2) above shall apply in relation to the acts and defaults of a member in connection with his functions of management as if he were a director of the body corporate.

Exceptions

14.—(1) This Schedule does not apply to service charges payable by a tenant of any of the following bodies, that is to say—

(a) a local authority or development corporation (as defined in section 50(1) of this Act),

(b) the council of a county,

(c) the Commission for the New Towns,

(d) the Development Board for Rural Wales,

unless the tenancy is a long tenancy for the purposes of paragraph 1 of Schedule 3 to this Act.

(2) Where this Schedule applies to a service charge payable by the tenant of a body mentioned in sub-paragraph (1) above—

(a) paragraph 13 does not apply, and

(b) the persons who are qualified accountants include a member of the Chartered Institute of Public Finance and Accountancy and paragraph 17(2)(b) below does not apply.

15. This Schedule does not apply to service charges payable by the tenant of a flat the rent of which is registered under Part IV of the 1977 Act, unless the amount registered is, in pursuance of section 71(4) of that Act, entered as a variable amount.

Definition of "flat", "qualified accountant", "landlord", "tenant" and "recognised tenants' association"

16. A flat is a separate set of premises, whether or not on the same floor, which—

(a) forms part of a building; and

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(b) is divided horizontally from some other part of that building ; and

(c) is constructed or adapted for use for the purposes of a dwelling and is occupied wholly or mainly as a private dwelling.

17.—(1) A qualified accountant is a person qualified for the purposes of paragraph 3 of Schedule 16, but subject to sub-paragraph (2) below.

(2) None of the following is a qualified accountant—

(a) a body corporate, except a Scottish firm ;

(b) an officer or employee of the landlord or, where the landlord is a company, of a company which is the landlord's holding company or subsidiary (within the meaning of section 154 of the Companies Act 1948) or a subsidiary of the landlord's holding company ; and

(c) a person who is a partner or employee of any such officer or employee.

1948 c. 38.

18. "Landlord" includes any person who has a right to enforce payment of a service charge and, in relation to a flat occupied by a tenant under a right conferred by an enactment, also includes the person who, apart from that right, would be entitled to possession of the flat.

19. "Tenant" includes a person occupying a flat under a right conferred by an enactment, and, where the whole or any part of the flat is sublet, includes also the sub-tenant.

20. A recognised tenants' association is an association of tenants of flats in a building which is recognised for the purposes of this Schedule either—

(a) by a notice in writing given by the landlord to the secretary of the association ; or

(b) by a certificate of one of the persons appointed by the Lord Chancellor under the 1977 Act to the panel of persons to act as members of a rent assessment committee for the registration area in which the building is situated.

21.—(1) A notice given under paragraph 20(a) above may be withdrawn by the landlord by notice in writing given to the secretary of the association not less than six months before the date on which it is to be withdrawn ; and a certificate given under paragraph 20(b) above may be cancelled by one of the persons there mentioned.

(2) The Secretary of State may by regulations specify the matters to which regard is to be had in giving or cancelling a certificate under paragraph 20(b) above.

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SCHEDULE 20

HOUSING CO-OPERATIVES

1. In this Schedule "housing co-operative" means a society, company or body of trustees for the time being approved by the Secretary of State for the purposes of this Schedule.

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2.—(1) Where a local authority a new town corporation or the Development Board for Rural Wales has made an agreement with a housing co-operative and the agreement is one to which this Schedule applies, neither the agreement nor any letting of land in pursuance of it shall be taken into account in determining the authority's, corporation's or Board's reckonable expenditure or reckonable income under Part VI of this Act or as a ground for recovering, withholding or reducing any sum under section 102 ; but subject to sub-paragraph (2) below.

(2) Sub-paragraph (1) above does not apply where the letting is a lease constituting shared ownership, except if, and to the extent that, the Secretary of State otherwise determines.

(3) For the purposes of sub-paragraph (2) above a lease constituting shared ownership is a lease of a dwelling—

- (a) which is granted on payment of a premium calculated by reference to a percentage of the value of the dwelling or of the cost of providing it ; or
- (b) under which the tenant (or his personal representatives) will or may be entitled to a sum calculated by reference directly or indirectly to the value of the dwelling.

3. The agreements to which this Schedule applies are agreements with a local authority made (whether before or after the passing of this Act) with the approval of the Secretary of State—

- (a) for the exercise by the co-operative, on such terms as may be provided in the agreement, of any of the local authority's powers relating to land in which it has a legal estate and which the authority for the time being holds for the purposes of Part V of the 1957 Act, and the performance by the co-operative of any of the local authority's duties relating to such land ; or
- (b) for the exercise by the co-operative, in connection with any such land as is referred to in paragraph (a) above, of any of the local authority's powers under section 94 or 95 of the 1957 Act (powers to provide furniture, board and laundry facilities),

and agreements with a new town corporation or the Development Board for Rural Wales for the exercise by the co-operative, on such terms as may be provided in the agreement, of any of the corporation's or Board's powers under the New Towns Act 1965 or the Development of Rural Wales Act 1976 relating to land in which it has a legal estate. 1965 c. 59.
1976 c. 75.

4. The Secretary of State's approval to the making of any such agreement may be given either generally to local authorities or new town corporations or to any local authority or description of local authority or any new town corporation or description of new town corporation or the Development Board for Rural Wales, or in any particular case, and may be given unconditionally or subject to conditions.

5. Without prejudice to any power to let land conferred on a local authority a new town corporation or the Development Board for Rural Wales by an enactment, the terms of an agreement to

SCH. 20 which this Schedule applies may include terms providing for the letting of land to the housing co-operative by the local authority, new town corporation or Board.

6. A housing association registered under Part II of the 1974 Act shall not be entitled to a grant under Part III of that Act in respect of land for the time being comprised in an agreement to which this Schedule applies.

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SCHEDULE 21

AMENDMENTS OF LEASEHOLD REFORM ACT 1967 (C.88) AND HOUSING ACT 1974 (C.44), SCHEDULE 8

1.—(1) In section 1(1)(b) of the 1967 Act (period during which tenant must have occupied the premises as his residence) for “five years”, in both places, substitute “three years”.

(2) In sections 9(3)(b) and 23(2)(b) of the 1967 Act (application for enfranchisement or extension of lease not to be made within five years of previous application) for “five years” substitute, in each case, “three years”.

2. For section 1(4A) of the 1967 Act (reduction of rateable value in consequence of tenants’ improvements), substitute—

“(4A) Schedule 8 to the Housing Act 1974 shall have effect to enable a tenant to have the rateable value of the house and premises reduced for purposes of this section in consequence of tenant’s improvements.”.

3. In section 3(1) of the 1967 Act (meaning of “long tenancy”), the following words are inserted at the end of the proviso: “if either—

(a) it was granted before 18th April 1980 or in pursuance of a contract entered into before that date ; or

(b) the notice is capable of being given at any time after the death or marriage of the tenant, the length of the notice is not more than three months and the terms of the tenancy preclude both its assignment and the subletting of the whole of the premises comprised in it”.

4. In section 16 of the 1967 Act (exclusion of rights which would otherwise accrue under extending tenancies), after subsection (1) insert—

“(1A) The Rent Act 1977 shall not apply to a tenancy extended under section 14 above ; but if when this provision comes into force a rent is registered under Part IV of the 1977 Act for a dwelling-house which is the subject of an extended tenancy, the tenant shall not be obliged to pay more than the registered rent under the extended tenancy until the next rental period (within the meaning of the 1977 Act) after the landlord has served on him a notice in writing that the registered rent no longer applies.”.

5. In section 29 of the 1967 Act (reservation of future right to develop), after subsection (6A) insert—

“(6B) Where the landlord is a university body, the possible development for which land may be reserved by a covenant

entered into to give effect to subsection (1) or (2) above includes development by a related university body (within the meaning of section 28(6)(b) above "

6. In paragraph 7(1)(b) of Schedule 1 to the 1967 Act, at the beginning insert "subject to paragraph 7A", omit "(subject to paragraph 8 below)" and after paragraph 7 insert—

"7A.—(1) The price payable for a minor superior tenancy shall be calculated (except where it has been determined by agreement or otherwise before this paragraph comes into force) by applying the formula set out in sub-paragraph (5) instead of in accordance with section 9.

(2) "A minor superior tenancy" means a superior tenancy having an expectation of possession of not more than one month and in respect of which the profit rent is not more than £5 per year.

(3) "Profit rent" means an amount equal to that of the rent payable under the tenancy on which the minor superior tenancy is in immediate reversion, less that of the rent payable under the minor superior tenancy.

(4) Where the minor superior tenancy or that on which it is in immediate reversion comprises property other than the house and premises, the reference in sub-paragraph (3) to the rent payable under it means so much of that rent as is apportioned to the house and premises.

(5) The formula is—

$$P = \pounds \frac{R}{Y} - \frac{R}{Y(1+Y)^n}$$

where—

P=the price payable ;

R=the profit rent ;

Y=the yield (expressed as a decimal fraction) from 2½ per cent. Consolidated Stock ;

n=the period, expressed in years (taking any part of a year as a whole year) which the minor superior tenancy would have to run if it were not extinguished by enfranchisement.

(6) In calculating the yield from 2½ per cent. Consolidated Stock, the price of that stock shall be taken to be the middle market price at the close of business on the last trading day in the week before the tenant gives notice in accordance with this Act of his desire to have the freehold."

7. In paragraph 6(1)(b) of Schedule 3 to the 1967 Act (particulars to be included in tenants' notices of desire to have freehold or extended lease), after "show that" insert "(i)", and at the end insert—

"(ii) at the material time the rateable value was within the limits specified for the purposes of section 1 ;".

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8. In Schedule 8 to the 1974 Act (procedure for obtaining reduction of rateable value for purposes of the 1967 Act)—

- (a) in paragraph 1(1) (notice to landlord requiring agreement to reduction), for “subsection (1) of section 1 of this Act” substitute “section 1 of the Leasehold Reform Act 1967”;
- (b) in paragraph 2(2) (determinations by county court), omit from “and any such determination” onwards;
- (c) in paragraph 3(2)(a) (valuation officer’s certificate) for “subsection (1) of section 1 of this Act” substitute “section 1 of the Leasehold Reform Act 1967”;
- (d) after paragraph 3 insert—

“4. Where a notice under paragraph 1 of this Schedule is served on or after 21st December 1979, the tenant shall bear the reasonable costs incurred by the landlord in investigating any matter specified in it.”

- (e) in paragraph 2 of the second Form set out in the Schedule, for the words “Schedule Seven to the Leasehold Reform Act 1967” substitute “Schedule 8 to the Housing Act 1974”, and in paragraph 3 of that Form for “Seven” substitute “8”.

Section 142.

SCHEDULE 22

LEASEHOLD VALUATION TRIBUNALS

PART I

SUPPLEMENTARY PROVISIONS

Constitution of tribunals

1. The president of a panel drawn up under Schedule 10 to the 1977 Act shall, when constituting a leasehold valuation tribunal, ensure that at least one of its members is a person who has experience in the valuation of land.

Appeals

2. No appeal shall lie from a decision of a leasehold valuation tribunal to the High Court by virtue of section 13(1) of the Tribunals and Inquiries Act 1971 and no case may be stated for the opinion of the High Court in respect of such a decision, but any person who—

(a) appeared before a tribunal in proceedings to which he was a party; and

(b) is dissatisfied with its decision,

may, within such time as rules under section 3(6) of the Lands Tribunal Act 1949 may specify, appeal to the Lands Tribunal.

3. A leasehold valuation tribunal shall not be treated as a person aggrieved for the purposes of section 3(4) of the Lands Tribunal Act 1949 (which enables a person aggrieved by a decision of the Tribunal on a point of law to require the Tribunal to state a case for decision of the Court of Appeal).

4. For the purposes of Part I of the Leasehold Reform Act 1967 a matter is to be treated as determined by a leasehold valuation tribunal—

(a) if the tribunal’s decision is not appealed against, on the expiration of the time for bringing an appeal; or

1971 c. 62.

1949 c. 42.

1967 c. 88.

- (b) if the decision is appealed against, and not set aside in consequence of the appeal, at the time when the appeal and any further appeal is disposed of by the determination of it and the expiration of the time for bringing a further appeal if any) or by its being abandoned or otherwise ceasing to have effect.

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Costs

5. The costs which a person may be required to bear under section 9(4) or 14(2) of the 1967 Act (matters the costs of which are to be borne by person giving notice of his desire to have the freehold or an extended lease) do not include costs incurred by a landlord in connection with a reference to a leasehold valuation tribunal.

6. Where the county court gives any such certificate as is authorised by section 20(4) of or paragraph 8(1) of Schedule 2 to the 1967 Act (certificate of unreasonable delay or default by landlord or tenant) the Lands Tribunal may make the like order as to costs of proceedings on an appeal before the Tribunal in relation to the matter in question as the county court is authorised to make by section 20(4) or paragraph 8(1).

Provision of information

7.—(1) Where a matter is referred to a leasehold valuation tribunal for determination, the tribunal may by notice in writing served on the tenant or landlord or on a superior landlord require him to give to the tribunal, within such period but not less than 14 days from the service of the notice as may be specified in the notice, such information as the tribunal may reasonably require.

(2) If any person fails without reasonable cause to comply with any notice served on him under this paragraph he shall be liable, on summary conviction, to a fine not exceeding £200.

PART II

AMENDMENTS OF 1967 ACT

8.—(1) In section 21(1) (jurisdiction of Lands Tribunal) for “the Lands Tribunal” substitute “a leasehold valuation tribunal”.

(2) After section 21(1) insert—

“(1A) An application to a leasehold valuation tribunal under subsection (1) above must be in the prescribed form and contain the prescribed particulars.

(1B) No application may be made to a leasehold valuation tribunal under subsection (1) above to determine the price for a house and premises unless either—

(a) the landlord has informed the tenant of the price he is asking; or

(b) two months have elapsed without his doing so since the tenant gave notice of his desire to have the freehold under this Part of this Act.”.

(3) In section 21(2), for “the Lands Tribunal” substitute “a leasehold valuation tribunal” and for “the Tribunal” substitute “a tribunal”.

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(4) In section 21(3) for "the Lands Tribunal" (twice) substitute "a leasehold valuation tribunal" and for "the Tribunal" substitute "a tribunal".

(5) For section 21(4) substitute—

"(4) Without prejudice to the generality of section 102 of the County Courts Act 1959 or section 74 of the Rent Act 1977, the powers thereby conferred to make rules of procedure shall extend to prescribing the procedure consequent on any such transfer."

(6) After section 21(4) insert—

"(4A) The Secretary of State may make regulations prescribing—

(a) the form of any application under subsection (1) above ;
and

(b) the particulars which it must contain ;

and any such regulations shall be made by statutory instrument subject to annulment in pursuance of a resolution of either House of Parliament."

(7) Section 21(5) (costs of proceedings before Lands Tribunal) is repealed.

9. In section 31(2)(a) (consent of Church Commissioners required to provisions of conveyance) after "the court" insert "a leasehold valuation tribunal".

10. In paragraph 5(3) of Schedule 1 (price for intermediate leasehold interests) for "the Lands Tribunal" (twice) substitute "a leasehold valuation tribunal".

11. In paragraph 2(2) of Schedule 2 (compensation payable to tenant for loss of house and premises) for "the Lands Tribunal" substitute "a leasehold valuation tribunal".

12. Paragraph 8(2) of Schedule 2 (costs of proceedings before Lands Tribunal) is hereby repealed.

SCHEDULE 23

HOUSES IN MULTIPLE OCCUPATION: REVISED PENALTIES FOR CERTAIN OFFENCES

Section 145.

1961 c. 65.

1. Sections 20 of the Housing Act 1961 and 61(6) of the 1969 Act are hereby repealed.

2. In section 13(4) of the Housing Act 1961 (contravention of, or failure to comply with, regulations prescribing management code) for paragraphs (a) and (b) there are substituted the words "to a fine not exceeding £200".

3. In section 19 of the Act of 1961 (directions to prevent or reduce overcrowding in houses in multiple occupation)—

(a) in subsection (9) (penalty for making false statement) for the words "twenty pounds" there is substituted "£50"; and

(b) for subsection (11) (penalty for failing to comply with requirements of subsection (10)) there is substituted the following subsection—

"(11) A person committing an offence under subsection (10) above shall be liable, on summary conviction, to a fine not exceeding £500."

4. In section 22(4) of the Act of 1961 (penalty for failing to provide information to local authority) for the words "ten pounds" there is substituted "£50".

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5.—(1) In Part II of the Act of 1961, after section 26, there is inserted the following section—

"Execution
of works
under
Part II.

26A. If any person, after receiving notice of the intended action—

(a) being the occupier of any premises, prevents the owner thereof or his officers, agents, servants or workmen, from carrying into effect with respect to those premises any of the provisions of this Part of this Act; or

(b) being the owner or occupier of any premises, prevents any officer, agent, servant or workman of the local authority, from so doing;

a magistrates' court may order him to permit to be done on the premises all things requisite for carrying into effect those provisions and if he fails to comply with the order he shall be liable, on summary conviction, to a fine not exceeding £200 and to a further fine of £20 for every day or part of a day during which the failure continues."

(2) Section 66 of the Housing Act 1964 is hereby repealed.

1964 c. 56.

6.—(1) In section 65(1) of the Housing Act 1964 (penalty for failure to execute works in respect of houses in multiple occupation) for paragraphs (a) and (b) there are substituted the words "to a fine not exceeding £500".

(2) In Schedule 6 to the Criminal Law Act 1977 the entry relating to section 65(1) of the Act of 1964 is hereby repealed.

7. In section 75(6) of the Act of 1964 (penalty for failure to comply with magistrates' court order) for the words from "in respect of each day" to the end there are substituted the words "be liable, on summary conviction, to a fine not exceeding £200 and to a further fine of £20 for every day or part of a day during which the failure continues".

8.—(1) In section 61 of the Housing Act 1969 (offences and penalties) for "£100" there is substituted "£500".

(2) In Schedule 6 to the Criminal Law Act 1977 the entry relating to section 61 of the 1969 Act is hereby repealed.

9. In section 64(7) of the 1969 Act (offence to contravene or fail to comply with scheme for registering houses in multiple occupation) for paragraphs (a) to (c) there are substituted the following paragraphs—

"(a) if the offence is a contravention of so much of the control provisions as relate—

(i) to occupation, to a greater extent than permitted thereunder, of a house not registered in pursuance of those provisions; or

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- (ii) to the occupation of a house registered in pursuance of those provisions by more households or persons than the registration permits ;
to a fine not exceeding £500 ; and
(b) in any other case to a fine not exceeding £50.”

Section 147

SCHEDULE 24

HOUSES IN MULTIPLE OCCUPATION :

MEANS OF ESCAPE FROM FIRE

Exercise of powers of local authority

1. If it appears to a local authority that a house which is occupied by persons who do not form a single household is not provided with such means of escape from fire as the local authority considers necessary the local authority may exercise such of its powers under this Schedule as appear to it most appropriate ; and it shall do so if the house is of such description or occupied in such manner as the Secretary of State may by order specify.

Powers available to local authority

1961 c. 65.

2.—(1) The local authority may serve a notice on any person on whom a notice may be served under section 15 of the Housing Act 1961 specifying the works which in the opinion of the local authority are required to provide the necessary means of escape from fire and requiring the person on whom the notice is served to execute those works within such period, not less than twenty-one days from the service of the notice, as may be specified in the notice.

(2) The period specified in the notice may from time to time be extended by the local authority.

(3) Where the local authority serves a notice on any person under this paragraph it shall inform any other person who to its knowledge is an owner, lessee or mortgagee of the house of the fact that the notice has been served.

3. If it appears to the local authority that the means of escape from fire would be adequate if part of the house were not used for human habitation the local authority may secure that that part is not so used.

4. The local authority may secure that part of the house is not used for human habitation and serve a notice under paragraph 2 above specifying such works only as in the opinion of the authority are required to provide the means of escape from fire which will be necessary if that part is not so used.

5. For the purpose of securing that a part of the house is not used for human habitation the local authority may, if after consultation with any owner or mortgagee it thinks fit to do so, accept an undertaking from him that that part will not be used for human habitation without the permission of the local authority.

6. If the local authority does not accept an undertaking under paragraph 5 above with respect to a part of the house, or if, in a case where it has accepted such an undertaking, that part of the house is at any time used in contravention of the undertaking, the local authority may make a closing order with respect to that part of the house.

Enforcement

7. Any person who, knowing that an undertaking has been accepted under paragraph 5 above, uses the part of the house to which the undertaking relates in contravention of the undertaking, or permits that part of the house to be so used, shall be guilty of an offence and liable on summary conviction to a fine not exceeding £50 and to a further fine of £5 for every day, or part of a day, on which he so uses it or permits it to be so used after conviction.

Consultation with fire authority

8. A local authority shall, before serving a notice, accepting an undertaking or making a closing order under this Schedule, consult with the fire authority concerned.

Exclusion of Rent Act protection

9. Nothing in the 1977 Act shall prevent possession being obtained of any part of a house which, in accordance with any undertaking in pursuance of this Schedule, cannot for the time being be used for human habitation.

Interpretation

10. In this Schedule expressions defined in the 1957 Act have the same meanings as in that Act.

Application and amendment of enactments

11. Part II of the 1957 Act shall apply to a closing order made under this Schedule as it applies to a closing order under section 18(1) of that Act, but the ground on which, under section 27(2) of that Act, the local authority is required to determine the order shall be that it is satisfied that the means of escape from fire with which the house is provided is adequate (owing to a change of circumstances) and will remain adequate if the part of the house with respect to which the order was made is again used for human habitation.

12. Any reference in the provisions relating to houses in multiple occupation (that is to say Part II of the Housing Act 1961, Part IV of the Housing Act 1964 and Part IV of the 1969 Act) to section 16 or Part II of the Housing Act 1961 shall be construed as including a reference to this Schedule; but the functions of a local authority under this Schedule shall not be among those referred to in section 70 of the 1969 Act (review of housing conditions by local authorities).

SCH. 24

13. In section 29(7) of the Land Compensation Act 1973 for the words "section 60 of the Housing Act 1969" there are substituted the words "Schedule 24 to the Housing Act 1980" and for the words "section 60(2) of the said Act of 1969" the words "paragraph 5 of the said Schedule 24."

SCHEDULE 25

MINOR AND CONSEQUENTIAL AMENDMENTS,
TRANSITIONAL PROVISIONS AND SAVINGS

Section 152.

PART I

MINOR AND CONSEQUENTIAL AMENDMENTS

*Reserve and Auxiliary Forces (Protection of Civil Interests)
Act 1951 (c.65)*

1. In section 15 of the Reserve and Auxiliary Forces (Protection of Civil Interests) Act 1951 (protection of tenure of furnished, and certain other, rented premises by extension of provisions of the 1977 Act applying to restricted contracts) there is inserted, after subsection (1), the following subsection—

"(1A) This section does not apply in relation to any tenancy entered into after the commencement of section 69(2) of the Housing Act 1980."

2. In section 16 of the Act of 1951 (protection of tenure of rented premises not within section 15, by extension of the Rent Acts) for subsections (4) to (7) there are substituted the following subsections—

"(4) The rent for any rental period shall be the amount payable for the last rental period of the tenancy qualifying for protection but subject to adjustment from time to time in accordance with section 46 or 47 of the Rent Act 1977 (adjustment, with respect to rates, services and furniture, of recoverable rent for statutory periods before registration).

(5) Subsection (4) above has effect subject to any agreement between the parties for the payment of a lower rent; and where a lower rent is agreed it shall not be increased in accordance with section 46 or 47 of the Act of 1977 but may, notwithstanding anything in any other enactment, be increased by agreement in writing between the parties up to the amount payable under subsection (4) above."

3. In sections 17 and 18 of the Act of 1951 (which relate respectively to premises which include accommodation shared otherwise than with the landlord and to premises occupied in connection with employment under a licence or a rent-free letting) in each case in subsection (2) for the words "to (7)" there are substituted the words "and (5)".

Housing Act 1957 (c. 56)

4. Section 5 of the 1957 Act (prohibition of back-to-back houses) is hereby repealed.

5. In section 96 of the 1957 Act, in paragraph (d) the words "by them", and paragraph (e), are hereby repealed. SCH. 25

6. In section 119(3) of the 1957 Act (financial assistance for housing associations) the words from "with the consent" to "the Minister" and the words from "The Minister's power" to the end are hereby repealed.

7. In section 126 of the 1957 Act (power of county councils to provide houses for their employees) there are added, at the end, the words "and any land so acquired or appropriated may be disposed of by the council as if the council were a local authority".

8. In Schedule 3 to the 1957 Act (procedure for authorising compulsory purchases under Part III) for sub-paragraph (4) of paragraph 3 there is substituted the following sub-paragraph—

"(4) Where any objection not withdrawn has been made on the ground that a building included in the order is not unfit for human habitation, the local authority shall not later than 28 days before the date of the enquiry or hearing—

(a) serve upon the objector a notice in writing stating what facts have emerged as their principal grounds for being satisfied that the building is so unfit; and

(b) send a copy of the notice to the Secretary of State."

This paragraph does not apply in relation to an order under sections 43 or 51 of the 1957 Act made before the commencement of this paragraph.

Housing (Financial Provisions) Act 1958 (c.42)

9. In section 43(1) of the Housing (Financial Provisions) Act 1958 (power of local authorities to make advances) the words "subject to such conditions as may be approved by the Minister" are omitted.

County Courts Act 1959 (c.22)

10. In section 109(4)(b) of the County Courts Act 1959 for the word "document" there is substituted the word "enactment".

Building Societies Act 1962 (c.37)

11. In Schedule 3 to the Building Societies Act 1962 (permitted classes of additional security) in paragraph 3(1) for "local authorities" substitute "bodies" and in paragraph 3(2)(a), after "England and Wales" insert "section 111 of the Housing Act 1980" and in paragraph 3(2)(c) after "Northern Ireland" insert "any statutory provision for the time being in force in Northern Ireland and made for purposes corresponding to those of section 111 of the Housing Act 1980".

12. After paragraph 13 of that Schedule insert—

"14. An agreement under section 111 of the Housing Act 1980 (agreement by local authority or Housing Corporation to indemnify building society in respect of mortgagor's default) or under any statutory provision for the time being in force in Northern Ireland and made for purposes corresponding to those of that section."

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Housing Act 1964 (c.56)

13. In Schedule 1 to the Housing Act 1964, for paragraph 4(1) (authentication of fixing of Corporation's seal by signature of chairman or member) substitute—

“(1) The fixing of the Corporation's seal may be authenticated by the signature of the Chairman or of any other person authorised for that purpose.”.

Matrimonial Homes Act 1967 (c.75)

14. In section 1(5) of the Matrimonial Homes Act 1967 after “be treated as possession by the other spouse” insert “and for purposes of Chapter II of Part I of the Housing Act 1980 be treated as occupation by the other spouse”.

15. In section 7(1) of that Act, after paragraph (b) insert—

“or

(c) a secure tenancy within the meaning of section 28 of the Housing Act 1980”;

and for “subsection (2) or (3)” substitute “subsection (2), (3) or (3A)”.

16. In section 7(2) of that Act, after “the Rent Act 1977” insert “or a secure tenancy within the meaning of section 28 of the Housing Act 1980”; and at the end of the subsection add “and where the said spouse is a successor within the meaning of Chapter II of Part I of that Act, his or her former spouse shall be deemed also to be a successor within the meaning of that Chapter”.

17. In section 7(3) of that Act for “widow” substitute “the surviving spouse”.

Building Societies Act (Northern Ireland) 1967 (c.31 N.I.)

18. In Schedule 3 to the Building Societies Act (Northern Ireland) 1967 (permitted classes of additional security) in paragraph 3(1) after “certain local authorities” insert “or the Housing Corporation” and in paragraph 3(2)(b), after “England and Wales” insert “section 111 of the Housing Act 1980.”

19. After paragraph 13 of that Schedule insert—

“14. An agreement under section 111 of the Housing Act 1980 (agreement by local authority or Housing Corporation to indemnify building society in respect of mortgagor's default).”.

Prices and Incomes Act 1968 (c.42)

20. In section 12(1) of the Prices and Incomes Act 1968 (provision for local authorities to increase rents under periodic tenancies without giving notice to quit) after “tenancy”, where first occurring, insert “which is not a secure tenancy within the meaning of section 28 of the Housing Act 1980”.

Housing Act 1969 (c. 33)

21. In section 85 of the 1969 Act (provisions relating to orders and regulations under the Act), after subsection (1) there is inserted the following subsection—

“(1A) Any order or regulation made under this Act may make different provision with respect to different cases or descriptions of case, including different provision for different areas.”.

Chronically Sick and Disabled Persons Act 1970 (c.44)

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22. In section 3(1) of the Chronically Sick and Disabled Persons Act 1970 (duty of housing authorities to have regard to special needs of chronically sick or disabled persons) the words from "and any proposals" to the end are hereby repealed.

Local Government Act 1972 (c.70)

23. In section 131(2) of the Local Government Act 1972 (enactments which are not affected by Parts VII and VIII of that Act) after paragraph (k) there is inserted the following paragraph—

"(l) the Housing Act 1980".

Housing Act 1974 (c.44)

24. In section 5 of the 1974 Act (disposal of land by Housing Corporation), in subsection (3) omit all after paragraph (f), and after that subsection insert—

"(3A) The Corporation may sell or lease individual dwellings to persons for their own occupation; but where the dwelling concerned was acquired by the Corporation by compulsory purchase under section 3(3), it shall not be disposed of under this subsection without the written consent of the Secretary of State."

25. In section 26(2) of the 1974 Act (cases in which payments may be made by registered housing associations to members) in paragraph (b)(iii) after "person" insert "either under his tenancy agreement with the association or".

26. After section 103 of the 1974 Act insert—

"Full and
reduced
standard.

103A.—(1) For the purposes of this Part of this Act, a dwelling shall be taken to attain the full standard if the following conditions are fulfilled with respect to it, namely—

- (a) that it is provided with all the standard amenities for the exclusive use of its occupants; and
- (b) that it is in reasonable repair (disregarding the state of internal decorative repair) having regard to its age and character and the locality in which it is situated; and
- (c) that it conforms with such requirements with respect to thermal insulation as may for the time being be specified by the Secretary of State for the purposes of this section; and
- (d) that it is in all other respects fit for human habitation (to be determined in accordance with section 4 of the Housing Act 1957); and
- (e) that it is likely to be available for use as a dwelling for a period of 15 years or such other period as may for the time being be specified by the Secretary of State for the purposes of this subsection.

(2) Subject to subsection (3) below, a local authority may, if they consider it reasonable to do so, dispense

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wholly or in part with any of the conditions in subsection (1), and a dwelling shall be taken to attain the reduced standard if the conditions not dispensed with are fulfilled.

(3) A local authority shall not dispense with the conditions in paragraph (a) of subsection (1) in a case where they are satisfied that the dwelling is, or forms part of, a house or building in respect of which they could by notice under section 15 of the Housing Act 1961 (power to require execution of works) require the execution of such works as are referred to in subsection (1) of that section."

27. In section 104 of the 1974 Act (Interpretation of Part VIII) the definitions of "the full standard" and "the reduced standard" are repealed.

28.—(1) In section 114(1) of the 1974 Act (rehabilitation orders) paragraph (c) and the word "or" immediately preceding it are omitted, and after that subsection there is inserted the following subsection—

"(1A) In the case of a clearance area comprising houses within subsection (1)(a) or (b) above, this section also applies to houses comprised in the area which have been included in it by virtue of section 49 of the Housing Act 1957."

(2) Subsections (6) and (7) of section 114 are repealed.

(3) In section 114(8)—

(a) in the definition of "full standard" for "section 66(2)" substitute "section 103A(1)";

(b) in paragraph (b) of the definition of "Part III land", for "section 43(2)" substitute "section 43".

29. After section 114 of the 1974 Act there is inserted the following section—

"Effects of rehabilitation order. 114A(1) Where in the case of a rehabilitation order a local authority are freed by section 114(5) above from the duty to demolish or secure the demolition of houses included in a clearance area as being unfit for human habitation, the authority shall take such steps as are necessary—

(a) to restore the houses so as to provide one or more dwellings to the full standard of section 103A above;

(b) where they are not vested in the authority, to ensure that the houses are restored with that object.

(2) A local authority may accept undertakings for the purposes of subsection (1)(b) above from the owner of the houses, or any other person who has or will have an interest in them or any of them, concerning works to be carried out to restore the houses as mentioned in that subsection, and the time within which the works are to be carried out."

30. In section 128 of the 1974 Act (provisions relating to orders under the Act), after subsection (1) there is inserted the following subsection—

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“(1A) An order made by the Secretary of State under any provision of this Act may make different provision with respect to different cases or descriptions of case, including different provision for different areas.”

31. In Schedule 10 to the 1974 Act (rehabilitation orders), in paragraph 6, there is added after sub-paragraph (b) the following sub-paragraph—

“and

(c) the notice land, so far as not comprised within sub-paragraph (a) or (b) above.”.

Rent (Agriculture) Act 1976 (c.80)

32. In section 7 of the Rent (Agriculture) Act 1976, at the end of subsection (6) (definition of “tenant”), there are added the words “and ‘tenancy’ shall be construed accordingly”.

33. In section 13 of the Act of 1976 (application for registration of rent)—

(a) for the words “three years” in subsection (7) there are substituted the words “two years”; and

(b) in subsection (3) for the words “Schedule 7” there are substituted the words “Schedule 12”.

Rent Act 1977 (c.42)

34. In section 16 of the 1977 Act (landlord’s interest belonging to housing co-operative) for the words “paragraph 9 of Schedule 1 to the Housing Rents and Subsidies Act 1975” there are substituted the words “paragraph 1 of Schedule 20 to the Housing Act 1980”.

35. Sections 18(4) and 115 of the 1977 Act (modification of Act in cases where controlled tenancies converted into regulated tenancies) are hereby repealed; and in that Act, after section 18, there is inserted the following section—

“Modification of Act for controlled tenancies converted into regulated tenancies.

18A. Schedule 17 to this Act applies for the purpose of modifying the provisions of this Act in relation to a tenancy which, by virtue of any of the following enactments, was converted from a controlled tenancy into a regulated tenancy, that is to say—

(a) section 18(3) of this Act;

(b) paragraph 5 of Schedule 2 to the Rent Act 1968 (which was superseded by section 18(3));

(c) Part VIII of this Act;

(d) Part III of the Housing Finance Act 1972 (which was superseded by Part VIII);

(e) Part IV of the Act of 1972 (conversion by reference to rateable values);

(f) section 64 of the Housing Act 1980 (conversion of remaining controlled tenancies into regulated tenancies).”.

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36. In section 19(5) of the 1977 Act (furnished lettings etc. which are not restricted contracts) after paragraph (a) insert—

“(aa) under the contract the interest of the lessor belongs to a body mentioned in section 14 of this Act;”.

37. In section 45(4) of the 1977 Act, for the words “to 48” there are substituted the words “and 47”.

38. In section 49 of the 1977 Act, for the words “46(2) or 48(3)” there are substituted the words “or 46”.

39. In section 55 of the 1977 Act (general provisions for phasing of rent increases), in subsection (3), for paragraph (b) there is substituted the following paragraph—

“(b) the provisions of section 89 of this Act do not apply to it; and”.

40. In sections 68(4), 69(1)(b)(ii) and (4), 73(1)(a), and 88(4)(b) of the 1977 Act for the words “three years” and “3 years,” wherever occurring, there are substituted the words “2 years”.

This paragraph does not apply in any case where, on the determination or confirmation of a rent by the rent officer, the rent determined by him is registered, or his confirmation is noted in the register, before the commencement of this paragraph.

41. In section 70(3) of the 1977 Act (matters to be disregarded in determining fair rent) paragraphs (c) and (d) are hereby repealed.

42. In section 78(5) of the 1977 Act, for the words “subsection (1)” there are substituted the words “subsection (2)”.

43. In section 79 of the 1977 Act—

(a) in subsection (1) for the words “local authority” there are substituted the words “president of every rent assessment panel”;

(b) in subsection (2) for the words “local authority” there are substituted the words “rent assessment panel”;

(c) subsection (4) is hereby repealed; and

(d) in subsection (5) for the words “local authority” there are substituted the words “president of the rent assessment panel concerned”.

44. In section 79 of the 1977 Act there is inserted, at the end, the following subsection—

“(6A) Every local authority shall, before the expiry of the period of three months beginning with the commencement of paragraph 44 of Schedule 25 to the Housing Act 1980, send to the president of the appropriate rent assessment panel the register previously kept by the authority under this section.”

45. In section 85 of the 1977 Act—

(a) in the definition of “register” for the words “local authority” there are substituted the words “president of the rent assessment panel concerned”; and

(b) in the definition of “rent tribunal” for the words from “has” onwards there are substituted the words “shall be construed in accordance with section 72 of the Housing Act 1980”.

46. In section 88(2) of the 1977 Act (rent limits for housing association tenancies) for the words "sections 89 and 90" there are substituted the words "section 89".

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47.—(1) Section 116 of the 1977 Act (provision where tenant refuses to allow landlord to carry out works) is amended as follows.

(2) For subsection (1) there is substituted the following subsection—

"(1) This section applies where a dwelling-house is subject to a statutory tenancy and the landlord wishes to carry out works which cannot be carried out without the consent of the tenant."

(3) For subsection (3) there is substituted the following subsection—

"(3) The condition is—

(a) that the works were specified in an application for an improvement, or intermediate, grant under Part VII of the Housing Act 1974 and the application has been approved, or

(b) that the works are specified in a certificate issued by a local authority and stating that if an application were to be made by the landlord for such a grant in respect of the works, the application would be likely to be approved."

(4) In subsection (5) the words "sections 4(4) or 10 of the Housing Act 1969 or" are hereby repealed.

48. In section 129(1) of the 1977 Act (mortgages to which Part X applies), for paragraph (b) there is substituted the following paragraph—

"(b) are regulated mortgages as defined in section 131 of this Act."

49. In section 132(1) of the 1977 Act (powers of court to mitigate hardship to mortgagors under regulated mortgages), for the words from "relate only" to "such a mortgage" there are substituted the words "become exercisable, in relation to a regulated mortgage,".

50. In section 136 of the 1977 Act (interpretation of Part X), in paragraph (b) for the words from "and 'mortgage'" to "include" there is substituted the word "includes".

51. Section 138(3) of the 1977 Act (effect on furnished sub-tenancy of determination of superior unfurnished tenancy) shall have effect, and be deemed always to have had effect, as if for the words from "meaning" to the end there were substituted the words "same meaning as it has for the purposes of section 137(2) of this Act".

52. In section 145 of the 1977 Act (which limits the rent recoverable under tenancies of certain subsidised private houses), for subsections (3) and (4) (which apply to conditions limiting the rent under controlled tenancies) and subsection (5) (which applies Schedule 21

SCH. 25 to that Act to conditions limiting the rent under other tenancies) there are substituted the following subsections—

“(3) If any condition to which this section applies limits the rent under a tenancy, the condition shall limit, or have effect as if it limited, the rent—

- (a) if the tenancy is a regulated tenancy which is not a converted tenancy within the meaning of Schedule 17 to this Act, to the rent which would be recoverable if the tenancy had been converted from being a controlled tenancy upon the commencement of section 64 of the Housing Act 1980 and accordingly as if it were a converted tenancy;
- (b) if the tenancy is a converted tenancy, or a housing association tenancy within the meaning of Part VI of this Act, to the rent recoverable under this Act;
- (c) if the tenancy is a protected occupancy or statutory tenancy within the meaning of the Rent (Agriculture) Act 1976, to the rent recoverable in accordance with that Act; and
- (d) in any other case, to such rent as may from time to time be, or have been, agreed between the landlord and the local authority or as may, in default of agreement, be or have been determined by the Secretary of State.

(4) Subject to subsection (5) below, in subsection (3) above ‘local authority’, in relation to any premises, means the council of the London borough or district in which the premises are situated or, if they are situated in the City of London, the Common Council of the City of London.

(5) In the case of houses the construction of which was promoted by the Greater London Council or in respect of which improvement grants were made by that council under the Housing (Financial Provisions) Act 1958, the reference in subsection (3) above to the local authority shall be construed as a reference to the Greater London Council.”.

53. In section 149 of the 1977 Act (powers of local authorities for purposes of giving information), in subsection (1)(a), for sub-paragraph (iii) there is substituted the following sub-paragraph—

“(iii) Part II, and section 136, of the Housing Act 1980;”.

54. In section 153(1) of the 1977 Act (application to Isles of Scilly), for the words “103 to 106” there are substituted the words “102A to 106A”.

55. Section 155(1) of the 1977 Act (which modifies provisions of that Act in relation to certain old controlled tenancies) is hereby repealed.

56. In Schedule 10 to the 1977 Act (rent assessment committees)—

(a) in paragraph 2 the words from “and, if the Secretary of State” to the end; and

(b) paragraph 10;

are hereby repealed.

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57. In Schedule 15 to the 1977 Act (grounds for possession of dwelling-houses), in paragraph (i) in Case 9, for the words "controlled tenancy" there are substituted the words "tenancy which was then a controlled tenancy".

Case 9 has effect, as so amended, in relation to any tenancy which was a controlled tenancy on the date mentioned in paragraph (i) notwithstanding that it ceased to be a controlled tenancy before the commencement of this paragraph.

58. In Schedule 15 to the 1977 Act, in paragraph 4 in Part IV, for the words "paragraph 1" there are substituted the words "paragraph 3", at the end of paragraph (a) there are inserted the words "(other than one under which the landlord might recover possession of the dwelling-house under one of the Cases in Part II of this Schedule)", and at the end of paragraph (b) there are inserted the words "of a kind mentioned in paragraph (a) above".

59. In Schedule 17 to the 1977 Act (modification of Act where controlled tenancy converted into regulated tenancy)—

- (a) in the definition of "converted tenancy", for paragraphs (a) and (b) there are substituted the words "any of the enactments mentioned in section 18A of this Act."; and
- (b) paragraphs 3 and 4 are hereby repealed; and
- (c) in paragraph 7, for the words from the beginning to "shall not" there are substituted the words "None of the enactments mentioned in section 18A of this Act shall".

60. In Schedule 24 to the 1977 Act (savings and transitional provisions)—

- (a) in paragraph 6(4) for the words "paragraph 1(1)" there are substituted the words "paragraph 1(c)"; and
- (b) in paragraph 16 for the words "sections 44(1), (2), 38 and 72(4)" there are substituted the words "sections 44(1), 45(2), 57 and 72(7)".

Protection from Eviction Act 1977 (c.43)

61. The Protection from Eviction Act 1977 shall apply, where a person has been let into possession of a dwelling-house under the terms of a rental purchase agreement (within the meaning of section 88 of this Act) as if—

- (a) the dwelling-house had been let to him as a dwelling under a tenancy which is not a statutorily protected tenancy (within the meaning of section 3 of that Act); and
- (b) that tenancy had come to an end on the termination of the agreement or of his right to possession under it.

PART II

TRANSITIONAL PROVISIONS AND SAVINGS

62. For the purposes of section 33 of this Act a notice served at any time after regulations are first made for the purposes of subsection (2) of that section, but before the commencement of that section, shall be treated as duly served under that section if it would have been so treated had Chapter II of Part I of this Act then been in force.

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1976 c. 80.

63. Where, immediately before the commencement of section 60 of this Act, an increase in rent was subject to the provisions as to phasing of rent increases in Schedule 6 to the Rent (Agriculture) Act 1976 or in Schedule 8 or 9 to the 1977 Act that increase shall continue to be subject to those provisions as if this Act had not been passed.

64. Where the recoverable rent for any statutory period has been increased by a notice under section 48 of the 1977 Act, nothing in section 63 of this Act affects that increase or the operation of subsections (4) and (5) of section 48 in relation to the notice.

65. In a case where, by virtue of subsection (4) of section 52 of the 1977 Act, that section would not have applied to an agreement with a tenant having security of tenure had it not been replaced by the section substituted by section 68(2) of this Act, the substituted section 52 shall also not apply in relation to that agreement.

66. The repeal by this Act of subsections (4) and (5) of section 54 of the 1977 Act does not affect the operation of those subsections in relation to defaults occurring before the commencement of section 68 of this Act.

67. Where, immediately before the commencement of section 69(4) of this Act, a tenancy was, by virtue of section 12(2)(b) of the 1977 Act, a protected tenancy and not a restricted contract, the 1977 Act shall continue to apply in relation to that tenancy as if section 69(4) had not been enacted.

68. The repeals made by section 74 of this Act in section 15 of the 1977 Act shall not affect any tenancy which was, immediately before the commencement of section 74(1), a protected, or statutory tenancy but which would, were it not for this paragraph, have ceased to be such a tenancy by virtue of the repeal of section 15(4)(f).

69.—(1) Any condition which, immediately before the commencement of section 91 of this Act, was a local land charge by virtue of section 104(5) of the 1957 Act shall continue to be a local land charge notwithstanding the provisions of section 91.

(2) Section 104(3) of the 1957 Act shall have effect, in the period between the commencement of section 91 and the commencement of Chapter II of Part I of this Act as if Chapter II were in force.

70. Any directions given by the Secretary of State under section 24(5) of the Housing Subsidies Act 1967 shall, if in force at the commencement of section 114 of this Act, continue in force as if given under subsection (1)(a) of section 114 until revoked or varied.

71. Subsection (3A) of section 2 of the 1974 Act (inserted by section 123(4) of this Act) shall have effect, in the period between the commencement of section 123(4) and the commencement of Chapter II of Part I of this Act as if Chapter II were in force.

72.—(1) This paragraph applies in relation to the exceptions in paragraphs 6 and 11 of Schedule 3 to this Act.

(2) Notice given to a tenant at any time after 31st March 1980 but before the commencement of Schedule 3 shall be treated—

- (a) as duly given in accordance with paragraph 6(b)(ii) if it would have been so treated had paragraph 6 then been in force ; or
- (b) as duly given in accordance with paragraph 11(b) if it would have been so treated had paragraph 11, and the regulations first made under that paragraph designating courses, then been in force.

73. In relation to a tenancy (or licence) granted before 8th May 1980 Schedule 3 to this Act has effect as if the following paragraph were added at the end of it:

“ 14. A tenancy is not a secure tenancy if—

- (a) the landlord is a charity within the meaning of the Charities Act 1960 ; and
- (b) before the tenancy was granted the tenant was informed in writing that the landlord intended to carry out works on the building or part of the building comprising the dwelling-house and could not reasonably do so without obtaining possession of the dwelling-house.”

74. Any approval given for the purposes of paragraph 9 of Schedule 1 to the 1975 Act shall have effect as an approval given for the purposes of Schedule 20 to this Act.

75. Section 5 of the 1977 Act (tenancies at low rents) shall continue not to apply to any tenancy which, immediately before the repeal by this Act of section 17 of the 1977 Act (categories of controlled tenancies) was a controlled tenancy by virtue of subsection (2) of section 17.

76. The repeals made by this Act in the 1975 Act do not affect the operation of orders made under paragraph 23 of Schedule 1 to that Act (power to apply subsidy provisions to housing associations).

77. Section 90 of the 1977 Act continues to have effect, notwithstanding its repeal by this Act, in relation to any direction given by the Secretary of State under that section.

78. Paragraphs 3 and 4 of Schedule 17 to the 1977 Act continue to have effect, notwithstanding paragraph 59 of this Schedule, in relation to a notice of increase served under paragraph 4 before the commencement of paragraph 59.

SCHEDULE 26

REPEALS

Section 152.

Chapter	Short title	Extent of repeal
1927 c. 36.	The Landlord and Tenant Act 1927.	In section 16, the words “ and shall be so recoverable notwithstanding anything in Part II of the Rent Act 1977 ”.
1951 c. 65.	The Reserve and Auxiliary Forces (Protection of Civil Interests) Act 1951.	In section 16(2)(c) the words from “ and that ” to the end. Section 19(5).
1954 c. 56.	The Landlord and Tenant Act 1954.	Section 43(1)(c).

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Chapter	Short title	Extent of repeal
1957 c. 56.	The Housing Act 1957.	Section 5. Section 43(4). In section 91, the words from "and as often" to the end. Section 96(e). Sections 105(1), (2) and (5) and 106. Section 113(5). In section 119(3), the words from "with the consent" to "the Minister" and the words from "The Minister's power" to the end.
1958 c. 42.	The Housing (Financial Provisions) Act 1958.	Sections 14 and 15. In section 43(1), the words "subject to such conditions as may be approved by the Minister". Section 45.
1959 c. 62.	The New Towns Act 1959.	Section 4(2) and (5).
1961 c. 65.	The Housing Act 1961.	Section 16.
1964 c. 56.	The Housing Act 1964.	Section 20. Section 65(1A). Section 66.
1967 c. 29.	The Housing Subsidies Act 1967.	In Schedule 4, paragraph 2. In section 24, in subsection (2), the words "in accordance with subsection (3) of this section"; in subsection (3), the words "Subject to subsections (4) and (5) of this section", and the words from "and" (at the end of paragraph (c)) to the end of the subsection; and subsections (4), (5) and (5A). Section 24B.
1967 c. 88.	The Leasehold Reform Act 1967.	In section 26, in subsection (1)(b)(ii), the words from "or the appropriate" to "later"; in subsection (1)(b)(iii), the words "or 1st April 1968, whichever is the later"; in subsection (2), paragraph (a), and the words from "and except" onwards; and subsection (3). Section 26A. Section 28A. Section 21(5).
1968 c. 72.	The Town and Country Planning Act 1968.	In Schedule 1, in paragraph 7(1)(b), the words "(subject to paragraph 8 below)". In Schedule 2, paragraph 8(2). Section 39.

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Chapter	Short title	Extent of repeal
1969 c. 33.	The Housing Act 1969.	Section 28A. Section 29B. In section 30 the words " but such a resolution shall be of no effect unless approved by the Minister ". In section 35, subsections (1) and (3), in subsection (4) the words " the consent of the Minister under subsection (2) of this section ", subsection (5), in subsection (6) the words from " with the approval " to " particular case " and subsection (7). In section 38, the words from " has been approved " to " this Act ". Section 60. Section 61(6). In section 86(5), the words " and 37(7) ".
1970 c. 44.	The Chronically Sick and Disabled Persons Act 1970.	In section 3(1), the words from " and any proposals " to the end.
1971 c. 62.	The Tribunals and Inquiries Act 1971.	In section 7(3) the words " 28(a) " and the words from " but " onwards. In section 13(1) the words " (a) or ". In Schedule 1 paragraph 28(a). In Schedule 3, the entry relating to the Housing Act 1971.
1972 c. 5.	The Local Employment Act 1972.	Section 8.
1972 c. 47.	The Housing Finance Act 1972.	In section 20, in subsection (5), paragraph (d) and the words " or (d)(ii) ", and in subsection (7) the words from " section 19(8) " to " Schedule 3 to this Act ". In section 24(5), the words " or their allowance scheme, as may be appropriate " and the words from " of Housing Revenue " to " housing account dwellings ". In section 26(1), in the definition of " allowance " the words from " but also " to the end, in the definition of " allowance scheme " the words from " and includes " to the end, and the definition of " housing account dwelling ". Sections 90 to 91A. In Schedule 3, Part II.

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Chapter	Short title	Extent of repeal
1972 c. 47— <i>cont.</i>	The Housing Finance Act 1972— <i>cont.</i>	In Schedule 4, in paragraph 1(3)(a) the words from "Housing" to "account", in paragraph 14(1), sub-paragraph (a), in sub-paragraph (b) the words "or 9" and sub-paragraph (f), and paragraphs 16 and 17.
1972 c. 70.	The Local Government Act 1972.	In Schedule 22, paragraph 2.
1973 c. 5.	The Housing (Amendment) Act 1973.	Section 1(1). Section 2.
1974 c. 44.	The Housing Act 1974.	In section 5(3), all after paragraph (f). In section 13, in subsection (4) the words from "after consultation" to "section 14 below" and the words "after such consultation" and subsection (5)(a). Section 14. In section 19(1) the words from "who" to "staff". Section 30(5). Section 31. In section 32, in subsection (1) the word "annual", and subsections (4) and (8). In section 33(6), the words "before the expiry of that year". In section 38(2)(a), the words "and approved by the Secretary of State". Section 42. Section 50. Sections 52 to 55. In section 56, in subsection (1)(d), the words "by the provision of standard amenities", and in subsection (2)(d), the words "in a housing action area or a general improvement area". In section 57(6), the words "Except in so far as this Act otherwise provides", and paragraph (b). In section 62(3) the words from "and different limits" to the end. Section 64(7). Section 67(2)(b) and (4). In section 71(3), paragraph (a). Section 79. In section 84, paragraph (b) of the definition of "the relevant standard".

Chapter	Short title	Extent of repeal
1974 c. 44— <i>cont.</i>	The Housing Act 1974— <i>cont.</i>	In section 104, the definitions of “the full standard” and “the reduced standard”. In section 114, in subsection (1) paragraph (c) and the word “or” immediately preceding it, and subsections (6) and (7). In Schedule 5, Part I, and in Part II, paragraph 4. In Schedule 8, in paragraph 2(2) the words from “and any such determination” onwards. In Schedule 11, in paragraph 1, in sub-paragraph (2) the words following paragraph (b), sub-paragraph (3), and sub-paragraphs (5) and (6).
1975 c. 6.	The Housing Rents and Subsidies Act 1975.	Section 1(3). Section 2. Section 4. In Schedule 1, paragraphs 1 to 11, and 12(4)(a). In Schedule 5, paragraphs 8(3) and 18. Section 5.
1975 c. 57.	The Remuneration, Charges and Grants Act 1975.	
1975 c. 76.	The Local Land Charges Act 1975.	In Schedule 1, the entry relating to the Housing Act 1957.
1976 c. 68.	The New Towns (Amendment) Act 1976.	Section 9(4) to (6).
1976 c. 71.	The Supplementary Benefits Act 1976.	In Schedule 7, paragraph 28.
1976 c. 75.	The Development of Rural Wales Act 1976.	Section 18. In section 22, the word “18”. In Schedule 5, paragraphs 1 to 6 and, in paragraph 7(3), the words “or any element of a subsidy”.
1976 c. 80.	The Rent (Agriculture) Act 1976.	In Schedule 4, in Case X, the words “Part II”, where they first occur. In Schedule 6, in paragraph 1 the definition of “specified sum” and sub-paragraphs (2) and (3) and paragraph 7.
1977 c. 42.	The Rent Act 1977.	In section 5(1), the words “subject to section 17(2) of this Act”. In section 15, in subsection (1) the words from “in respect” to “is fulfilled” and subsections (4) and (6). Section 17. In section 18, in subsection (1) the words from “which” to the end and subsections (3) and (4).

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Chapter	Short title	Extent of repeal
1977 c. 42— <i>cont.</i>	The Rent Act 1977— <i>cont.</i>	In section 19(5)(b), the words “or of the Duchy of Lancaster or to the Duchy of Cornwall”. In section 24, subsections (1) and (2). Sections 27 to 43. In section 44(1), the words “Schedule 9”. In section 45(2), the words “paragraph 8(4) of Schedule 9”. Sections 48 and 50. In section 51(3), paragraph (b) and the word “and” immediately before it. Section 53. In section 54, in subsection (1) the words “52(6) or 53”, and subsections (4) and (5). Section 56. In section 61(1), the definition of “improvement”. Section 67(6). Section 68(6). In section 69(4) the words “Subject to section 67(6) of this Act” and paragraph (b). In section 70, in subsection (3), paragraphs (c) and (d) and subsection (5). In section 71(3)(a), the words from “subject to” to “this Act”. Section 76. In section 77(1) the words “for the district in question”. In section 78(2) the words “and the local authority”. Section 79(4). Section 84(a) and (b). Section 86(5). In section 87, subsections (3) to (5). Sections 90 and 91. In section 92, in subsection (1), the words “in such form as may be prescribed”, in subsection (5) the definition of “prescribed” and the word “and” immediately before it, and subsections (6) and (7). Section 93(3). Section 96(1) and (2). Sections 108 to 115. In section 116, in subsection (5) the words “sections 4(4) or 10 of the Housing Act 1969 or”.

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Chapter	Short title	Extent of repeal
1977 c. 42— <i>cont.</i>	The Rent Act 1977— <i>cont.</i>	Section 117. In section 118, in subsection (1) the words from “prescribed” to the end, and subsection (2). Section 130. In section 131(1), the words “but which is not a controlled mortgage”. Sections 133 to 135. In section 141, subsections (1)(c), (2) and (5)(a) and in subsection (1)(a) the words from “or whether a mortgage” to “of this Act”. In section 150, the words from “(other” to “31(9))”. In section 152(1), the definition of “controlled tenancy”. Section 155(1). In Schedule 1, paragraph 8. In Schedule 2, paragraph (1)(c)(i). Schedules 3, 4 and 6. In Schedule 7, paragraph 4. In Schedule 8, in paragraph 1 the definition of “specified sum” and sub-paragraphs (5) and (6) and paragraph 8. Schedule 9. In Schedule 10, in paragraph 2 the words from “and, if the Secretary of State” to the end and paragraph 10. In Schedule 11, paragraphs 13, 14 and 15 to 25. In Schedule 12, in paragraph 1(c) the words from “(but” to “Act)”, in paragraph 3 the words from “in the case” to “111(1) of this Act”, in paragraph 4, sub-paragraph (1) and in sub-paragraph (2) the words from “in the case” to “section” and in paragraph 9(1), paragraph (b) and the word “or” immediately before. Schedule 13. In Schedule 14, paragraph 6. In Schedule 15, in Case 6 paragraph (a), Case 7 and in Case 10 the words “Part II or, as the case may be”. In Schedule 17, paragraphs 3, 4, 10 and 11. Schedule 19.

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Chapter	Short title	Extent of repeal
1977 c. 42— <i>cont.</i>	The Rent Act 1977— <i>cont.</i>	In Schedule 20, in paragraph 1(1) the words “or controlled” and sub-paragraphs (6) and (7), in paragraph 3(2)(c) the words “or, as the case may be, Schedule 9”, paragraph 4 and in paragraph 5 the definitions of “dwelling”, “notice of increase” and “rent limit”. Schedules 21 and 22. In Schedule 23, paragraph 1, in paragraph 4 sub-paragraphs (g) to (i) and paragraphs 37 38 and 56(a).
1977 c. 45.	The Criminal Law Act 1977.	In Schedule 3, paragraph 25. In Schedule 6, the entries relating to sections 65(1) of the Housing Act 1964 and 61 of the Housing Act 1969. In Schedule 12, the entry relating to section 65 of the Housing Act 1964.